

THE PATH OF INVIGORATION



AGSTAR PLC
Annual Report 2023/24



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THE PATH OF INVIGORATION

Having contended with and persevered within the fertiliser industry's ever-changing dynamics over the past few years, we at AgStar PLC prepare for a year of prosperity, facilitated by a strategically laid out path of invigoration. In the year under review, we have continued to uplift and upskill the sons and daughters of the soil, and have nurtured the sustainable growth of Sri Lanka's agricultural landscape with determination.

As we set a course for our success, we prioritise the revamping of our operations, the reimagining of our overarching objectives and the restructuring of our establishment to withstand the tests of time, fate and fortune, while treasuring and preserving Mother Nature's unmatched offering of sustenance, nutrition and harmony.

As the path unfolds from within, we begin our journey towards prosperity and progress with persistence, pride and passion.



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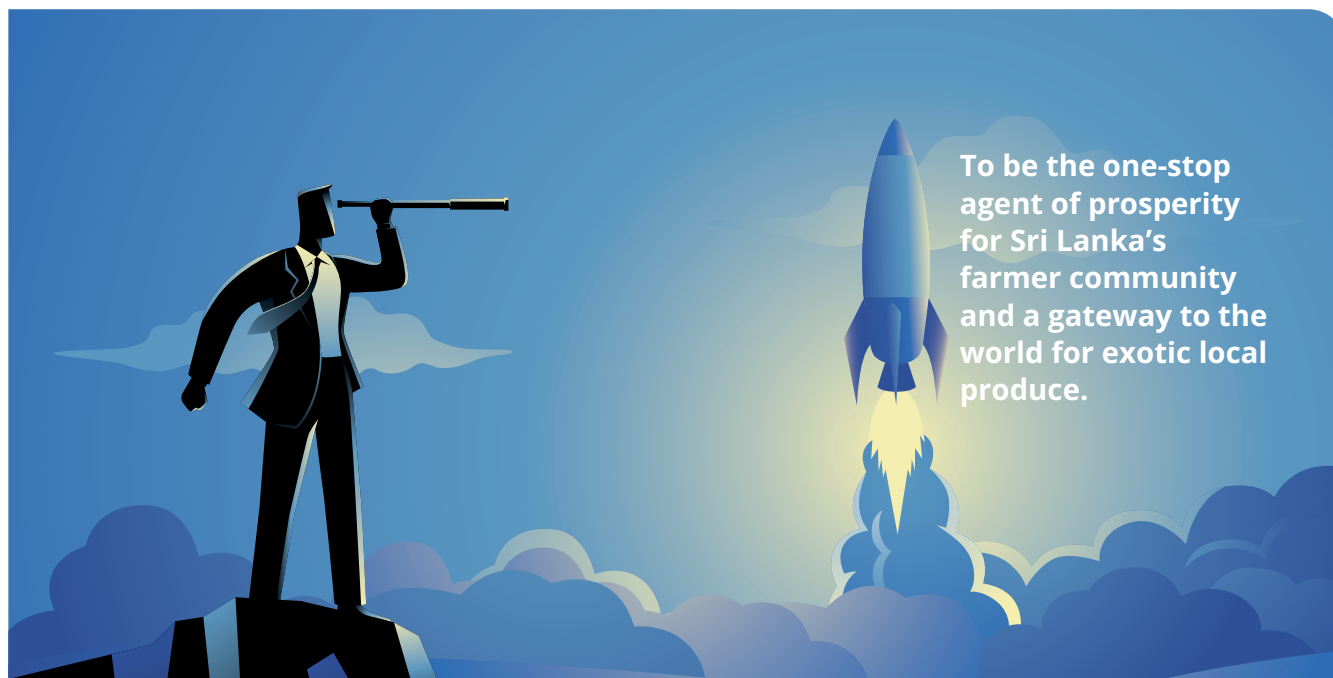
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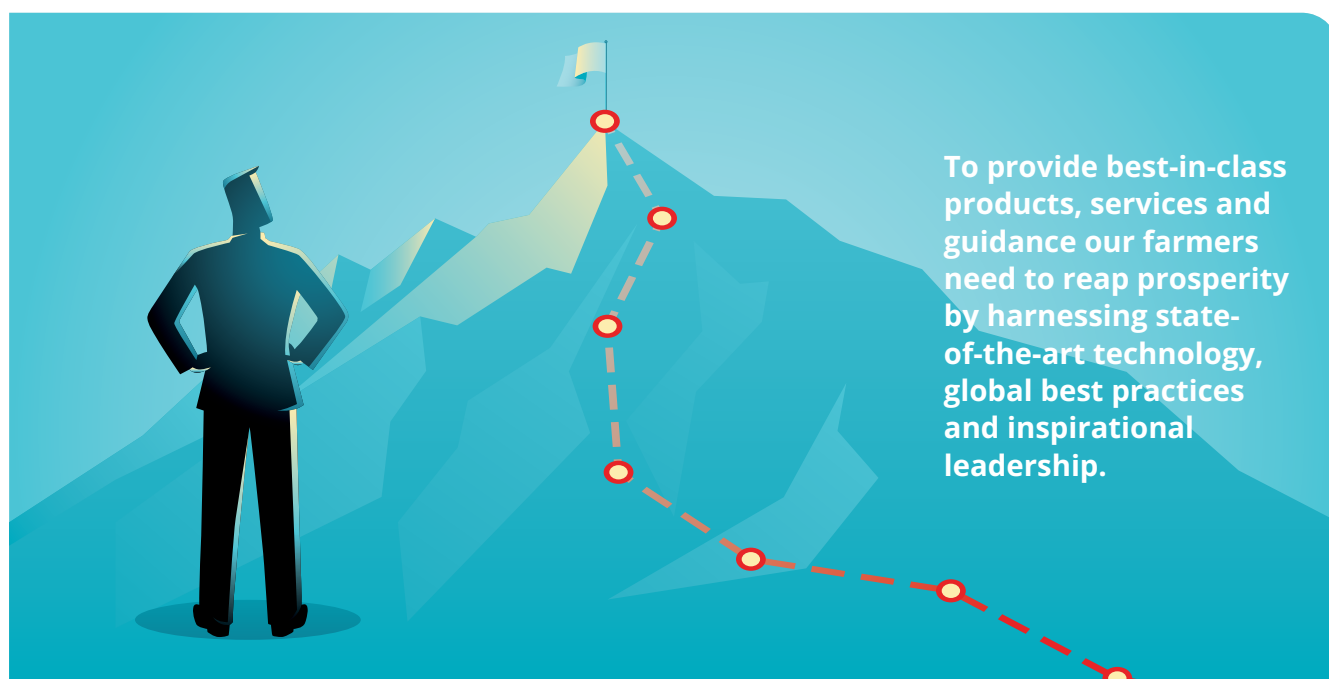
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OUR VISION

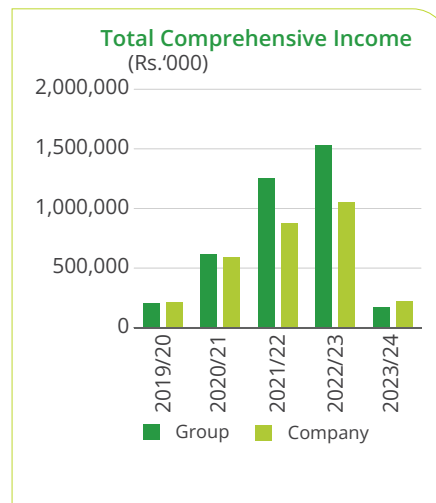
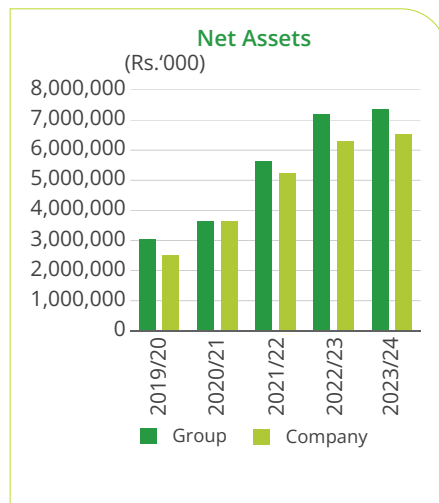
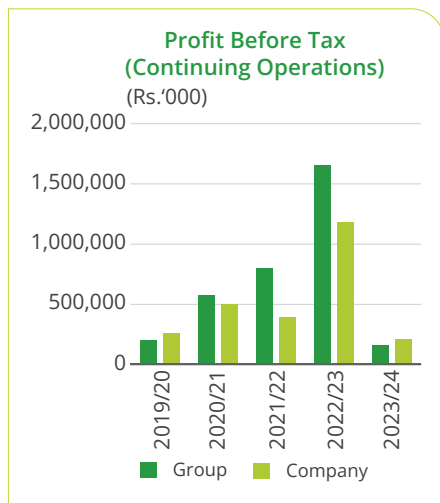


OUR MISSION



FINANCIAL HIGHLIGHTS

Year ended 31st March		2024	2023	Change
OPERATING RESULTS				
Group revenue (continuing operations)	(Rs'000)	7,666,127	7,458,205	3%
Gross profit (continuing operations)	(Rs'000)	895,302	3,610,795	-76%
Net finance income/(costs) (continuing operations)	(Rs'000)	82,064	(620,096)	113%
Profit before tax (continuing operations)	(Rs'000)	177,277	2,347,695	-92%
Profit for the year (continuing operations)	(Rs'000)	165,196	1,659,171	-90%
Profit for the year (continuing & discontinued operations)	(Rs'000)	159,686	1,658,875	-90%
Profit attributable to owners of the company	(Rs'000)	159,686	1,668,886	-90%
Profit attributable to non-controlling interests	(Rs'000)	-	(10,011)	100%
FINANCIAL POSITION				
Stated capital	(Rs'000)	2,007,857	2,007,857	0%
Non-controlling interests	(Rs'000)	-	20,634	100%
Property, plant & equipment (continuing operations)	(Rs'000)	3,016,197	3,285,915	-8%
Current assets	(Rs'000)	5,684,492	4,451,970	28%
Total assets	(Rs'000)	9,254,785	8,950,172	3%
Non-current liabilities	(Rs'000)	600,609	813,665	-19%
Current liabilities	(Rs'000)	1,235,474	928,882	33%
Total equity	(Rs'000)	7,358,341	7,207,294	2%
FINANCIAL INDICATORS				
Basic earnings per share	(Rs)	0.33	3.42	-89%
Net assets per share	(Rs)	15.09	14.74	2%
Return on equity	(%)	2.17	23.22	-91%
Return on total assets	(%)	1.73	18.53	-91%
Gross profit ratio	(%)	11.68	48.41	-76%
Net profit ratio (continuing operations)	(%)	2.08	22.25	-90%
Current ratio	(Times)	4.71	4.79	-4%
Liquidity ratio	(Times)	1.80	1.96	-14%

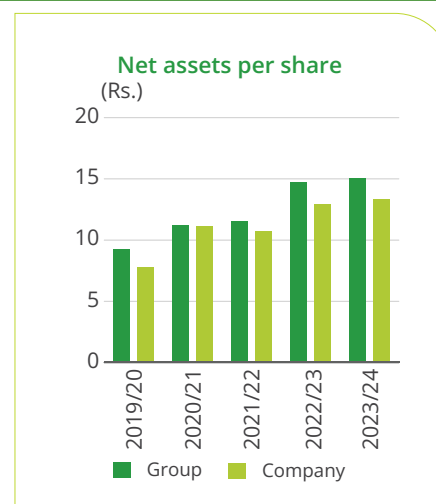
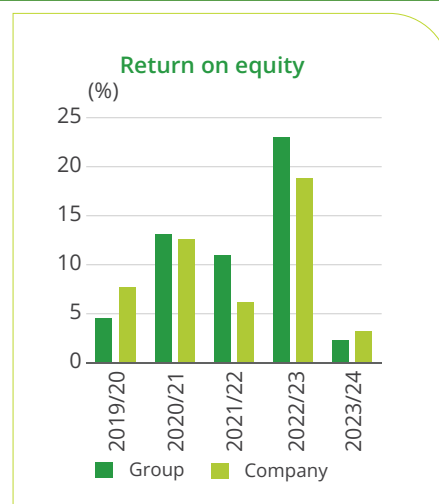
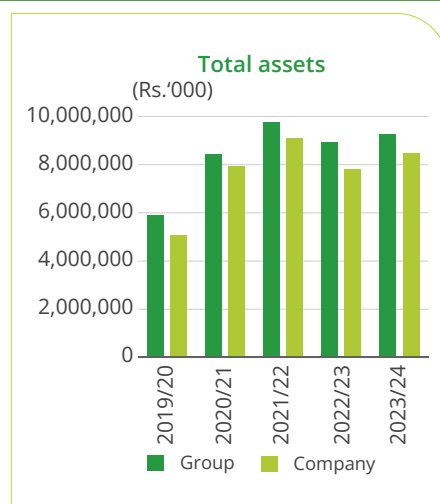



Rs.7.67 Bn
Gross Revenue


Rs.0.89 Bn
Gross Profit


2.17%
Return on Equity


Rs.15.09
Net Assets per Share



CHAIRMAN'S MESSAGE

The 2023/24 financial year has been a testament to our resilience and adaptability. Despite the challenges, AgStar PLC has emerged stronger, with a clear strategic direction and a commitment to excellence. We look forward to a promising future, driven by innovation, quality, and a steadfast focus on our customers' needs.

The 2023/24 financial year presented numerous challenges and opportunities for AgStar PLC, significantly shaped by an uncertain global fertiliser market and volatile economic conditions. Despite these hurdles, we have navigated through complexities with resilience and strategic adjustments, ensuring a pathway for future growth and stability.

Challenges faced

The global fertiliser market experienced pronounced price fluctuations, driven by geopolitical tensions and economic sanctions. Key suppliers like Iran faced sanctions that disrupted the supply chain, causing sporadic price spikes and drops. Additionally, restrictions imposed by China and the ongoing Russia-Ukraine conflict further exacerbated market instability. Such uncertainties compelled us to proactively adapt change in our procurement strategies and cost structures.

The past year was marked by significant climatic events, including the dual phenomena of El Niño and La Niña. These extremes manifested as heavy rains and severe droughts, particularly affecting East Africa and East Asian countries. Domestically,

the third quarter of the year under review witnessed heavy floods, while the fourth quarter brought drought conditions, severely affecting cultivation cycles. These environmental factors curtailed our operational efficiency and crop yields, influencing overall performance.

The global economy's slowdown, averaging 2.2% growth in 2023-24 coupled with unfavourable economic conditions in Sri Lanka added to the complexity of our operating environment. The Sri Lanka rupee's depreciation and subsequent recovery against the dollar created volatility. We began the year with high-cost inventory, purchased during the previous financial year's dollar crunch impacting our margins as the rupee strengthened.

Performance

The first half of the year was challenging as we grappled with high-cost inventories and competitive pressures. However, by the third quarter, we saw a shift towards recovery. Despite climatic adversities, there was a renewed demand for chemical fertilisers as the organic fertiliser demand diminished, and farmers returned to conventional cultivation practices.

To counteract the market's illegal pesticide trade and enhance our market position, we focused on re-establishing brand value, especially amongst the distributor segment. We initiated the rebranding of AgStar fertiliser to Browns Fertiliser, supported by the development of a dedicated market development team and the establishment of a state-of-the-art laboratory for quality assurance.

Despite a modest top-line growth of 3%, the shift from high-margin organic products to competitive chemical fertiliser sales compressed our margins. We concluded the year with a profit, albeit lower than the previous year's profit after tax, reflecting the high initial costs and competitive market dynamics.

Good Governance

Throughout the year, we adhered to stringent governance standards, despite frequent policy changes. The imposition of value-added tax (VAT) on pre-existing stocks and delayed government subsidy payments posed financial challenges, which we navigated while maintaining compliance and operational integrity.

Our commitment to supply quality products with environmental responsibility is reflected in our ISO 9000 and 14000 certifications and the construction of a new laboratory for quality assurance. We upgraded our warehouses, improved delivery systems and invested in cold storage for seeds, ensuring high-quality products for our customers.

The 2023/24 financial year has been a testament to our resilience and adaptability. Despite the challenges, AgStar PLC has emerged stronger, with a clear strategic direction and a commitment to excellence. We look forward to a promising future, driven by innovation, quality and a steadfast focus on our customers' needs.

Future Outlook

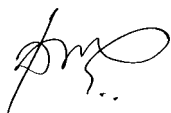
We are committed to transforming AgStar PLC into a one-stop solution for Sri Lankan farmers. Key strategic initiatives such as the rebranding to Browns Fertiliser and the establishment of a quality assurance laboratory underscore our commitment to delivering superior products. Further, the introduction of coated fertilisers and new blends is expected to enhance crop yields.

In our supply chain expansion, diversifying suppliers for crop protection products and introducing new technologies in collaboration with global partners is a priority. We aim to revitalise the seed segment with new leadership, improved product quality and strategic partnerships. Finally, restarting the technology division and securing exclusive agreements to bring advanced irrigation solutions to the market will make AgStar PLC an end-to-end solutions provider.

Acknowledgements

I would like to express my deep appreciation to the members of the Board for their strategic guidance, to our senior management team for their leadership and execution,

and to all our employees for their relentless dedication. The Company is now well-positioned and poised to deliver enhanced value to all our stakeholders in the coming years.



I. C. Nanayakkara
Chairman

30th August 2024

EXECUTIVE DEPUTY CHAIRMAN'S REVIEW

We are confident of recovering and growing rapidly with the array of new initiatives and strategies being implemented for all business units - guided by clear direction and support from the parent company.

As we reflect on the fiscal year 2023/24, I am both proud and optimistic about AgStar PLC's journey and future prospects. The past year has been a period of significant transformation and strategic development, marked by our unwavering commitment to quality, innovation and sustainability.

Strategic Developments and Achievements

This year, a key step forward was to rebrand AgStar Fertiliser as Browns Fertiliser to leverage on Group synergies - as the 'Browns' name is closely linked to the farmer community in Sri Lanka, uplifting them with technology and agri inputs, as the largest agri input supplier in Sri Lanka.

A significant milestone during the year was the construction of a state-of-the-art laboratory at an investment of Rs. 74 million. This facility ensures that every fertiliser blend leaving our factory is quality assured. Our commitment to quality extends to the raw materials and packaging materials we procure, ensuring they meet our stringent standards. Underscoring this principle and reinforcing our dedication to the consistent delivery of high-quality products and to environmental stewardship, AgStar successfully obtained ISO 9001 and

14001 certifications across all our business units, which exemplifies the Company's regulatory compliance and commitment to protect the environment

Further, our cropcare facilities were upgraded during the year. New racking systems helped optimise our product offerings coupled with a thorough review and rationalisation of SKUs to enhance operational efficiency. Additionally, our revamped delivery system now ensures that orders can be fulfilled within 24 hours at customers' doorsteps, demonstrating our commitment to exceptional service.

Segment-wise Performance Fertiliser

Demonstrating innovation and market leadership, AgStar introduced Advanced Fertiliser Solutions during the year under review, with new fertiliser mixtures and blends, including Sri Lanka's first coated fertiliser, which promises enhanced crop yields. Our ability to introduce third and fourth-generation fertilisers positions us as a market leader, offering innovative solutions to meet the evolving needs of our farmers.

Converting the fertiliser subsidy to a cash grant directly to farmers opened the market for competition. As a result, several new players have

emerged in the market during the year, intensifying competition and squeezing margins for blended and straight fertilisers. Purchasing at the correct time, improving the quality of fertiliser blends, introducing second and third generation fertilisers and developing Browns Fertiliser as the preferred fertiliser brand are the key strategies to emanate from the current red ocean competition. AgStar has implemented these strategies successfully during the financial year under consideration.

Cropcare

The cropcare segment experienced an upsurge of demand and enhanced profitability as compared to the previous years which were impacted due to the ban on import of agri chemicals. The removal of the ban on Glyphosate led to higher sales by as much as 925%. The market prices are on the decline - with the rupee strengthening and price decline in the global market.

Expansion of cropcare products was undertaken during the year. From two suppliers at the beginning of 2023, AgStar now works with seven global suppliers from China, Japan and Europe, which has served to enrich the product range with several new entrants, while ensuring the Company's offerings remain competitive and effective.

Seeds

AgStar Seeds

AgStar Seeds is engaged in bulk seeds like seed paddy, corn seeds and bean seeds. Substantial strides were made in Advancements in

Seed Technology. A new warehouse equipped with cold rooms at a cost of Rs. 17.4 Mn was developed to maintain the longevity and quality of seed materials. This investment ensures that farmers receive the highest quality seeds, further cementing their trust in AgStar as a reliable partner.

After underperforming for the last five years, AgStar's seed business has been re-strategised, resulting in profits from the seed paddy business and corn seed business. Two new varieties of corn seeds were introduced during the year. The introduction of new seed varieties and the development of a profit-making seed paddy business for the first time in five years are significant achievements. AgStar's focus on bulk seeds like seed paddy, corn and beans, coupled with better supply chain management, has improved margins and the business performance.

Prith Seeds

While AgStar Seeds focuses on the bulk seed business, Prith Seeds has been re-aligned to focus exclusively on vegetable seeds to lend a distinctive identity to Prith Seeds amongst farmers as a specialised vegetable seed brand. Product names were revisited and testing of new varieties is underway in compliance with the National Seed Certification Center of the Department of Agriculture Sri Lanka (DOA). As the first product, a new tomato variety called 'Malka' will be launched in the market in 2024/25. All vegetable seed materials marketed under Prith Seeds were re-branded as per the regulations of

the denomination committee of the DOA and are now readily available for farmers.

Mahaweli

For the last two years, the core business of Mahaweli Agro Trading was the production of organic fertiliser. However, demand for organic fertiliser faded during the year under review as a result of which Mahaweli Trading remained non-operational through the year. The management aims to sell the assets of Mahaweli Trading with a view to closing down the company as it no longer holds strategic business alignment with the Group.

Agri Tech

Agri tech received support from Browns Agricultural Machinery to restart business. The division offers two major tractor brands - 'Kartar' from India and 'Arbos' from China. These two tractor brands are positioned in two market segments of the tractor business - heavy-duty segment and light weight. With the finance cost declining as compared to the recent past, banks are backing loans for our brands, which leads us to believe this segment will see a resurgence. An exclusive agreement was also signed with Netafim Israel to bring sprinklers to Sri Lanka. The Agri technology business will be a future key component of AgStar's portfolio. The technology division is also collaborating with Grain Pro (Philippines), to provide appropriate post-harvest storage solutions to Sri Lankan farmers.

Embracing Digital Transformation

The Company initiated the transition from its current ERP system to the

more advanced Business Central ERP - aligning with the practices of the Browns Group. This project commenced last fiscal year and will be completed by September 2024. The new system, coupled with salesforce automation, will enhance efficiency, improve monitoring and streamline operations, providing real-time insights and better control over the sales processes

AgStar is aligning with the best practices of the parent group, Browns. Therefore, the back-office operations are monitored and supervised by the Browns Group along with the implementation of the new ERP system. We have embarked on salesforce automation for the sales and marketing teams. They will be equipped with handhelds, whereby information can be acquired in real time for a fast and efficient sales operation.

Recognising the shift towards digital platforms, a digital marketing team was formed, and the Company's strong presence across all social media channels is being established. Our digital handbook, soon to be available as an app, will provide stakeholders with easy access to comprehensive information about our business, ensuring transparency and engagement with the younger generation of farmers.

Future Outlook

Our mission is to transform AgStar into the most preferred Agri input marketing company in Sri Lanka. We are on the path to becoming a hub for all cultivators, offering innovative, efficient and sustainable solutions. The exclusive agreement

EXECUTIVE DEPUTY CHAIRMAN'S REVIEW

with Netafim Israel to introduce advanced irrigation products and the reactivation of our Agri technology division underscore our commitment to this vision to be a one-stop shop for all the cultivators of Sri Lanka.

Financials

In contrast to the preceding year, Revenue grew by 3% in 2023/24, rising from Rs. 7.4 Bn to Rs. 7.67 Bn. The total sales revenue came from chemical fertilisers, cropcare products and seeds. Organic fertiliser sales remained at a minimum level during the year. Gross profit was recorded as Rs. 895 Mn during the period under review as compared to Rs. 3.61 Bn in 2022/23. The Gross margin percentage decreased from 48% to 12% in 2023/24 due to the volatility of global raw material prices and higher discounts given to channel partners in response to stiff competition. As a result, profitability dropped to Rs. 165 Mn as compared to Rs. 1,659 Mn in the previous year. The drop in profitability represents a temporary setback for the business, as we are confident of recovering and growing rapidly with the array of new initiatives and strategies being implemented for all business units - guided by clear direction and support from the parent company.

Appreciation

I sincerely thank our Board of Directors, senior management and all employees for their steadfast support and commitment. With our collective efforts, we have created a strong platform for future growth, and I am confident that AgStar PLC is poised to achieve exceptional success in the years ahead.



R. S. Indika Gunawardhana
Executive Deputy Chairman

30th August 2024

BOARD OF DIRECTORS

Mr. Ishara Nanayakkara

Chairman/Non-Executive Director

Mr. Ishara Nanayakkara is a prominent entrepreneur serving on the boards of many corporations and conglomerates internationally. Coming from a strong business background and involvement in his family enterprises, he ventured into the financial services sector with a strategic investment in LOLC Holdings PLC, being appointed to the board in 2002. Within a span of two decades, he has navigated LOLC to become not only a financial conglomerate but also the most profitable conglomerate in the country, making a significant impact in the global financial arena as the first Sri Lankan company with a dynamic MSME platform worldwide.

Over the years, reputed financial institutions in Sri Lanka, Cambodia, Myanmar, Pakistan, Indonesia, the Philippines, India, Zambia, Nigeria, Egypt, Malawi, Tanzania, Zimbabwe, Kenya, Kyrgyzstan, Kazakhstan and Tajikistan have reaped the benefits of his extensive knowledge in the microfinance business and MSME markets. He was also instrumental in setting up life and general insurance businesses within the group and pioneered the concept of micro insurance in Sri Lanka and Cambodia providing a much needed safety net to the bottom of the pyramid population. His business acumen extends to key growth sectors of developing economies, with notable investments in leisure - holding one of the largest hotel portfolios in Sri Lanka, the Maldives, and Mauritius, plantations - being one of the largest producers of tea with plantations in Sri Lanka,

Kenya, Tanzania and Rwanda, in addition to other key investments in construction, trading, manufacturing, and more recently, in uniquely innovative scientific initiatives.

Ishara continues to spearhead all strategic decisions of the LOLC Group, both in financial and non-financial sector investments, with his vision for LOLC being executed with precision and commitment to create long-term value for all stakeholders.

He has held many prestigious positions, including the Chairmanship of the Sri Lanka Institute of Nanotechnology, the national arm for advanced technological solutions based on nanotechnology. Known for his innovative spirit, the group has ventured into many biotech businesses, including the conversion of pure graphite to graphene, incorporating technological advancements, creating value for the group's plantation portfolio of cinnamon, tea, sugarcane, rubber, and by-products. Investments in renewable energy in both Sri Lanka and Sierra Leone, with the largest sugar-based bioethanol and power plant in Africa, have added multidimensional know-how to his versatile business portfolio.

Ishara is a recognized businessman in the international community for his invaluable contributions to microfinance, acknowledged by independent international platforms such as INSEAD Business School. He won the prestigious 'Young Entrepreneur of the Year' Award at the Asia Pacific Entrepreneurship Awards (APEA) in 2012.

He is the Executive Deputy Chairman of LOLC Holdings PLC, Executive Chairman of Browns Investments PLC, and Brown & Company PLC. He also sits on several other boards of group companies both locally and overseas.

Mr. R. S. Indika Gunawardhana

Executive Deputy Chairman

Mr. Indika Gunawardhana was the former Chief Executive officer of Browns Agri Solutions (Pvt) Ltd. He possesses over 32 years of Management experience including 10 years in Senior Management Positions in listed companies engaged in Marketing of Agriculture input products and management of out grower farming systems.

Mr. Gunawardhana holds a Bachelor's degree Agriculture from University of Ruhuna Sri Lanka & a scholar of Japanese Association for Overseas Technical Scholarship programme (AOTS) Japan on Corporate Management. Further, he studied in University of California, Berkley USA and Nanyang Technological University, Singapore on Advance Management techniques and business innovation.

Mr. Gunawardhana served as an Executive Committee member of Crop Life Sri Lanka from 2003 to 2016, and elected as Chairman, of the industry association in 2005, 2006 and reappointed for the same position in 2014 & 2015. In addition, he served as an Executive Committee member of Toxicological Society of Sri Lanka from 2011 - 2016 and served as a board member of the Faculty Board of Faculty of Agriculture, University of Ruhuna Sri

BOARD OF DIRECTORS

Lanka from 2009 -2012. At present, he serves as a Board Director for Agriculture Sector Skill Council of Sri Lanka. Further, he engages with academic activities as a Visiting lecturer for Faculty of Agriculture and Plantation Management, Wayamba University Sri Lanka and the Faculty of Agriculture, University of Ruhuna Sri Lanka."

Mrs. S. Kotakadeniya Non-Executive Director

Ms. Sunjeevani is a fellow member of Chartered Institute of Management Accountants (UK), Chartered Global Management Accountant (USA) and holds a Masters in Business Administration from the University of Colombo. A senior Finance professional with extensive experience in strategic Management and Financial management in several industries holding senior positions in the Financial services, Insurance, Leisure, Trading, Manufacturing, Construction, Agriculture and Plantations and IT services sectors. She is a catalyst in change management, restructures, mergers, acquisitions and project management, has taken leadership in strategic change, driving organisations to leading positions.

Currently holds the position of Chief Financial Officer, LOLC Group overseeing finance functions for the group locally and internationally. She serves as a Director in several LOLC Group Companies including several regulated entities, Seylan Bank PLC, LOLC General Insurance PLC, Serendib Microinsurance PLC –

Cambodia, LOLC Microfinance Bank Limited - Pakistan and listed entities, Hapugastenna Plantations PLC, Udapussellawa Plantations PLC and Sierra Cables PLC.

Mr. A. P. Weerasekera Managing Director

Mr. Pasad Weerasekera is a Fellow of the Chartered Institute of Management Accountants of the United Kingdom, a fellow member of Chartered Global Management Accountants (CGMA-USA), a Fellow of the Certified Management Accountants of Sri Lanka, a Fellow of the Institute of Public Accountants Australia, and a Member of the Certified Practising Accountants Australia, with over 30 years of industry experience. He was a Founding Director of AgStar PLC, serving first as Finance Director and then as Chief Operating Officer. He has made significant contributions to the Company becoming a viable business entity. Mr. Weerasekera previously worked at CIC Agri Business as Finance Manager and gained extensive experience in the management of agribusiness activities. Mr. Weerasekera is also serving as the Managing Director of subsidiaries of AgStar group and Director of Sapase (Pvt) Ltd.

Mrs. S. N. Wickramasinghe Independent Non-Executive Director

Mrs. Siromi Wickramasinghe is an Attorney at Law of the Supreme Court of Sri Lanka and a Fellow of the Chartered Management Institute U.K.

She is a Senior Banker with 35 years of experience and has held many positions in financial institutions including the post of DGM - Hatton National Bank PLC, GM / CEO Lankaputhra Development Bank, Director - Commercial Bank of Ceylon PLC, Chairman of HDFC Bank and Director – Sri Lanka Banks' Association (Guarantee) Ltd, Chairman of Ceybank Asset Management (Pvt), Director - HNB Assurance PLC.

She was also a Commission Member of the Securities and Exchange Commission of Sri Lanka (SEC) and Head of the Credit Counselling Centre.

Mr. D. S. K. Amarasekera Non-Executive Director

Mr. Kamantha Amarasekera is a member of the Institute of Chartered Accountants of Sri Lanka and is an Attorney- at-Law of the Supreme Court of Sri Lanka. He also holds a degree in Business Administration from the University of Sri Jayewardenepura and began his career in the year 1998. Mr. Amarasekera is an eminent Tax Consultant and the Senior Tax and Legal Partner of M/s. Amarasekera & Company, a leading tax consultancy firm in the country. In addition to his directorship in this company, his other key appointments are: Director - Kelani Tyres PLC, Lanka Milk Foods (CWE) PLC, Madulsima Plantations PLC, Balangoda Plantations PLC, Eden Hotel Lanka PLC, Ceylon Hotels Corporation PLC, Palm Garden Hotels PLC, Serendib Hotels PLC, Dolphin Hotels PLC,

Hotel Sigiriya PLC, Hapugastenna Plantations PLC, Udapussellawa Plantations PLC and several other subsidiaries of Browns Investments Group.

Mr. R. K. A Ranaweera

Independent Non-Executive Director

Mr Athula Ranaweera is a fellow member of the Institute of Chartered Accountants of Sri Lanka (CA SL), The Institute of Accounting Technicians of Sri Lanka (AAT SL) and the Institute of Certified Management Accountants of Sri Lanka (CMA SL). He holds an Honours Degree in Business Administration from the University of Sri Jayawardenapura. Further he serves as a Council Member of Gampaha Wickramarachchi University of Indigenous Medicine (GWUIM).

He is the managing partner of Ranaweera Associates (Chartered Accountants) and also the Managing Director of Assent Advisory Partners (Pvt) Ltd. He counts over 45 years' experience in Auditing, Financial Reporting and Taxation. In addition, he is an Independent and Non-Executive Director of Agalawatte Plantations PLC and acts as a member of the Finance Committee and chairs the Audit Committee of the same. Further he serves as an Independent Director of Damro Holdings (Private) Limited and Marino Leisure Holdings (Private) Limited.

Dr. (Mrs.) A.D.N de Zoysa

Independent Non-Executive Director

Dr. (Mrs.) de Zoysa has been a member of the Board of AgStar PLC since 28 June 2019. She was the former Secretary to the Ministry of Plantation Industries from 2014 to 2015, the former Secretary to the Ministry of Productivity Promotion from 2013 to 2014, the former Secretary to the Ministry of Fisheries and Aquatic Resources Development from 2010 to 2013. Dr. de Zoysa is a Class I Special Grade officer of the Sri Lanka Planning Service and had her initial period of career at the National Planning Department of the Ministry of Finance and Planning where she served in different capacities after leaving the University for 31 years until reaching the Director General positions of the Department of Development Finance from 2006 to 2010 and the Director General of the Department of Fiscal Policy from 2005 to 2006.

Dr. (Mrs.) de Zoysa holds a B.A (Hons.) Degree in Economics (Statistics) from the University of Peradeniya, M.Sc. Degree in Agricultural Development Economics from the Australian National University, Canberra, Australia, M.A. Degree in Economics from the Ohio State University, Columbus, Ohio, USA and Ph.D. Degree in Agricultural Economics from the Ohio State University, Columbus, Ohio USA.

Dr. (Mrs.) de Zoysa currently serves as a Director of Central Finance Company PLC since 2017, member of the Public Service Commission since April 2023, and member of the Board of Studies of the Post Graduate Institute of Management.

She has previously served as a Director of DFCC Bank PLC, Lankaputhra Development Bank, and Sri Lanka Savings Bank. She also served as the ex officio member on the Board of Sri Lanka Ports Authority and member on the Board of Ceylon Petroleum Storage Terminal Ltd (CPSTL). She also served as a Consultant to the CHEC Port City Colombo (Pvt) Ltd project from 2015 to 2020. She has been appointed as the Chairperson of the Cabinet Appointed Standing Procurement Planning Committee for Fertiliser in 2013.

Mr. W.K.D.T. Abeyrathne

Executive Director

Dynamic corporate professional Danesh Abeyrathne serves the LOLC Group as Director and Chief Executive Officer of LOLC Advanced Technologies, the Research and Innovation arm of the renowned LOLC Group. also, the former Chief Operating Officer and presently the Executive Director of the Browns Group. The young professional, with his proven track record in the fields of Engineering, Manufacturing, Plantation, Agriculture, Marketing, and Research and Development, is also serving on some noteworthy foreign boards.

His extensive board affiliations extend to LOLC Advanced Technologies (Pvt) Ltd, LOLC Advanced Technologies Australia (Pvt) Ltd, Ceylon Graphene Technologies (Pvt) Ltd, Gal Oya Plantations (Pvt) Ltd, Gal Oya Holdings (Pvt) Ltd, Browns Agri Solutions (Pvt) Ltd, BI Commodities & Logistics (Pvt) Ltd, Browns Leisure

BOARD OF DIRECTORS

(Pvt) Ltd, Browns Industrial Park (Pvt) Ltd, LOLC Geo Technologies, Grey Reach Investment Ltd, Sunbird Bioenergy Ltd (Sierra Leone), Tropical Island Commodities (Pvt) Ltd, Fortigrains (Pvt) Ltd, Urumaya Resources Zimbabwe, Sun Yield Bio Ingredients (Pvt) Ltd, and several other subsidiaries of the Group.

Mr. Abeyrathne holds a Bachelor of Science (Hons) degree in Engineering from the University of Ruhuna. He is an Associate Member of the Chartered Institute of Marketing (UK) and the Institute of Engineers (SL), as well as a Fellow Member of the Chartered Institute of Management Accountants (UK) and the Chartered Global Management Accountants (CGMA) (USA).

Mr. P. Weerasingha

Executive Director

Joining the LOLC Group in 2018, Mr. Panduka Weerasingha currently holds several key management positions and serves on multiple boards in the group. He is the CEO of Browns Investments PLC, CEO/ Executive Director of Iconic Trust (Pvt) Ltd and an Executive Director of Agstar PLC, Sansun Boutique Hotels Ltd, Browns Developments Ltd. He is also a Director of LOLC Geo Technologies (Pvt) Ltd, Browns Teas, BG Air Services, Browns Metal & Sands (Pvt) Ltd & Browns Properties (Pvt) Ltd.

Mr. Weerasingha counts over 27 years of management experience of which, 12 years in the capacity of a Director/Chief Executive Officer. He possesses expertise in turning around loss making/

mismanaged entities to profitable ventures, Manufacturing, Investor/ Shareholder Relations, identifying & acquiring most profitable investment opportunities, Real-Estate Management, Channel Management, Project Management & People Development backed up with excellence in performance & achievements. Before joining the Group, Mr. Weerasingha has held key leadership positions in leading groups/companies such as Singer (Sri Lanka) PIC, Brown & Company PIC, Associated Battery Manufacturers (Pvt) Ltd, BASF Lanka (Pvt) Ltd, Ceyoka (Pvt) Ltd, International Construction Consortium (ICC). In addition to the above, he has also been providing consultancy services to the mercantile sector. Mr. Weerasinghe holds a Master of Business Administration (MBA) from American International University, Los Angeles, California and an old boy of S. Thomas' College Mount Lavinia

Mr. Manju Gunawardana

Non-Executive Director

Mr. Manju Gunawardana counts over 25 years in Research and Innovation in various subject areas including Nano technology, Advanced Material & Engineering. He started his career as an electronics engineer and specialised in military electronics. Mr. Gunawardana has worked in some of the Sri Lanka's leading engineering companies such as TOS Lanka Co Pvt Ltd and Orange Electric as a Director Engineering and Head of Research responsible for product development and research management. He served as the CEO at CIC Precision Agriculture (Pvt)

Ltd, Head of Research & Innovation at CIC Holdings PLC and pioneered Precision Agriculture Technologies based on drone applications in Sri Lanka. Mr. Gunawardana has worked as a principal Research Engineer at MAS Holdings, Sabre Technologies and was responsible for Real time system design. Currently he is the Group CEO of the Research and Innovation arm of LOLC as well as a Consultant Senior Research Scientist/Director at Sri Lanka Institute of Nano Technology (SLINTEC). Also, his contribution in unveiling Sri Lanka's pristine graphite to the world is so far is remarkable, being the pioneer and founder of Ceylon Graphene Technologies Pvt Ltd (CGTL), Sri Lanka's first graphene and advanced material company and he currently serves as CEO / Director. Mr. Gunawardana is the winner of multiple international awards including 3 Geneva Innovation Congress Gold Medals and one Silver Medal. He has also twice won the national title as the Best Inventor in Sri Lanka. Mr. Gunawardana is also a Director of LOLC Advanced Technologies (Pvt) Ltd, Ceylon Nano Diagnostics (Pvt) Limited, Associated Battery Manufacturers (Ceylon) Limited, Browns Agri Solutions (Pvt) Ltd, Browns Pharma Limited and BI Holdings (Private) Limited.

LEADERSHIP TEAM

Mr. Wajira Gamage

Director – Fertiliser

Mr. Ruwan Marambage

Director – Cropcare

Mr. Sumudu Wijesinghe

Director – Market Development

Mr. Lakmal Dissanayake

General Manager – Head of Sales Fertiliser

Mr. Danushka De Zoysa

General Manager

Business Unit Head - Agri Machinery

Mr. Sumedha Bandara

General Manager – Sales and Marketing OFC and
Fruit Sector - Fertiliser

Mr. Rasika Fernando

Deputy General Manager – Seeds, Irrigation
Solution and Post-Harvest Solution

Mr. Samantha Dassanayake

Chief Manager – Quality Assurance

Mr. Udara Weerakkody

Chief Manager – Sales and Marketing Cropcare

Ms. Trisette Ferdinand

Head – Human Resources Management

Mr. Sakitha Lakshan

Head of Finance

Mr. Mahanama Kusumasena

Manager – Sales & Marketing Coconut Sector
Fertiliser

Mr. Chandana Udawela

Manager – Sales Desk Operations and Logistics

Mr. Kusal Fernando

Deputy Manager - Finance

THE YIELDS OF PERSISTENCE

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MANAGEMENT DISCUSSION & ANALYSIS

In the financial year 2023/24, AgStar Group, a prominent player in Sri Lanka's agricultural sector, concentrated its efforts on the fertiliser, seeds, agrochemical, and agri-machinery industries. Each of these was designated as a Strategic Business Unit (SBU). The Company navigated through a challenging year marked by intense competition and economic pressures yet remained resilient and focused on innovation and strategic growth.

Following the economic crisis and the subsequent easing of chemical fertiliser bans, Sri Lanka's agricultural sector showed signs of recovery. However, this resurgence was accompanied by increased competition, making it harder for farmers to afford essential products like tractors, agri-machinery, and pesticides due to rising prices. These economic challenges pressured AgStar Group to provide affordable products, which significantly impacted its profit margins and overall financial performance.

Fertiliser

The fertiliser segment faced a 3% decline compared to the previous financial year, mainly due to increased competition and new market entrants. With more options available, farmers exercised greater choice, prompting AgStar Group to innovate. The Company shifted its focus toward producing specialised blended fertilisers for specific agricultural sectors, including cinnamon, rubber, and tea. This strategic decision aims to enhance the quality and competitiveness of AgStar's fertiliser products.

To further strengthen its market position, AgStar PLC rebranded its fertiliser products to "Browns Fertiliser" and established a dedicated market development team. The Company also invested in a laboratory to ensure the highest

quality standards in its offerings. Despite a modest top-line growth of 3%, the shift from high-margin organic products to more competitive chemical fertilisers compressed the Company's margins, resulting in lower profit than the previous year's profit after tax (PAT) of Rs. 165 million.

Cropcare

The Cropcare business experienced significant challenges due to increased competition, leading to a decline in revenue. Despite this, the removal of the chemical ban in August 2022 led to a dramatic 925% increase in Glyphosate sales compared to the previous year. To combat the illegal pesticide trade and re-establish brand value, AgStar Group focused on enhancing relationships with distributors and ensuring strict quality assurance protocols.

Seeds

The seeds business, which integrates the AgStar and Prith seed operations, also encountered high competition. In 2023/24, the Company introduced new seed varieties, such as Maize Green, Maize Cash, and Tomato Malka, and plans to expand its portfolio with additional varieties and continued research into new seed innovations. However, the seed paddy sector underperformed relative to other seed products during the year.

Agri-tech

The Agri-tech division, like the other segments, faced numerous challenges, including increased loan costs and higher interest rates, leading to decreased demand for tractors and harvesters. In response, AgStar focused on selling existing stock and spare parts while introducing new irrigation technologies to farmers. Looking ahead, the Company plans to expand its portfolio by introducing new storage and drying systems as post harvesting development methods.

Future Plans

AgStar Group is committed to transforming into a one-stop solution for Sri Lankan farmers by continuing its focus on quality, innovation, and sustainability. Key initiatives include expanding the agri-technology machine division, introducing new irrigation technologies, and implementing Grain Pro storage systems. The Company has already installed solar power generation projects at several warehouses and plans to extend this capacity to its Ekala premises, reinforcing its commitment to green technology.

The Company also aims to diversify its suppliers for crop protection products and introduce new technologies in collaboration with global partners. Revitalising the seed segment with new leadership, improved product quality, and strategic partnerships is a priority. Furthermore, the restart of the technology division and securing exclusive agreements for advanced irrigation solutions will position AgStar PLC as a comprehensive solutions provider.

Reflecting on the fiscal year 2023/24, AgStar Group's journey was marked by resilience and adaptability amidst a challenging market environment. The Company emerged stronger with a clear strategic direction, dedicated to excellence and innovation. With a continued focus on expanding its product portfolio, enhancing product quality, and fostering sustainability, AgStar Group is well-positioned for a promising future as a leader in the agricultural sector, committed to meeting the needs of Sri Lankan farmers.

FINANCIAL REVIEW

The 2023/24 financial year, Group Turnover increased by 3% from Rs. 7,458 Mn in 2022/23 to Rs. 7,666 Mn, while operational profit decreased by 97%, from Rs. 2,968 Mn in the previous year to Rs. 95 Mn. AgStar Group profitability decreased by 90% from Rs. 1,659 Mn in the previous year to Rs. 160 Mn in the current financial year, due to the several economic factors effect on Sri Lanka agricultural industry after the economic crisis.

SHAREHOLDER INFORMATION

AgStar PLC was listed on the Colombo Stock Exchange on 16/02/2012. As per the Listing Rules, the Company has submitted the unaudited interim financial statements to the Colombo Stock Exchange (CSE) within 45 days of each quarter.

Financial Calendar

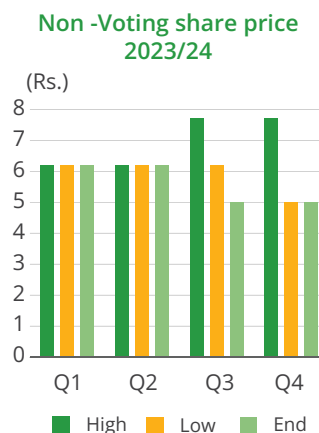
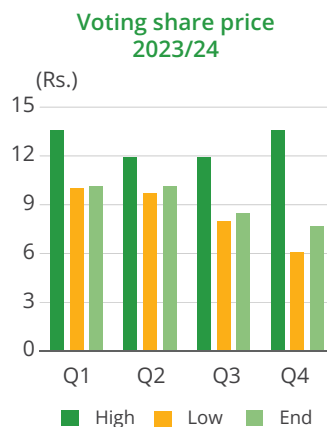
Financial year end	31st March 2024
Announcement of results	
1st Quarter ended 30th June 2023	09th August 2023
2nd Quarter ended 30th September 2023	10th November 2023
3rd Quarter ended 31st December 2023	09th February 2024
4th Quarter ended 31st March 2024	28th May 2024

SHARE PRICES

The highest voting share price recorded during the financial year was Rs. 13.60 while the lowest was Rs. 6.10. During the financial year under review, the share price fluctuated significantly, eventually ending at Rs. 7.70 per voting share on March 31, 2024.

The highest Non-voting share price recorded during the financial year was Rs. 7.70, while the lowest was Rs. 5.00. During the financial year under review, the share price fluctuated significantly, eventually ending at Rs. 5.00 per Non-voting share on March 31, 2024.

The graph table depicts the price trends of AgStar voting shares over the course of the year



SUSTAINABILITY REPORT



OUR APPROACH

AgStar PLC, we are dedicated to promoting sustainable practices within the agricultural sector. As a leading provider of agriculture-related products and services, we play a vital role in advancing the industry and supporting the numerous individuals employed in this field. Our commitment to sustainability is a core aspect of our vision, driving us to create long-term economic, environmental, and social value for all our stakeholders, both internal and external.

EMPLOYEES

We value our employees as our greatest asset. They have confronted major challenges in recent times, such as the pandemic and economic downturn. To support them, we invest in their growth with seamless onboarding and effective talent retention strategies. Our team

receives training in both technical skills and interpersonal abilities to better assist farmers, emphasising a customer-focused mindset.

We prioritise occupational health and safety, ensuring our team understands product usage and maintains a safe workplace. As part of the respected LOLC Group, our employees enjoy collaborative opportunities and a bright future within our organisation.

WORKPLACE CULTURE

Diversity and inclusion are at the heart of our sustainability values. We create a workplace where every employee feels valued, empowered, and essential to our shared achievements. By promoting trust and responsibility, we encourage our team to take initiative and make meaningful decisions. Our commitment to transparent

recruitment and fair promotions underscores our dedication to be an equitable employer that values inclusivity.

CONTINUOUS LEARNING

We prioritise continuous learning and development for our employees. We regularly conduct training programs to keep our team updated on the latest industry trends. These cover a range of topics, including ISO certification and detailed product knowledge, which helps improve our operational efficiency. By leveraging our team's collective expertise, we aim to bring prosperity to the farming community we support.

EMPLOYEE WELFARE

We create a workplace based on respect, tolerance, and dignity, where every employee feels valued. Our welfare program includes benefits like gifts for marriages and

SUSTAINABILITY REPORT

the birth of employees' first child. We also organise events like an annual sports day and company-wide annual get together to encourage teamwork and celebrate together.

SUSTAINABLE AGRICULTURE

Our relationship with farmers is built on sharing knowledge and offering expert guidance to overcome weather changes and government policies. By providing our team and farmers with precise technical advice and eco-friendly solutions, we aim for a sustainable future in Sri Lanka's agriculture. Through our agri-tech division, we introduce advanced machinery and new irrigation systems to update traditional farming methods, bringing generations together and encouraging young farmers to embrace agriculture with new strength.

FARMERS AND DISTRIBUTORS

Our products and services revolve around empowering farmers. We do this through innovative product launches, thorough training programs, and hands-on field visits to improve yields and address challenges. Our wide network of distributors ensures farmers in remote areas have access to our high-quality products. We build strong partnerships with distributors by providing specialised training in product management and logistics. Additionally, our extension officers work closely with farmers to offer support and expand our reach beyond our existing network of dealers.

COMMUNITY AND ENVIRONMENTAL RESPONSIBILITY

We value our connections with local communities and prioritise impactful Corporate Social Responsibility (CSR) efforts. We demonstrate environmental stewardship through initiatives like monitoring water and energy use and promoting renewable energy through rooftop solar projects.

SUSTAINABLE FUTURE

AgStar PLC is dedicated to delivering value to all stakeholders. With comprehensive agricultural solutions and a strong focus on sustainability, we lead by working closely with farmers to benefit the industry and communities. Our goals include reducing our environmental footprint, enhancing productivity and product quality, and establishing a significant presence in the hybrid seed sector. Our innovative blended fertilisers and crop care products reflect our commitment to minimising environmental impact. We are committed in our pursuit of sustainability, aiming to promote a sustainable future for agriculture in Sri Lanka by becoming a one stop shop for all agricultural products.

CORPORATE GOVERNANCE

General Governance Policy

AgStar PLC ("AgStar") has continued its commitment to maintain high standards of corporate governance in order to ensure the integrity, accountability and transparency of all transactions as well as to ensure equal importance to business performance in order to ensure value creation.

It is the firm belief of the Board of Directors that an effective self-regulatory framework is vital to pursue stakeholder confidence in the context of increasing trends in deregulation and lack of regulations in certain areas.

The concept of corporate governance covers the entire accountability framework of an organisation. It encompasses aspects of both

corporate and business governance and is based on the premise that a good governance policy alone cannot make an organisation successful. It is only by having in place good corporate governance practices, which are strategically linked to performance management that an organisation is able to focus on the key drivers of the business. This concept emphasises the dual role of the Board of Directors in ensuring conformity to good governance and strategic management for value creation.

AgStar's Adoption of Corporate Governance

Being a listed company committed to maintaining ethics and professionalism in every sphere of activity, AgStar adheres to high standards of corporate governance.

It defines governance as the set of processes, customs, policies, laws and institutions affecting the way in which the corporation is directed, administered and controlled.

Key aspects of the corporate governance framework established by the Company are described below.

In keeping with its vision and mission and with the continued goodwill and confidence of customers very much in mind, the Company is careful not to undertake any business activity that might adversely affect the welfare of the community and the environment.

A detailed description of the status of compliance with Corporate Governance rules is given below;

States of compliance with the Code of Best Practice on Corporate Governance issued by institute of Chartered Accountants of Sri Lanka in 2017

Corporate Governance Principle	Principle No.	Level of Compliance
The Board	A.1	The Board provides the leadership in realising business objectives, value creation and risk management while promoting a culture of transparency and integrity in carrying out the Company's business functions. Frequency of Board Meetings Four Board Meetings are scheduled to evaluate the performance and to discuss strategy and other matters of the Company. Ad-hoc meetings are scheduled to deal with specific matters which require the attention of the Board in-between scheduled meetings. The table below depicts the attendance of Directors at the Board and Committee meetings held during the year;

CORPORATE GOVERNANCE

Corporate Governance Principle	Principle No.	Level of Compliance				
The Board (Continued)	A.1 (Continued)	Name of Director				
		Board Meetings				
		Audit Committee Meetings				
		Remuneration Committee Meetings				
		Related Party Transactions Review Committee Meetings				
		Directors				
		Mr. I. C. Nanayakkara (Appointed w.e.f.31st October 2023)	1/4			
		Mr. R.S. I. Gunawardhana	4/4			
		Mr. A. P. Weerasekera	4/4			
		Mrs. V.G.S.S. Kotakadeniya	4/4			
		Mr. D. S. K. Amarasekera	0/4	0/5	0/1	
		Mr. R.K. Athula Ranaweera	4/4	5/5	1/1	4/4
		Dr. (Mrs.) A. D.N. de Zoysa	4/4	5/5		4/4
		Ms. S. N. Wickramasinghe	4/4	5/5	1/1	4/4
		Mr. W. K. D. T. Abeyrathne	1/4			1/4
		Mr. P. Weerasingha	3/4			
Mr. Manju Gunawardana	3/4					
Mr. E. A. D. N. J. Perera (Resigned w.e.f.11th August 2023)	2/4					
Ms. T. A. P. Weerasinghe (Resigned w.e.f.11th August 2023)	2/4	3/5				
		The Responsibilities of the Board The Board is ultimately accountable for ensuring that, as a collective body, it has the appropriate skills, knowledge and experience to perform its role effectively. The Board is responsible for the following: - • formulation, implementation and monitoring of strategy • effective systems to secure integrity of information, internal controls and risk management • compliance with laws, regulations and ethical standards • ensuring all stakeholder interests are considered in corporate decisions The Board has delegated several functions to Board Committees, while retaining final decision rights pertaining to matters under the purview of the Committees. The composition and the functions of these sub-committees are discussed in detail under the relevant sections of this Report. Obtaining Independent Professional Advice In discharging their duties, the Directors are permitted to seek independent professional advice from external parties when necessary at the expense of the Company. Company Secretary The Directors have access to the advice and services of the Company Secretary. The Company Secretary advises on the need to comply with Board procedures, relevant statutory obligations and other applicable rules and regulations.				

Corporate Governance Principle	Principle No.	Level of Compliance
The Board (Continued)	A.1 (Continued)	Independent Judgment All Directors employ independent judgment in all decisions pertaining to strategy, performance, resource allocation and standards of business conduct and acts free from any undue influence and bias from other parties. Dedication of adequate time and effort to matters of the Board and the Company The Board members dedicate adequate time and effort to fulfil their duties as Directors of the Company and ensure that they are satisfactorily discharged. Newly appointed Directors who do not have previous public company experience at Board level are provided with appropriate training on their role and responsibilities. New Directors participate in a comprehensive and tailored induction program including meetings with members of the senior management. The induction program includes a full review of corporate responsibility. Subsequent training is available on an ongoing basis to meet any particular needs.
Chairman & CEO	A.2	A clear division of responsibility of both roles are maintained by the Company.
Chairman's role	A.3	Mr. I C Nanayakkara was appointed as the Non-Executive Director/Chairman and Mr. R.S.I Gunawardana, Executive Director was re-designated as the Executive Deputy Chairman , w.e.f 31st October 2023. The Chairman being responsible for the running of the Board facilitates the effective discharge of Board proceedings and ensures that: • Effective participation of both Executive and Non-Executive Directors is secured • All Directors are encouraged to make effective contributions to proceedings • The views of Directors on issues under consideration are ascertained, and • The Board is in control of the affairs of the Company and alert to its obligations to all stakeholders
Financial acumen	A.4	The members of the Board possess the necessary knowledge and competence to offer guidance on matters of finance.
Board balance	A.5	Composition The Board currently comprises of eleven Directors which include seven Non- Executive Directors and four Executive Directors. Three out of seven Non-Executive Directors are Independent. The Board has an appropriate balance of skills, experience, independence and knowledge to enable it to discharge its duties and responsibilities effectively. The Board considers the Independent Directors as free of any business relationship or other circumstance and independent of management that could materially interfere with or could be reasonably perceived to materially interfere with the exercise of their unfettered or independent judgment. To determine their independence, the Board reviews all Directors' interests that may give rise to a potential or perceived conflict, and any circumstances relevant to their current or ongoing independence as set out in the Rules and Regulations of the Colombo Stock Exchange. Dr. (Mrs.) A.D.N. de Zoysa and Mr. R.K. Athula Ranaweera meet the criteria for independence specified by Rule 9.8.3 of the Listing Rules of the Colombo Stock Exchange. These Directors have submitted written declarations of their independence as required by section 9.8.5. of the Listing Rules.

CORPORATE GOVERNANCE

Corporate Governance Principle	Principle No.	Level of Compliance
Board balance (Continued)	A.5	Mrs. S. N Wickramasinghe who is over 70 years of age, has completed nine years of service as a Director on 03rd June 2022. Further, R K A Ranaweera also has reached over 70 years of age on 19th August 2024. The Board is of the opinion that the aforesaid Directors are nevertheless independent by taking into account all the circumstances and is satisfied that they are free of material business or other relationship that could interfere with or could reasonably be perceived to interfere with the exercise of their unfettered and independent judgements , subject to the relevant transitional period.
Supply of Information	A.6	The Board is provided with timely information in an appropriate manner enabling it to discharge its duties effectively. In the event the information volunteered by management is not adequate, the Directors make further inquiries. The Chairman ensures all Directors are appropriately briefed on issues arising at Board Meetings. The minutes, agenda and connected papers required for a Board Meeting are dispatched to the Directors in advance enabling them with sufficient time to review the papers and request for any additional information or clarifications on matters when necessary.
Appointments to the Board	A.7	The Board has not established a Nominations Committee for making recommendations on Board appointments. Hence appointments to the Board are made collectively and with the consent of all the Directors. However, in terms of Section 9.11 of the Listing Rules, the Company is moving towards compliance before 01st October 2024. Upon the appointment of a new Director to the Board, the Company informs the Colombo Stock Exchange together with a brief resume of the Director which includes; • The nature of his/her expertise in relevant functional area, • Other Directorships or memberships in Board sub committees, • Whether the Director is considered an Independent Director. During the year, Mr. I. C. Nanayakkara was appointed as the Non-Executive Chairman of the Company w.e.f.31.10.2023 and the aforesaid procedure was followed by the Company.
Re-election	A.8	In compliance with the Articles of Association of the Company, one third of the Directors retire by rotation at every Annual General Meeting. A Director appointed during the year retires at the next Annual General Meeting of the Company and seeks re-appointment in terms of the Articles of Association of the Company. The following re-election/election of Directors will be recommended by the Board of Directors for shareholders' approval at the forthcoming AGM; 1. Mr. I C Nanayakkara under Article 23(2) of the Articles of Association 2. Mr. A P Weerasekera under Article 23(6) of the Articles of Association 3. Mrs. V G S S Kotakadeniya under Article 23(6) of the Articles of Association 4. Mr. P Weerasingha under Article 23(6) of the Articles of Association Furthermore, in accordance with Section 210 of Companies Act No.07 of 2007, Mrs. S. N. Wickramasinghe and Mr. R K A Ranaweera will retire and be eligible to be re-elected as Directors at the forthcoming Annual General Meeting of the Company. The shareholder's approval shall be sought by way of an ordinary resolution at the forthcoming Annual General Meeting of the Company, resolving that Section 210 of the Companies Act No.07 of 2007, shall not apply to the said Directors.

Corporate Governance Principle	Principle No.	Level of Compliance
Appraisal of the Board performance	A.9	The Annual appraisals of the Board of Directors was carried out for the period under review.
Disclosure of Information in respect of Directors	A.10	Current Directors' biographical details such as name, qualifications and brief profile are set out on pages 11 to 14 of this Annual Report. These include their main external commitments.
Level and makeup of remuneration	B.2	The level of remuneration for both Executive and Non-Executive Directors is sufficient to attract and retain the Directors to run the Company successfully. The Remuneration Committee compares the levels of remuneration of the Company in relation to other companies in the industry. The Remuneration Committee report appears on page 39 of this Report.
Disclosure of remuneration	B.3	The total remuneration of the Directors' is disclosed in Note 09 to the Financial Statements.
Constructive use of the Annual General Meeting	C.1	The Shareholders of the Company have the opportunity to meet and question the Board at the Annual General Meeting. Each item of business to be considered at the Annual General Meeting is included with the Notice of Meeting which is sent to shareholders at least 15 working days prior to the meeting. The Chairpersons of the Audit, RPTR and Remuneration Committees are present at the Annual General Meeting to answer any questions raised by the shareholders.
Major transactions	C.3	There were no major transactions during the year as defined by Section 185 of the Companies Act No. 07 of 2007 which materially affect the net asset base of AgStar PLC or Consolidated Group net asset base.
Financial and business reporting	D.1	The Board ensures that the quarterly and annual Financial Statements of the Company are prepared and published in compliance with the requirements of the Companies Act No. 07 of 2007, Sri Lanka Accounting Standards and the Colombo Stock Exchange. The Statement of Directors' Responsibility in preparation of the Financial Statements is given on page 38 of this Report. The Deputy Executive Chairman's and Group CFO's statement is given on page 53 of this Report. The declaration by the Board that the Company is a going concern is given in the Directors' Report on the state of affairs of the Company.

CORPORATE GOVERNANCE

Corporate Governance Principle	Principle No.	Level of Compliance
Risk Management Process	D.2	The report on Risk Management given on pages 36 to 37 of this report discusses about the risk management process of the Company.
Audit Committee	D.3	The Audit Committee consists of three Independent Directors. The members of the Committee are indicated in the Directors' Report on the state of affairs of the Company. The Committee is empowered to examine and report on the following :- • Review the financial reporting system • Review internal control framework and identify business risks Review the quality of external and internal audit performance • Review compliance with laws, regulations and professional standards • Recommend the appointment and fees of external auditors The Committee met five times during the year. The Deputy Executive Chairman, Managing Director and Group CFO of the Company attended all meetings by invitation. Refer the Audit Committee report given on pages 54 to 55 of this Report for further details.
Related Party Transactions Review Committee (RPTR)	D.4	The Definition of a Related Party and Related Party Transactions is given in the Notes to the Financial Statements. The composition of the Committee, their responsibilities and other information are given on pages 40 to 41 of this Report for further details.
Code of Business Conduct and Ethics	D.5	The Directors have adopted and adhered to the Code of Business Conduct and Ethics for Directors. A set of Guidelines for ethical behaviour has also been compiled to help employees to act with responsibility and to, make the right decisions in their daily work. This Code of Conduct explains the principles for dealings with business associates, general partners, colleagues and in the community in which we operate. Thus, it supports all employees in acting ethically not only in their dealings with one another but also outside the company.
Shareholder voting	E.1	The company is committed to maintaining good communications with investors. The Chairman conducts a structured dialogue with the shareholders based on the mutual understanding of objectives and ensures that the views of the shareholders are communicated to the Board as a whole. All shareholders are encouraged to participate at meetings of the Company, and a form of proxy accompanies each notice providing shareholders who are unable to attend such meeting the opportunity to cast their vote.

Status of Compliance with the Rule No. 7.10 of CSE Listing Rules as of 31st March 2024

Rule No.	Section	Application Requirement	Compliance	Level of Compliance
7.10.	Corporate Governance Report	Statement confirming that as at the date of the annual report the company is in compliance with these rules	☑	The Company is in compliance with the listing rules of the CSE, as explained below;
7.10.1	Non – Executive Directors	Two or at least one third of the total number of Directors should be NEDs	☑	7 out of 11 Board members are NEDs. The names of the NEDs are provided in the Report of the Board of Directors on page 44 to 52
7.10.2	Independent Directors	7.10.2(a)-Two or one third of NEDs (whichever is higher) should be independent	☑	3 out of the 7 NEDs are independent
		7.10.2(b) Declaration of Independence		A declaration of independence for the financial year ended 31st March 2024 has been submitted by the individual Independent Director.
7.10.3	Disclosures relating to Directors	7.10.3(a) Names of Independent Directors should be disclosed in the Annual Report	☑	Refer Report of the Board of Directors on 44 to 52
		7.10.3(b) The basis for determining the independence of NEDs, if criteria for independence is not met	☑	Based on the declarations received from the Non-Executive Directors the Board has determined that three directors are independent, by virtue of their professionalism, skill and expertise.
		7.10.3(c) A brief resume of each Director should be included in the Annual Report, including his area of expertise	☑	Refer Board profiles on pages 11 to 14
		7.10.3(d) Upon appointment of a new Director a brief resume of the Director should be submitted to the CSE	☑	The Company complies with this requirement, in the event a new director is appointed. Accordingly, during the year Mr. I C Nanayakkara, Chairman was appointed w.e.f.31st October 2023 and his profile was submitted.

CORPORATE GOVERNANCE

Rule No.	Section	Application Requirement	Compliance	Level of Compliance
7.10.4 (a-h)	Criteria for defining the Independence of Directors"	Requirements for fulfilling criteria of Independence	☑	All of the Independent Directors of the Company met the criteria for independency specified in this rule. Mrs. S. N. Wickramasinghe is currently over 70 Years old and have served over nine years on the Board. Further, R K A Ranaweera also has reached over 70 years of age on 19th August 2024. The Board is of the opinion that the aforesaid Directors are nevertheless independent by considering all the circumstances and is satisfied that they are free of material business or other relationship that could interfere with or could reasonably be perceived to interfere with the exercise of their unfettered and independent judgments. The Company will take the necessary steps to comply with Rule 9.8.3. by 01st October 2024.
7.10.5	Remuneration Committee	7.10.5(a) The Committee shall comprise of Non-Executive Directors, majority of whom shall be independent and the Chairman of the Committee shall be a Non- Executive Director 7.10.5(b) Functions of the Remuneration Committee" 7.10.5(c) Disclosure in the Annual Report relating to the Remuneration Committee	☑	The Remuneration Committee comprises three Non-Executive Directors out of which majority of whom are independent. The Chairman of the Committee is a Non-Executive Director. The Committee reviews Board remuneration and makes recommendations to the Board. The aggregate remuneration paid to executive and non-executive directors is disclosed in the Notes to the Financials. Refer Report of the Remuneration Committee (page 39)
7.10.6	Audit Committee	7.10.6(a) Composition of the Audit Committee 7.10.6(b) Functions of the Audit Committee" 7.10.6(c) Disclosure in the Annual Report relating to the Audit Committee	☑	The Committee comprises of three Independent Nonexecutive Directors and a Non-executive director The Chairman of the Committee is an Independent Non-Executive Director and he is a member of a recognised professional accounting body. The committee is guided by a Board approved audit committee charter which includes the functions listed under 7.10.6 (b). Refer Report of the Audit Committee (pages 54 to 55)

Compliance with Section 9 of the Listing Rules issued by Colombo Stock Exchange

Section	Principle, compliance and implementation	Effective date	Complied
9.1.3	<i>Disclosure in the Annual report with regard to the extent of compliance with the Rule</i> The status of compliance with the Rule 9 is given below, subject to the relevant transitional provisions.	01st October 2023	☒
9.2.1	<i>The Company shall disclose the fact of existence of the list of following policies as set out in the rule together with the details relating to the implementation of such policies in the Annual report and make them available on its website</i> (a) <i>Policy on the matters relating to the Board of Directors</i> (b) <i>Policy on Board Committees</i> (c) <i>Policy on Corporate Governance, Nominations and Re-election</i> (d) <i>Policy on Remuneration</i> (e) <i>Policy on Internal Code of Business conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities</i> (f) <i>Policy on Risk management and Internal controls</i> (g) <i>Policy on Relations with Shareholders and Investors</i> (h) <i>Policy on Environmental, Social and Governance Sustainability</i> (i) <i>Policy on Control and Management of Company Assets and Shareholder Investments</i> (j) <i>Policy on Corporate Disclosures</i> (k) <i>Policy on Whistleblowing</i> (l) <i>Policy on Anti-Bribery and Corruption</i> The Company is in the process of finalising the recommended policies to be implemented by 1st October 2024 in conformity with the Rules.	01st October 2024	Moving towards compliance
9.2.2	<i>Any waivers from compliance with the Internal Code of business conduct and ethics or exemptions granted</i>	01st October 2024	None
9.2.3	(i) <i>List of policies in place as per Rule 9.2.1, with reference its website</i> (ii) <i>Any changes to policies adopted</i>	01st October 2024	Moving towards compliance
9.2.4	<i>The Company shall make available all such policies as set out in 9.2.1 to shareholders upon a written request being sent for such policy</i>	01st October 2024	Moving towards compliance

CORPORATE GOVERNANCE

Section	Principle, compliance and implementation	Effective date	Complied
9.3.1 /9.3.2	<i>The following Board subcommittees should be established and maintained at a minimum and shall function effectively : -</i>	01st October 2023 (*01st October 2024)	
	<i>a) Nomination & Governance Committee*</i>		Moving towards compliance
	<i>b) Remuneration Committee</i>		☒
	<i>c) Audit Committee</i>		☒
	<i>d) Related Party Transactions Review Committee</i>		☒
	The Company is in the process of complying with the requirement with regard to the Nomination and Governance Committee by 01st October 2024 in conformity with the Rules. The rest of the Subcommittees are functioning effectively and refer sec.9.11,9.12,9.13 and 9.14 for details.		
9.3.3	<i>The Chairperson of the Board cannot be a Chairperson in any of the aforesaid subcommittees</i>	01st October 2024	☒
	The chair of the board does not also serve as the chair of any board subcommittees.		
9.4.1	<i>Maintenance of records of all resolutions and other information stipulated in section 9.4.1 of the listing rules and shall provide copies of the same at the request of the Exchange and or SEC</i>	01st October 2023	☒
	All records of resolutions and information relating to General Meetings; i.e. upon a resolution being considered valid proxy votes, votes in favour, against and abstained for the resolutions, etc. are maintained by the Company Secretary.		
9.4.2	<i>Communication and relations with shareholders and investors</i>	01st October 2024	☒
	A policy regarding the communication with shareholders and investors will be established by the Company by 01st October 2024. The Company Secretary has been designated as the contact person for such corporate communication by the Company. Any significant/material issues raised by the shareholders/investors are communicated to all directors and addressed where necessary in a transparent manner. The company conducted its shareholder meetings through virtual or hybrid means by complying with the guidelines issued by the CSE.		
9.5.1 & 9.5.2	<i>A Policy on governing matters relating to the Board of Directors should be established with specific requirements prescribed by the Exchange (a) to (j) and to disclose the level of compliance or non-compliance with reasons/remedial actions</i>	01st October 2024	Moving towards compliance
	Governance Framework adopted by the Company and the level of compliance with Rule 9.5.1 is provided in detail in the Corporate governance report. The Company is in progress of developing a policy on matters relating to the Board by 01st October 2024.		

Section	Principle, compliance and implementation	Effective date	Complied
9.6.1	<i>The Chairperson should be a Non-executive Director and the positions of Chairperson and CEO shall not be held by one person; unless a Senior Independent Director (SID) is appointed by the Listed entity</i> Mr. I.C Nanayakkara, Chairman of the Board is a Non Executive Director The relevant positions are held by two individuals. Refer Board composition on pages 11 to 14.	01st October 2023	☒
9.6.2 & 9.6.3	<i>The Market announcement with regard to the non-compliance with Rule 9.6.1 and the rationale for appointing the SID</i> This provision is not applicable to the Company.	01st October 2023	Not applicable
9.7.5	<i>(a) Statement on Directors and CEO satisfying Fit and Proper Assessment Criteria</i> <i>(b) Any non-compliance/s and remedial action taken</i> Annual declarations were obtained as per the requirement of Rule 9.7.4. and the board members have complied with the relevant criteria. The said criteria was considered when recommending the re-election of directors retiring by rotation before the AGM. Refer Board profiles and Report of the Board of Directors on pages 11 to 14 and 44 to 52.	01st October 2023	☒
9.8.1 & 9.8.2	<i>The Minimum number of Directors on the Board should be 5 and the total minimum number of Independent Directors should be 2 or 1/3 of the Board, whichever is higher</i> The Board comprised of 11 Directors including 3 Independent Non-Executive Directors. The Company will comply with the requirement by 01st October 2024.	01st October 2024	moving towards compliance
9.8.3	<i>A director shall not be considered independent if he/she does not fulfil the criteria defining independence under sections 9.8.3 and 9.8.4 of the Rules.</i> Annual declarations were obtained as per the requirement and the Board has determined that Ms. S Wickramasinghe, Mr. R. K. Athula Ranaweera and Dr. A.D.N.de Zoysa are in fact independent, subject to the transitional provisions permitted by the Exchange up to 01st January 2025 for 9.1.4(1)(c)(v) and 9.1.4(3)	01st October 2023	☒
9.8.5	<i>The listed entity shall ensure;</i> <i>a) Each independent director submits a declaration with criteria specified by the Exchange</i> <i>b) The Board shall make an annual determination as to independence / nonindependence and set out the names of directors determined to be independent in the Annual Report</i> <i>c) If the Board determines that the independence of and independent director has been impaired against any criteria set out in 9.8.3 it shall make an immediate market announcement thereof</i> The Company has established a process for determination of independence based on the requirements of this Rule.	01st October 2023	☒

CORPORATE GOVERNANCE

Section	Principle, compliance and implementation	Effective date	Complied
9.9	<i>An Alternate Director can be only appointed for a minimum period of one year under special circumstances and he/she should be of the same nature of Directorship of the Appointer</i> The said requirements shall be incorporated into Articles of Association of the Company.	01st January 2024	Not applicable
9.10.1	<i>A Policy on the maximum number of directorships its board members shall be permitted to hold</i> A director may serve on the boards of any number of companies/ societies/bodies, including subsidiaries and affiliates of the company; however, in the case of listed firms, the number of director appointments may not exceed 20.	01st October 2023	☒
9.10.2	<i>Immediate market announcement upon appointment of new director setting out resume, capacity of directorship, statement indicating if such appointment has been reviewed by the Nominations & Governance Committee</i> During the year, Mr. I C Nanayakkara was appointed as the Chairperson of the Board w.e.f.31st October 2023 and the relevant market announcement setting out the required aforesaid information was made on 03rd November 2023.	01st October 2023	☒
9.10.3	<i>Immediate market announcement regarding any changes to the composition of the Board Committees specified in Rule 9.3</i> The following market announcements with regard to the changes to the composition of the Board were made during the year under review; a) Appointment of Mr. I C Nanayakkara as the Chairperson and re-designation of Mr.R S I Gunawardhana as the Executive Deputy Chairman w.e.f. 31st October 2023 was made on 03rd November 2023 b) Resignation of Mr. E A D N J Perera and Mrs. T A P Weerasinghe from the Board on 11th August 2023 was made on 16th August 2023.	01st October 2023	☒

Section	Principle, compliance and implementation	Effective date	Complied
9.10.4	<i>Disclosure on the following details relating to Directors in the Annual report;</i> <i>a) Name, qualifications, brief profile,</i> <i>b) Nature of expertise in relevant functional area,</i> <i>c) Whether either the director or close family member/s has any material business relationship with the directors of the listed entity,</i> <i>d) Whether executive, non executive and or independent,</i> <i>e) Total number of names of companies in which the director concerned serves as a director/KMP indicating if these are listed,</i> <i>f) Capacity of the position held whether executive or non executive,</i> <i>g) Number of board meetings of the listed entity attended during the year</i> <i>h) Names of board committees in which the director serves as chairperson or member,</i> <i>i) Details of attendance of committee</i> <i>j) Terms of reference and powers of the SID</i> The profile of Board members are provided on pages 11 to 14. Please refer Board of Directors and subcommittee reports for the details regarding meeting attendance and other disclosures on page 22	01st October 2023	☒
9.11	<i>Disclosure requirements regarding the Nomination and Governance Committee under Rule 9.11.6</i> The Company is moving towards compliance.	1st October 2024	Moving towards compliance
9.12.8	Disclosure requirements regarding the Remuneration Committee under Rule 9.12.8 The Remuneration Committee is comprised of two Independent Non-Executive Directors and one Non Executive Director. Mr. D S K Amarasekera the Chairman of the Committee who is a Non Executive Director. The Company will comply with the relevant section during the transition period before 01st October 2024. The aggregate remuneration paid to executive and non executive directors is disclosed on page 39 of the report	01st October 2023	Moving towards compliance

CORPORATE GOVERNANCE

Section	Principle, compliance and implementation	Effective date	Complied
9.13	<i>9.13.1 -The listed entity shall have an Audit Committee conforming with the requirements set out in Rule 9.13</i> <i>9.13.2 - The Committee shall have written Terms of Reference clearing defining scope, authority and duties.</i> <i>9.13.3 -</i> <i>1) Should comprise minimum of 3 directors of the listed entity of whom a minimum of 2 or a majority which ever is higher shall be independent directors; and shall not comprise of any executive directors of the listed entity;</i> <i>2) The quorum for a meeting of the Audit Committee shall require the majority in attendance to be independent</i> <i>3) The Committee may meet as often as required provided that it compulsorily meets on a quarterly basis prior to recommending the financials to be released to the market</i> <i>4) If both parent company and subsidiary are listed entities the Audit Committee of the Parent may function as the Audit Committee of the Subsidiary</i> <i>5) An independent director shall be appointed as chairperson of the committee</i> <i>6) Unless otherwise determined by the Audit Committee, the CEO and the CFO of the listed entity shall attend meetings by invitation.</i> <i>7) The Chairperson of the Audit Committee shall be a member of a recognised professional accounting body</i> <i>9.13.4 - Functions of the Audit Committee</i> <i>9.13.5 - Disclosures in the Annual Report</i> The Audit Committee is comprised of three Independent Non-Executive Directors and one Non Executive Director and Mr. R.K. Athula Ranaweera is the Chairman of the Committee who is an Independent Non Executive Director. Mr. Ranaweera is a Fellow member of the Institute of Chartered Accountants of Sri Lanka The Committee does not include any Executive Directors. Please refer Report of the Audit Committee on pages 54 to 55	01st October 2024	☒
9.14.1 - 9.14.4	<i>Composition, functions and general requirements of the Related Party Transactions Review Committee</i> The RPTR Committee is comprised of three Independent Non-Executive Directors and one Non Executive Director and Ms. S Wickramasinghe, Independent Non-Executive Director is the Chairperson of the Committee. Please refer Report of the RPTR on pages 40 to 41	01st April 2024	☒

Section	Principle, compliance and implementation	Effective date	Complied
9.14.5-10	<i>Under Sec.9.14.8(1), disclosure of non-recurrent Related Party Transactions exceeding 10% of the Equity or 5% of the Total Assets, whichever is lower</i>	01st October 2023	☑
	Refer Note no 30 to the Financial Statements on page 119		
	<i>In terms of Sec. 9.14.8(2), disclosure of recurrent Related Party Transactions exceeding 10% of the gross revenue/income</i>		
	Refer Note no 30 to the Financial Statements on page 119		
	<i>In terms of Sec. 9.14.8(3), disclosure requirements regarding the Related Party Transaction Review Committee under Rule 9.14</i>		
	Please refer Report of the RPTR Committee on pages 40 to 41		
	<i>In terms of Sec. 9.14.8(4), affirmative declaration by the Board of Directors on compliance with RPT Rules or negative statement to that effect.</i>		
9.16	There were no RPTs during the year which required Shareholder approval as set out in Rule 9.14.6.	01st October 2023	☑
	There were no RPTs during the year which required immediate market announcement as set out in Rule 9.14.7.		
	During the year there were no acquisition or disposal of substantial assets from / to Related Parties.	01st October 2023	☑
	Please refer Report of the RPTR Committee on pages 40 to 41 and Board of Directors report on pages 44 to 52		
9.16	<i>Additional disclosures by Board of Directors under Rule 9.16</i>	01st October 2023	☑
	The relevant declarations by the Board of Directors are included in their report on pages 44 to 52.		

REPORT ON RISK MANAGEMENT

Risk is an inherent part of the business and AgStar PLC and its group companies operating in the agricultural and related products sector are no exception. Irrespective of the nature and the size of the business, risk is inevitable in doing business. In broad, such risk factors can be two fold, systematic risk and unsystematic risk. Systematic risk is the risk which cannot be diversified or avoided. On the other hand the

unsystematic risk represents the risk unique to the respective business operation which in turn could be mitigated or avoided with risk management activities.

AgStar PLC and its group companies being an entity that closely engages in the agricultural and related products are always open for systematic risks such as adverse weather conditions, impediment

government rules and regulations in relation to the agro industry. However, the risk management activities of the company which are an intrinsic part of the business processes from the beginning to the end are expected to mitigate the risk of the group. This report highlights the key risks faced by the AgStar Group and outlines the associated risk mitigation activities.

Description of Risk	Risk Mitigation
Business/ Investment Risks Risk of losses and uncertainties attached to new business investments as the Group continuously looks to diversifying its existing business portfolio	Conduct stringent evaluations of risks associated with new business investments, utilising in-house expertise and external resources as needed. Form strategic alliances with reputed partners to diversify the existing business portfolio, create synergies, and share investment risks. Prioritise addressing potential adverse ethical, social, and environmental factors before venturing into new projects.
Default Risk Default of subsidy component settlements by the Government of Sri Lanka (GoSL)	Currently the likelihood of the default risk is low. However, continuous representative efforts are being carried out in this regard. Engage in constant follow-up with government authorities to ensure timely recovery of subsidy components.
Economic Risk Risk of an economic downturn negatively impacting the Group's investment and business operations.	Monitor domestic and global economic activities closely to identify potential downturns that could negatively impact the Group's investments and operations. Foster and maintain sound relationships with relevant stakeholders to navigate economic challenges effectively.
Interest Rate Risk Adverse impacts on profitability owing to changes in market interest rates as the Group borrowing are mostly at floating interest rates.	Maximise returns on financial investments and minimise borrowing costs Utilise appropriate financial and hedging strategies to mitigate the risk of adverse impacts on profitability due to changes in market interest rates. Leverage AgStar's strength as a listed company to negotiate for concessionary interest rates when seeking funding
Regulatory and Complaints Risk Introduction of new regulation affecting the business adversely and complexity in complying with regulatory requirements	Monitors complaints with regulatory requirements. Actively participate in representative efforts against regulations that could adversely affect the business or industry.

Description of Risk	Risk Mitigation
Credit Risk The probability of the loss of income owing to default by the company's debtors	Conduct in-depth analysis of debtor performance to identify and assess potential risks. Implement robust follow-up procedures for overdue debtors to minimise potential income losses. Maintain proactive communication and strong relationships with debtors to mitigate credit risks
Employee Risk Risk arising from the inability to attract, motivate and retain skilled and experienced staff, thus impacting the business competitiveness.	Build a strong employer brand to attract and retain skilled and experienced staff, ensuring business competitiveness Implement effective human resource policies and plans reviewed by the remuneration committee Foster an open-door policy that encourages employees to voice their concerns to senior management, promoting a supportive work environment
Operational Risk Losses resulting from fraud, human errors, inefficient processes, natural perils and loss of sensitive information.	Conduct periodic internal audit reviews to ensure the effectiveness of internal control systems and address potential operational weaknesses Develop and maintain a comprehensive business continuity plan to ensure disaster preparedness and minimise operational disruptions Safeguard sensitive information and establish protocols to mitigate the risk of fraud and human errors
Funding / Liquidity Risk Difficulty in obtaining required funding for projects.	Maintain a robust business continuity plan to ensure preparedness for potential funding and liquidity challenges. Leverage AgStar's status as a listed company to raise economical funding when required Proactively explore funding options and maintain strong relationships with financial institutions
Lack of Government support Lack of Government support to promote and encourage the private participation in the industry	Maintain constant communication with authorities to stay informed about policy changes and initiatives Advocate for favourable government support and policies that benefit the business and the industry as a whole
Competition Risk Risk of losses from a decline in company's competitiveness.	Regularly analyse competitor activities and performance to identify potential threats and opportunities. Develop and implement strategies to enhance AgStar's market share and competitiveness. Continuously monitor market trends and adapt business strategies accordingly

STATEMENT OF DIRECTORS' RESPONSIBILITY

The Statement sets out the responsibility of the Directors, in relation to the Financial Statements of the AgStar PLC (the Company). The responsibilities of the External Auditors in relation to the Financial Statements are set out in the 'Auditors Report' given on pages 56 to 59.

In terms of Sections 150 (1) and 151 of the Companies Act No. 07 of 2007, the Board of Directors of the Company are responsible for ensuring that the Company keep proper books of account of all the transactions and prepare Financial Statements that give a true and fair view of the financial position of the Company as at end of each financial year and of the financial performance of the Company for each financial year and place them before a general meeting.

The Financial Statements comprise of the Statement of Financial Position as at 31st March 2024, the Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year then ended and Notes thereto.

Accordingly, the Directors confirm that the Financial Statements of the Company give a true and fair view of the:

- Appropriate Accounting policies have been selected and applied consistently;
- Financial Statements have been prepared and presented in accordance with Sri Lanka Financial Reporting Standards (SLFRS) and Sri Lanka Accounting Standards (LKAS);

- The Financial Statements provide the information required by the Companies Act and Listing Rules of the Colombo Stock Exchange; and
- Reasonable and prudent judgments and estimates have been made.

The Directors have taken reasonable measures to safeguard the assets of the Company and of the Group and in this regard to give proper consideration to the establishment of appropriate internal control systems with a view of preventing and detecting fraud and other irregularities.

The Directors have a reasonable expectation, that the Company and the Group have adequate resources to continue in operational existence for the foreseeable future and therefore have continued to adopt the going concern basis in preparing the Financial Statements.

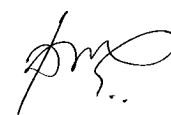
Messrs KPMG, Chartered Accountants, the Auditors of the Company, have examined the Financial Statements made available by the Board of Directors together with all relevant financial records, related data, and minutes of Shareholders' and Directors' meetings and expressed their opinion in their Report on pages 56 to 59 of the Annual Report.

The Directors confirm that to the best of their knowledge, all statutory payments relating to employees and the government that were due on behalf of the Company and the Group as at the date of the statement of financial position

have been paid, or where relevant provided for, except as disclosed in Note 32 to the Financial Statements covering contingent liabilities.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

By Order of the Board
Agstar PLC



Mr. Ishara Nanayakkara
Chairman
Colombo

30th August 2024

REMUNERATION COMMITTEE REPORT

COMPOSITION OF THE COMMITTEE

During the year under review, the composition of the remuneration committee appointed by the Board of Directors was as follows,

Name	Category	Meetings Attended
Mr. D S K Amarasekera (c)	NED	0/1
Ms. S Wickramasinghe	INED	1/1
Mr. R. K. Athula Ranaweera	INED	1/1

(c) Committee Chairman

INED – Independent Non-Executive Director

NED – Non-Executive Director

COMMITTEE MEETINGS

The committee met once during the year under review as per the table on page 22 of this report and the minutes of the meeting were presented to the Board.

The effectiveness of the Committee was evaluated at the conclusion of the period under review by each member of the Committee and the results were communicated to the Board.

ATTENDANCE

The Deputy Chairman and representatives of the Group HR attended the meeting of the Remuneration Committee by invitation as the Senior Executives, to discuss the management performance and to make proposals as deemed necessary except where their own remunerations were discussed.

ROLE OF THE COMMITTEE

The role of the Remuneration Committee is to;

- formulate remuneration policy of the company to attract and retain high calibre personnel and motivate them;
- make recommendations to the Board and monitor the level and structure of remuneration for senior management;
- make recommendations to the Board on the Company's framework of executive remuneration and its costs, and to determine on behalf of the Board specific remuneration packages and conditions of employment (including compensation entitlement) for Executive Directors;
- make recommendations to the Board regarding the content of the Board's Annual Report to the shareholders on Directors' remuneration (including the Company's policy and Executive Director's remuneration, details of individual remuneration and other terms and conditions).

REMUNERATION TO DIRECTORS

The Committee discussed on the Key Performance Indicator System and reviewed the performance of the Company. The Remuneration Policy of the Company also was reviewed in line with the latest developments in the market.

The remuneration paid to Directors during the year under review is indicated in Note 09 to the financial statements.



Mr. D S K Amarasekera

Chairman- Remuneration Committee
Colombo

30th August 2024

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

ADOPTION OF THE CODE OF BEST PRACTICES ON RELATED PARTY TRANSACTIONS

The Committee functions on behalf of the Board in complying with the Listing Rules of the Colombo Stock Exchange, Sri Lanka Accounting Standards and with the Code of Best Practices on Related Party Transactions ("the Code") issued by the Securities and Exchange Commission of Sri Lanka.

PURPOSE OF THE COMMITTEE

The purposes of the Related Party Transactions Review Committee ("the Committee") of AgStar PLC ("Company") is to conduct an appropriate review of all of the Company's related party transactions and to ensure that the Company complies with the rules set out in the Code.

The primary objectives of the said rules are to ensure that the interests of the shareholders as a whole are taken into account when entering into related party transactions and to prevent directors, key management personnel or substantial shareholders taking advantage of their positions.

COMPOSITION OF THE COMMITTEE

The Committee consists of four (4) members, with a majority of Independent Non-Executive Directors.

The members of the Committee are:

Name	Category	Meetings Attended
Ms. S Wickramasinghe (c)	INED	4/4
Dr. A.D.N.de Zoysa	INED	4/4
Mr. R. K. Athula Ranaweera	INED	4/4
Mr. W. K. D. T. Abeyrathne	NED	1/4

(c) Committee Chairman

INED – Independent Non-Executive Director

NED – Non-Executive Director

CHARTER OF THE COMMITTEE

The Charter of the Related Party Transactions Review Committee clearly sets out the purpose, membership, authority and the duties and responsibilities of the Committee. In order to discharge the duties and responsibilities effectively and efficiently, the Committee has been authorised to:

- Receive regular reports from the Management, and be provided with any information it requests relating to its responsibilities;
- Establish policies and procedures that provide general pre-approvals to certain classes or types of related party transactions;

- Review and evaluates the terms and conditions, and to determine the advisability of any related party transaction;
- Determine whether the relevant Related Party Transaction is fair, and in the best interests of the Company and its shareholders as a whole;
- Recommend to the Board what action, if any, should be taken by the Board with respect to any Related Party Transaction;
- Obtain the advice and assistance from legal, technical, financial and other advisors from internal or external to the Company as deemed necessary by the Committee in order to carry out its duties; and
- Form and delegate authority to sub-committees consisting of one or more members where appropriate, provided that the decision of such sub-committees shall be presented to the full Committee at its next meeting.

RESPONSIBILITIES

The following key responsibilities have been set out in the Charter;

- Ensure that the company complies with the rules set out in the Code, subject to the exceptions given under Section 9 of the Code, the Committee shall review in advance all proposed related party transactions.

- Regularly report to the Board on the Committee's activities. The committee will share information with the Audit Committee as necessary and appropriate to permit the Audit Committee to carry out its statutory, regulatory and other responsibilities with regard to related party transactions.

MEETINGS

The Committee shall meet on quarterly basis and the attendance at meetings is given on page 22 of this Annual Report.

The Committee met four times during the year to review proposed related party transactions.

REVIEW OF RELATED PARTY TRANSACTIONS

The Committee reviewed all related party transactions of the Company for the financial year 2023/24 and the major observations were reported to the Board. All related party transactions entered during the year were of a recurrent, trading nature and which is necessary for day-to-day operations of the Company.

The effectiveness of the Committee was reviewed at year end by each member and results reviewed and gaps communicated to the Board.

In the opinion of the Committee, terms of these transactions were not more favourable to the related parties than to those generally available to the public. The details of related party transactions entered during the year are given in Note 30 to the financial statements on pages 119 to 121 of this Annual Report.

POLICIES AND PROCEDURES

In order to enhance transparency and good governance, the members of the Board of Directors of the Company have been identified as Key Management Personnel (KMP). In accordance with the Related Party Transactions Policy, declarations were obtained from each KMP for the purpose of identifying any RPTs that were carried out by the Company and to comply with the disclosure requirements, if any.

The Committee's key focus is to review all proposed Related Party Transactions (RPT) prior to entering into or completion of the transaction according to the procedures laid down by Section 9.14 of the Listing rules of the Colombo Stock Exchange. In addition, the Manager-Finance through the Group CFO is required to report to the Committee the previous quarter's actual related party transactions on a quarterly basis.

DECLARATION

The Committee confirms that the company has complied with the Rules pertaining to Related Party Transactions as stipulated by the Colombo Stock Exchange. A declaration by the Board of Directors as an affirmative statement of compliance with the Listing rules pertaining to RPTs is given on pages 44 to 52 of this report.



Ms. S Wickramasinghe

Chairperson
Related Party Transactions Review Committee

30th August 2024

FINANCIAL CALENDAR

Year ended 31 March 2024

Financial Year End	31st March 2024
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Announcement of Results

1st quarter ended 30th June 2023	09 August 2023
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2nd quarter ended 30th September 2023	10 November 2023
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3rd quarter ended 31st December 2024	09 February 2024
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4th quarter ended 31st March 2024	28 May 2024
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THE HARVEST OF PROGRESS

FINANCIAL INFORMATION

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DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

The Directors of AgStar PLC have pleasure in presenting to members their Report and the Audited Consolidated Financial Statements for the year ended 31st March 2024.

The Financial Statements and the disclosures made herein conform to the requirements of the Companies Act No. 7 of 2007. The Report also includes relevant disclosures required to be made under the Listing Rules of the Colombo Stock Exchange and is guided by the recommended best practices on accounting and corporate governance.

REVIEW OF PERFORMANCE FOR THE YEAR ENDED 31ST MARCH, 2024

The operations of the Company and its subsidiaries for the year ended 31st March 2024 are reviewed in the Chairman's Report and the Deputy Chairman's review.

AgStar PLC is a public limited liability Company incorporated in Sri Lanka on 25th June 2002 under the Companies Act No. 17 of 1982 and re-registered as required under the provisions of the Companies Act No. 07 of 2007 on 26th December 2007. The Company was listed on the Diri Savi Board with effect from 16th February 2012. The Registered Office of the Company is No. 93, Minuwangoda Road, Ekala, Ja-Ela.

PRINCIPAL ACTIVITIES AND GROUP REVIEW

During the year the principal activity of the Company was to carry out the business of importing, blending and marketing of fertiliser products and agriculture machineries.

The Company has Seven subsidiaries and their activities are given on page 65 of this Annual Report.

On 01st May 2023, Agstar PLC has disposed the entire of its shareholding amounting to 53.78% of Euro Asia Teas (Pvt) Ltd to LOLC Holdings PLC.

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The Directors are responsible for the preparation and presentation of the Financial Statements of the Company and its subsidiaries as to the true and fair view of the State of Affairs of the Company and its subsidiaries.

The statement of Directors responsibility for financial reporting is given on Page No. 38.

The Executive Deputy Chairman's and Group CFO's statement is given on page 53.

The financial statements of the Company and the Group are given on pages 60 to 132.

AUDITORS

The Financial Statements for the year ended 31st March, 2024 have been audited by Messrs KPMG (Chartered Accountants.)

A resolution for the re-appointment of Messrs. KPMG, Chartered Accountants and authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting.

The fees paid to the Auditors are disclosed in Note No 09 on Page 84 to the Financial Statements.

The Auditors of the Company, Messrs. KPMG, Chartered Accountants, do not have any relationship with the Company other than that of Auditors.

ACCOUNTING POLICIES

The accounting policies adopted in preparation of financial statements are given on pages 65 to 81.

There were no any other material changes in the accounting policies of the Group during the year under review.

INDEPENDENT AUDITORS' REPORT

The Auditors' Report on the Financial Statements is given on pages 56 to 59 of this Report.

RESULTS AND APPROPRIATIONS

The profit after tax of the parent Company, AgStar PLC was Rs. 211.6 Mn (2023 - Rs. 1,185.6 Mn), whilst the Group profit attributable to the equity holders of the parent for the year was Rs. 159.7 Mn (2023 - Rs. 1,668.9 Mn). Results of the Company and of the Group are given in the Income Statement.

Detailed description of the Group results and appropriation is given below.

Financial Results	31st March 2024	31st March 2023
Operating Profit	95,212,433	2,967,791,185
Finance Cost	(71,539,018)	(775,508,582)
Finance Income	153,603,340	155,412,392
Profit before Tax	177,276,755	2,347,694,725
Tax Expense	(12,081,067)	(688,523,910)
Profit from continuing operations	165,195,688	1,659,170,815
Gain /(loss) from discontinued operations (net of tax)	(5,509,401)	(295,458)
Profit for the Year	159,686,284	1,658,875,357
Other comprehensive income (net of tax)	(4,097,030)	(1,148,052)
Loss available to non-controlling interest	-	(10,011,041)
Profit available to Group's Shareholders	155,589,254	1,667,738,346
Balance brought forward from previous year	3,840,843,973	2,173,105,627
Amount available for appropriation	3,996,433,230	3,840,843,973
Balance to be carried forward next year	3,996,433,230	3,840,843,973

PROPERTY, PLANT AND EQUIPMENT

An analysis of the Property, Plant and Equipment of the Company and the Group is disclosed in Note No.13 to the Financial Statements on pages 90 to 97. The book value of property, plant and equipment as at the reporting date amounted to Rs. 3,016.2 Mn (2023 - Rs. 3,285.9 Mn) and Rs. 2,731.6 Mn (2023 - Rs. 2,963.1 Mn) for the Group and Company respectively.

STATED CAPITAL

The Stated Capital of the Company as at 31st March, 2024 was Rs. 2,007,856,833/- comprising 461,289,465 ordinary voting shares and 26,210,535 non-voting shares (2023 - Rs. 2,007,856,833 comprising 461,289,465 ordinary voting shares and 26,210,535 non-voting shares)

DONATIONS

The Company has made Rs. 140,000/- as donations during the year (2023 - Rs. 289,675/-).

CAPITAL COMMITMENTS

The Capital Expenditure Commitments as at 31st March 2024 is given on page 122.

REVENUE RESERVES

The revenue reserves as at 31st March 2024 for the Group and Company amounted to Rs. 3,996.4 million (2023- Rs. 3,840 Mn) and Rs. 3,735 million (2023- Rs. 3,527 Mn).

PROVISION FOR TAXATION

The provision for taxation is computed at the rates as disclosed in Note No. 10 on page 84 the Financial Statements.

STATUTORY PAYMENTS

The Directors confirm that to the best of their knowledge and belief, all statutory payments in relation to all relevant regulatory and statutory authorities have been paid or adequately provided for in the Financial Statements. A statement of compliance by the Board of Directors in relation to statutory payments is included in the Statement of Directors Responsibilities on page 38 of this Report.

CONTINGENT LIABILITIES

Contingent Liabilities outstanding as at 31st March 2024 are given in Notes No. 32 on page 122 to the Financial Statements.

EVENTS AFTER THE REPORTING PERIOD

The events occurring after the reporting dates are given in Notes No. 33 on page No 123 of the report.

CORPORATE GOVERNANCE AND INTERNAL CONTROLS

The Board of Directors has acknowledged the responsibility to ensure good governance in conducting the Business activities of the Company and confirms that the Company is compliant with section 7.10 and 9 of the Listing Rules of the Colombo Stock Exchange and has also adopted the relevant Corporate Governance practices recommended by the Securities and Exchange Commission of Sri Lanka and the Institute of Chartered Accountants of Sri Lanka.

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

The Board of Directors declare that they have conducted a review of the internal controls covering financial, operational and compliance controls and risk management through the Audit Committee.

The Enterprise Risk Management Division (ERM) periodically assesses procedures in relation to established guidelines for risk management and internal controls. The the Audit Committee receive the ERM findings and any flaws or vulnerabilities found are communicated with the pertinent operational staff to ensure that the gravity of the position is understood by all and to expedite remedial action. Decisions are followed up on in later Board or Committee meetings. For the year under review, the Directors affirm that they have received a reasonable guarantee of their effectiveness and successful adherence.

An Audit Committee, Remuneration Committee and the Related Party Transactions Review Committee function as Board sub committees with Directors who possess the requisite qualifications and experience.

The composition of the said committees is as follows;

AUDIT COMMITTEE

Mr. R.K. Athula Ranaweera
(Independent Non-Executive Director) - Chairman

Dr. (Mrs.) A.D.N. de Zoysa (Independent Non – Executive Director)

Mr. D. S. K. Amarasekera
(Non-Executive Director)

Mrs. S. Wickramasinghe
(Independent Non – Executive Director)

REMUNERATION COMMITTEE

Mr. D. S. K. Amarasekera
– (Non Executive Director) - Chairman

Mr. R.K. Athula Ranaweera
(Independent Non – Executive Director)

Mrs. S. Wickramasinghe
(Independent Non – Executive Director)

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Mrs. S. Wickramasinghe
(Independent Non – Executive Director)
- Chairperson

Mr. R.K. Athula Ranaweera
(Independent Non-Executive Director)

Mrs. T. A. P. Weerasinghe
(Non-Executive Director)
(Resigned w.e.f.11.08.2023)

Dr. (Mrs.) A.D.N. de Zoysa (Independent Non – Executive Director)

The Company's compliance with rules on corporate governance are given in corporate governance report on pages 21 to 35. The Audit Committee Report , Related Party Transactions Review Committee Report and the Remuneration Committee Report are disclosed in pages 39 to 41 and Pages 54 to 55 respectively.

The Board of Directors is satisfied with the effectiveness of the systems of internal controls for the year under review and up to the date of the Annual Report.

COMPLIANCE WITH RULES & REGULATIONS

The Company has complied with Tax and other regulations applicable to the Company and has submitted all the returns and the details to the relevant parties by the due dates.

Through participation in various workshops / forums and updates from the Company Secretaries and the Management, the Board of Directors keeps abreast of laws, rules, regulations and changes thereto, particularly to Listing Rules and applicable capital market provisions .

To the best of the knowledge of the Directors, the Company has not engaged in any activity that contravenes any applicable law or regulation, and has been in compliance with all prudential requirements, regulations and laws. Furthermore, the directors confirm that there were no fines which are material imposed on the Company by any governmental or regulatory authority in the country.

The Company is fully compliant with the Listing Rules of the Colombo Stock Exchange, subject to transitional provisions applicable to the revised rules relating to Corporate Governance.

GOING CONCERN

After considering the financial position as at 31st March 2024 and considering the future prospects of the Company and its subsidiaries, the Directors have a reasonable expectation that the Group has adequate resources to continue in operations in foreseeable future. Therefore, the Directors have adopted the assumption of going concern in preparing these Financial Statements.

EMPLOYMENT POLICY

The Group policy is to respect the merits of the individuals and provide career opportunities, irrespective of sex, race or religion. The Group's strength of manpower as at 31st March, 2024 was 171 (2023 – 152).

EQUITABLE TREATMENT TO STAKEHOLDERS AND THEIR INTERESTS

The Group has taken all steps to ensure equitable treatment to all stakeholders. The Directors assure that the Group has taken necessary precautions to safeguard the interests of its stakeholders.

ENVIRONMENTAL PROTECTION

The Directors have ensured that every possible step has been taken to comply with the relevant environmental laws

and regulations in the country. The Group has not engaged in any activity that is harmful or hazardous to the environment.

DIRECTORATE

The Directors of the Company during the financial year are as follows:

Mr. I. C. Nanayakkara

Non-Executive Director / Chairman
(Appointed w.e.f.31st October 2023)

Mr. Indika Gunawardhana

Executive Deputy Chairman
(Former Executive Chairman was re-designated as the Deputy Executive Chairman w.e.f.31st October 2023)

Mr. A. P. Weerasekera

Managing Director

Mrs. V. G. S. S. Kotakadeniya

- Non Executive Director

Mr. D. S. K. Amarasekara

- Non Executive Director

Mrs. S. Wickramasinghe

- Independent Non Executive Director

Mr. R. K. A. Ranaweera

- Independent Non Executive Director

Dr. (Mrs.) A. D. N. de Zoysa

- Independent Non Executive Director

Mr. W. K. D. T. Abeyrathne

- Executive Director

Mr. E. A. D. N. J. Perera

- Non Executive Director
(Resigned w.e.f.11.08.2023)

Mrs. T. A. P. Weerasinghe

- Non Executive Director
(Resigned w.e.f.11.08.2023)

Mr. P. Weerasingha

- Executive Director

Mr. Manju Gunawardana

- Non Executive Director

The detailed profiles of the Board of Directors of the Company are given on pages 11 to 14 of this Report.

ROTATION/ RE-ELECTION OF DIRECTORS

1. Mr. I C Nanayakkara retires by rotation in terms of Article 23(2) of the Articles of Association of the Company and being eligible, offers himself for re-election.
2. Mr. A P Weerasekera who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company and being eligible, offers himself for re-election.
3. Ms. V. G. S. S Kotakadeniya who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company and being eligible, offers herself for re-election.
4. Mr. P. Weerasingha who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company and being eligible, offers himself for re-election.
5. Mrs. S. N. Wickramasinghe who vacates office in terms of Sec.210 of the Companies Act, be re-appointed as a Director of the Company in terms of Sec.211 of the Companies Act for a period of one year or until the next AGM whichever occurs first and it is hereby declared that the age limit of 70 years referred in Sec.210 of the Companies Act shall not apply to the said Director.
6. Mr. R K A Ranaweera who vacates office in terms of Sec.210 of the Companies Act, be re-appointed as a Director of the Company in terms of Sec.211 of the Companies Act for a period of one year or until the next AGM whichever occurs first and it is hereby declared that the age limit of 70 years referred in Sec.210 of the Companies Act shall not apply to the said Director.

Furthermore, Mrs. S. N. Wickramasinghe has served as a director of the company for more than nine years. The Board of Directors, having considered the aforesaid Directors' experience and expertise in banking and finance sectors, are satisfied that the ability of the said directors to function as independent directors are not affected by their age or years of service. Accordingly, the Board is of the opinion that Mr. R K A Ranaweera and Mrs.

Wickramasinghe should be considered independent , as they meet all other qualifying criteria necessary to be viewed as an independent director, subject to the relevant transitional provisions under Rule 9.8.3.

DIRECTORS INTEREST REGISTER

In terms of the Companies Act No 07 of 2007 an Interest Register was maintained during the financial year under review.

DIRECTORS' INTEREST IN CONTRACTS

The Directors in terms of Section 192 of the Companies Act No 7 of 2007, have declared their interests in contracts with the Company. The Directors confirm that all material interests in contracts involving the Company have been disclosed to the Board and wherever any Director is materially interested in a contract or proposed contract with the Company, they would refrain from voting on such contracts. The Directors did not have any material interest in any contract of significance in Group's business except those disclosed in Note 30 to the Financial Statements.

Other directorships held by the Directors are disclosed in Board profiles on pages 11 to 14 and Directors of subsidiaries are given on page 52.

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

Name of The Director	As At 31st March 2024		As At 31st March 2023	
	Ordinary voting shares	Non-voting shares	Ordinary voting shares	Non-voting shares
Mr. I. C. Nanayakkara	Nil	Nil	Nil	Nil
Mr. Indika Gunawardhana	Nil	Nil	Nil	Nil
Ms. V. G. S. S Kotakadeniya	Nil	Nil	Nil	Nil
Mr. A. P. Weerasekera	9,604,036	8,736,825	9,604,036	8,736,825
Mr. D. S. K. Amarasekara	Nil	Nil	Nil	Nil
Mrs. S.Wickramasinghe	Nil	Nil	Nil	Nil
Mr. R.K.A. Ranaweera	Nil	Nil	Nil	Nil
Dr. (Mrs) A.D.N. de Zoysa	Nil	Nil	Nil	Nil
Mr. W. K. D. T. Abeyrathne	Nil	Nil	Nil	Nil
Mr. E. A. D. N. J. Perera (Resigned w.e.f.11.08.2023)	N/A	N/A	Nil	Nil
Mrs. T. A. P. Weerasinghe (Resigned w.e.f.11.08.2023)	N/A	N/A	Nil	Nil
Mr. P. Weerasingha	Nil	Nil	Nil	Nil
Mr. Manju Gunawardana	Nil	Nil	Nil	Nil

FIT AND PROPER ASSESSMENT OF DIRECTORS

In accordance with Rule 9.7.4 of the Colombo Stock Exchange's Listing Rules, declarations were obtained from the directors attesting to their continuous satisfaction of the Listing Rules' fit and proper assessment criteria as of the declaration date and throughout the financial year under review.

DIRECTORS FEES AND REMUNERATION

The amount of the Directors fees and Remuneration paid during the year is given in Note No. 09 to the Financial Statements on page 84.

According to the Remuneration policy of the Company, compensation must be commensurate with performance and input in order to encourage and motivate employees. Both staff and director compensation has been determined with consideration for this policy.

The Remuneration Committee report is given on page 39.

RELATED PARTY TRANSACTIONS

The Directors have disclosed the transactions with Related Parties in terms of the Sri Lanka Accounting Standards which are set out in Note 30 to the Financial Statements.

The Related Party Transactions of the Company during the Financial Year have been reviewed by the Related Party Transactions Review Committee and are in compliance with Section 9.14 of the Listing Rules of the CSE.

In terms of Section 9 of the Listing Rules of the CSE, there were no any related party transactions that required shareholder approval or non-recurrent related party transactions that required immediate market disclosures during the year under review except those which were duly disclosed by way of market announcements via CSE website.

The Directors declare that the Company has complied with Section 9.14 of the Listing Rules of the CSE.

SHAREHOLDERS

During the year, the share price of voting share from ranged from Rs. 6.10 to Rs. Rs.13.60. As at the end of trading on 31st March 2024, the voting share price was Rs.7.70/- The Shareholding structure is given on pages 49 to 51.

The Market prices for Non-voting shares are not available as at 31st March 2024 since there were no transactions recorded during the period.

The distribution and analysis of shareholdings were as follows:

VOTING

Name of The Director	As At 31st March 2024			As At 31st March 2023		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
1-1000	1,829	545,386	0.11%	1,707	474,517	0.11%
1001-10000	1,336	5,854,611	1.27%	1,033	4,303,835	0.93%
10001-100000	821	28,289,715	6.14%	547	19,448,435	4.24%
100001-1000000	178	49,144,133	10.65%	143	43,801,542	9.49%
1000001- & Over	25	377,454,620	81.83%	32	393,179,736	85.23%
Total	4,189	461,289,465	100%	3,462	461,289,465	100%

NON-VOTING

Name of The Director	As At 31st March 2024			As At 31st March 2023		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
1-1000	18	2,696	0.01%	18	2,696	0.01%
1000001- & Over	2	26,207,839	99.99%	2	26,207,839	99.99%
Total	20	26,210,535	100%	20	26,210,535	100%

RESIDENT / NON RESIDENT (VOTING)

Name of The Director	As At 31st March 2024			As At 31st March 2023		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Resident	4,177	460,407,558	99.81%	3,449	459,034,274	99.52%
Non Resident	12	881,907	0.19%	13	2,255,191	0.48%
Total	4,189	461,289,465	100%	3,462	461,289,465	100%

RESIDENT / NON RESIDENT (NON-VOTING)

Name of The Director	As At 31st March 2024			As At 31st March 2023		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Resident	20	26,210,535	100%	20	26,210,535	100%
Non Resident	-	-	-	-	-	-
Total	20	26,210,535	100%	20	26,210,535	100%

INDIVIDUAL/INSTITUTION (VOTING)

Name of The Director	As At 31st March 2024			As At 31st March 2023		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Individual	3,965	89,013,590	19.30%	3,251	74,254,037	16%
Institution	224	372,275,875	80.70%	211	387,035,428	84%
Total	4,189	461,289,465	100%	3,462	461,289,465	100%

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

INDIVIDUAL/INSTITUTION (NON-VOTING)

Name of The Director	As At 31st March 2024			As At 31st March 2023		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Individual	17	8,739,378	33.34%	17	8,739,378	33%
Institution	3	17,471,157	66.66%	3	17,471,157	67%
	20	26,210,535	100%	20	26,210,535	100%

LIST OF 20 MAJOR SHAREHOLDERS (VOTING)

As at 31/03/2024			As At 31st March 2023		
Name of shareholders	Number of shares	Holding %	Name of shareholders	Number of shares	Holding %
Brown & Company PLC A/C No. 01	269,038,370	58.32%	Iconic Trust (Private) Limited	201,548,404	43.69%
Sri Lanka Insurance Corporation Ltd - Life Fund	31,472,000	6.82%	Amana Bank PLC/Browns Investments PLC	60,450,000	13.10%
Sri Lanka Insurance Corporation Ltd - General Fund	21,300,000	4.62%	Browns Investment PLC	7,370,057	1.60%
Mr. A.P. Weerasekera	9,604,036	2.08%	Sri Lanka Insurance Corporation Ltd - Life Fund	31,472,000	6.82%
Mrs. S.J. Karunaratne Joint: 1. Mrs. R.D. de Costa 2. Mr. D.S. Karunaratne	6,741,000	1.46%	Sri Lanka Insurance Corporation Ltd - General Fund	21,300,000	4.62%
Industrial Asphalts (Ceylon) PLC	4,549,183	0.99%	Mrs. S.J. Karunaratne	10,000,000	2.17%
DFCC Bank PLC A/c 02	4,000,000	0.87%	Mr. A.P. Weerasekera	9,604,036	2.08%
F L M C Plantations (Private) Limited	3,150,000	0.68%	Union Assurance PLC - Universal Life Fund	6,912,879	1.50%
Sampath Bank PLC/J N Lanka Holdings Company (Private) Limited	3,000,000	0.65%	DFCC Bank PLC A/C No .02	4,000,000	0.87%
N P Capital Ltd	2,012,808	0.44%	DFCC Bank PLC A/C 1	1,808,385	0.39%
Mr. M.I.M. Shafie Joint : Mrs.F.R.Shafie	2,000,000	0.43%	Union Assurance PLC - Traditional Life Participating Fund	3,458,395	0.75%
Hatton National Bank PLC/JN Lanka Holdings Company (Pvt) Ltd	1,883,673	0.41%	F L M C Plantations (Private) Limited	3,150,000	0.68%
DFCC Bank PLC A/C 1	1,808,385	0.39%	Seylan Bank PLC/Gladstone Capital (Private) Limited	3,043,084	0.66%
Dialog Finance PLC/S.A.De Silva And D.R.De Silva	1,792,420	0.39%	DFCC Bank PLC/J N Lanka Holdings Company (Pvt) Ltd	3,000,000	0.65%
Mr. W.A.P. Perera	1,758,866	0.38%	Dialog Finance PLC/R.K.A. Thomas and C.D. Rathnaweera	2,000,000	0.43%
MSS Investments (Private) Limited	1,683,193	0.36%	EMFI Capital Limited	2,000,000	0.43%
DFCC Bank PLC/Maskeliya Tea Exports (Pvt) Ltd	1,637,011	0.35%	Seylan Bank PLC/Agampodi Chamara Senanka	1,943,600	0.42%
Hatton National Bank PLC/Ruwan Prassana Sugathadasa	1,506,809	0.33%	Mr. W.A.P. Perera	1,758,866	0.38%
Mr. S. Sivashanth	1,500,000	0.33%	Mr. R.A. Rishard	1,725,000	0.37%
Mr. D.N.P. Rathnayake	1,274,880	0.28%	DFCC Bank PLC/Maskeliya Tea Exports (Pvt) Ltd	1,637,011	0.35%
			Mr. S. Sivashanth	1,500,000	0.33%
			Hatton National Bank PLC/Ruwan Prassana Sugathadasa	1,450,706	0.31%
			Industrial Asphalts (Ceylon) PLC	1,412,118	0.31%
	371,712,634	80.58%		382,544,541	82.91%

LIST OF 20 MAJOR SHAREHOLDERS (NON-VOTING)

As at 31/03/2024			As At 31st March 2023		
Name of shareholders	Number of shares	Holding %	Name of shareholders	Number of shares	Holding %
Brown & Company PLC A/C No. 1	17,471,014	66.66%	Iconic Trust (Private) Limited	17,471,014	66.66%
Mr. A.P. Weerasekera	8,736,825	33.33%	Mr. A.P. Weerasekera	8,736,825	33.33%
Mr. M.V.M. Gunasekara	398	0.00%	Mr. M.V.M. Gunasekara	519	0.00%
Mr. S.P. Sedara	314	0.00%	Mr. S.P. Sedara	314	0.00%
Mr. W.A.R.W. De Silva	302	0.00%	Mr. W.A.R.W. De Silva	302	0.00%
Mr. W.J.M.P.A.C. Silva	200	0.00%	Mr. W.J.M.P.A.C. Silva	200	0.00%
Miss. M.V.N.M. Gunasekara					
Joint - 1 : Mr. M.V.M. Gunasekara	152	0.00%	PMF PLC/D.Amerasinghe	142	0.00%
PMF Finance PLC/D.Amerasinghe	142	0.00%	Mr. K.A.D.A. Meththasena	130	0.00%
			Miss. M.V.N.M. Gunasekara		
Mr. K.A.D.A. Meththasena	132	0.00%	Joint - 1 : Mr. M.V.M. Gunasekara	35	0.00%
Mr. A.S.Y. Abeywardena	10	0.00%	Mr. A.S.Y. Abeywardena	10	0.00%
Mrs. H.S. Egodawaththa	10	0.00%	Mrs. H.S. Egodawaththa	10	0.00%
Mr. J.A.J.R. Gunaratne	10	0.00%	Mr. J.A.J.R. Gunaratne	10	0.00%
Miss. V.D. Canisius	7	0.00%	Mr. S.M.C.P. Senavirathna	6	0.00%
Mr. S.M.C.P. Senavirathna	6	0.00%	Mr. C. Amarathunga	5	0.00%
Mr. C. Amarathunga	5	0.00%	Miss. V.D. Canisius	5	0.00%
Mr. D.A.D.M. Dekumpitiya	5	0.00%	Mr. D.A.D.M. Dekumpitiya	5	0.00%
Mrs. D.G. Bestus			Mrs. D.G. Bestus		
Joint: Mr. H.R.D.G.A. Weerakoon	1	0.00%	Joint: Mr. H.R.D.G.A. Weerakoon	1	0.00%
Mr. T.S.P. Fernando	1	0.00%	Mr. T.S.P. Fernando	1	0.00%
Seylan Bank PLC/Mr. Manikkavasagar Thiyagaraja	1	0.00%	Seylan Bank PLC/Mr. Manikkavasagar Thiyagaraja	1	0.00%
	26,210,535	99.99%		26,210,535	99.99%

PUBLIC SHAREHOLDING

The percentage of public holding in voting and non-voting shares as at 31st March 2024 were,

Name of The Director	Public holding %	No of Shareholders	No. Shares held by public shareholders	Float Adjusted Market Capitalisation
-Voting Shares	28.07	4183	129,481,468	Rs. 1,022.92 Mn
-Non-Voting Shares	0.01	18	2696	N/A

FLOAT ADJUSTED MARKET CAPITALISATION

The float adjusted market capitalisation of the Company falls under option 2 as per section 7.14.1 (b) of the Listing Rules of Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said options.

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

PARENT, SUBSIDIARIES, SUB-SUBSIDIARIES COMPANIES AND ITS DIRECTORS

The Directors of parent, subsidiaries and sub-subsidiaries as at 31st March 2024 are given below,

ULTIMATE PARENT COMPANY

LOLC Holdings PLC	Mr. I. C. Nanayakkara
	Mr. W. D. K. Jayawardena
	Mrs. K. U. Amarasinghe
	Dr. R. A. Fernando
	Mr. M. D. D. Peiris
	Mr. C. Dias

PARENT COMPANY

Brown and Company PLC	Mr. I.C.Nanayakkara
	Mr. W.D.Kapila Jayawardena
	Mrs. K.U.Amarasinghe
	Mr. Danesh Abeyrathne
	Mr. H.P.Janaka De Silva
	Mr. T.K.Bandaranayake
	Mr. T.Sanakan

SUBSIDIARIES

Company	Name of the Director
AgStar Cropcare (Pvt) Ltd	Mr. A. P. Weerasekera
	Mr. W. K. D. T. Abeyrathne
	Mr. P. Weerasingha
	Mr. Indika Gunawardhana
AgStar Exports (Pvt) Ltd	Mr. A. P. Weerasekera
	Mr. W. K. D. T. Abeyrathne
	Mr. P. Weerasingha
	Mr. Indika Gunawardhana
AgStar Seeds (Pvt) Ltd	Mr. A. P. Weerasekera
	Mr. W. K. D. T. Abeyrathne
	Mr. P. Weerasingha
	Mr. Indika Gunawardhana
Prith Seeds (Pvt) Ltd	Mr. A. P. Weerasekera
	Mr. W. K. D. T. Abeyrathne
	Mr. P. Weerasingha
	Mr. Indika Gunawardhana

Company

Name of the Director

Mahaweli Agro Trading (Pvt) Ltd	Mr. A. P. Weerasekera
	Mr. W. K. D. T. Abeyrathne
	Mr. P. Weerasingha
	Mr. Indika Gunawardhana
AgStar Grains (Pvt) Ltd	Mr. A. P. Weerasekera
	Mr. W. K. D. T. Abeyrathne
	Mr. P. Weerasingha
	Mr. Indika Gunawardhana
Royal Seed Company (Pvt) Ltd	Mr. A. P. Weerasekera
	Mr. W. K. D. T. Abeyrathne
	Mr. P. Weerasingha
	Mr. Indika Gunawardhana

ANNUAL REPORT

The Board of Directors approved the Company Financial Statements together with the reviews which forms part of the Annual Report on 30th August 2024. The appropriate number of copies will be submitted to the Colombo Stock Exchange, Sri Lanka Accounting and Auditing Standard Monitoring Board and the Registrar of Companies within the time frame.

ANNUAL GENERAL MEETING

The Annual General Meeting will be held on 26th September 2024 at 10.30a.m. at LOLC Holdings PLC, as an on-line audio-visual meeting centered from No. 100/1, Sri Jayawardenapura Mawatha, Rajagiriya. The notice of Annual General Meeting is given on page no 134.

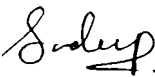
On behalf of the Board of Directors,



Mr. Ishara Nanayakkara
Chairman



Mr. Indika Gunawardhana
Executive Deputy Chairman



LOLC Corporate Services (Private) Limited
Secretaries
Colombo

30th August 2024

EXECUTIVE DEPUTY CHAIRMAN'S AND GROUP CHIEF FINANCIAL OFFICER'S REPORT

The Financial Statements of the Company are prepared in compliance with the following regulations;

- Sri Lanka Accounting Standards (SLFRS/LKAS) issued by The Institute of Chartered Accountants of Sri Lanka
- The Companies Act No. 07 of 2007
- Sri Lanka Accounting & Auditing Standards Act No.15 of 1995
- Code of Best Practice on Corporate Governance issued by CA Sri Lanka.

The Company has used the Accounting policies appropriately to prepare its Consolidated Financial Statements in a consistent manner except unless otherwise stated in the Notes accompanying the Financial Statements. No deviations from the prescribed Accounting Standards were reported in their adoption. The Audit committee of the Company has reviewed significant accounting policies and estimates that involved a high degree of judgement and complexity. The Comparative information has been provided whenever required to comply with the current presentation.

The Board and the Management hereby confirms that they are responsible for preparation and presentation of these financial statements which give a true and fair view of the financial performance and position of the Company. The relevant

estimates and judgements were made on a prudent and reasonable basis. For this purpose, proper and adequate measures have been taken to adopt a system of internal controls and accounting records, which are reviewed and updated on a regular basis.

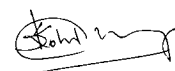
The Company continuously update its accounting controls to ensure prudence and completeness of the financial statements which ensures that the accounting records are free from error and omission. The existing internal controls are regularly reviewed and updated in order to ensure that it functions properly. All procedure manuals are updated whenever necessary and they are easily accessible to all the staff.

The Financial Statements of the Company and its subsidiaries for the financial year end of 31st March 2024 were audited by Messrs. KPMG, Chartered Accountants. Periodic internal audits have been conducted by the internal auditors of the Company to provide reasonable assurance that the Company has followed its established policies and procedures consistently. However, there are inherent limitations that should be recognised in weighing the assurances provided by any system of internal controls and accounting.

The internal and external auditors of the Company are invited to join the quarterly Audit Committee meetings as and when required to review the performance or to discuss on the audit procedures adopted. Major audit observations and issues regarding any internal controls are discussed with the management during the meetings. Both auditors have free and full access to the members of the Audit committee to discuss any matters of substance.



Mr. Indika Gunawardhana
Executive Deputy Chairman



Mrs. S.S. Kotakadeniya
Group Chief Financial Officer

30th August 2024

AUDIT COMMITTEE REPORT

PURPOSE OF THE COMMITTEE

The committee is vested with the responsibility to assist the Board of Directors in the oversight of the effectiveness of the internal controls over financial reporting, including the integrity of the financial statements of the company and the group. The committee ensures the qualifications and the independence of the External Auditors and monitors the performances of the Internal Auditors. The oversight of compliance with the legal and regulatory requirements is also a key purpose of the committee.

COMPOSITION

The Audit Committee is a sub-committee of the Board of Directors of the Company and reports directly to the Board. As at 31st March 2024 the Committee comprised of the following Directors;

Name	Category	Meetings Attended
Mr. R.K. Athula Ranaweera (c)	INED	5/5
Dr. (Mrs) A.D.N. de Zoysa	INED	5/5
Ms. S Wickramasinghe	INED	5/5
Mr. D.S.K. Amarasekera	NED	0/5
Mrs. T.A.P. Weerasingha (resigned w.e.f. 11th August 2023)		3/3

(c) Committee Chairman

INED – Independent Non-Executive Director

NED – Non-Executive Director

The committee is headed by Mr. R.K. Athula Ranaweera who is a fellow member of the Institute of Chartered Accountants of Sri Lanka. Committee member Dr. (Mrs) A.D.N. de Zoysa holds a Ph.D. Degree in Agricultural Economics and committee member Ms. S Wickramasinghe is an Attorney at Law of the Supreme Court of Sri Lanka. Mr. D.S.K. Amarasekera is a member of the Institute of Chartered Accountants of Sri Lanka and is an Attorney-at-Law of the Supreme Court of Sri Lanka.

The Deputy Chairman, Group CFO and Managing Director attend the Committee meetings by invitation.

MEETINGS

There were five meetings of the committee held during the year under review and details of attendance are stated above.

TERMS OF REFERENCE

The Audit Committee charter defines the purpose, composition, role and responsibilities, provisions regarding the meetings, authority, etc. of the Committee and it is being periodically reviewed by the committee in order to ensure that it addresses the emerging business trends in the business environment.

RESPONSIBILITIES OF THE COMMITTEE

1. Review significant accounting and reporting issues, including complex or unusual transactions, highly judgemental areas, and recent professional and regulatory pronouncements and understand their impact on the financial statements and review significant reporting issues and judgements which they contain.
2. Review with the management and external auditors the results of the audit.
3. Review annual financial statements to ensure consistency with known information and appropriate accounting standards and policies.
4. Review other sections of the annual report and related regulatory filings before the release to ensure accuracy and completeness.
5. Review interim financial reports with management and if required with external auditors before filing with regulators, and ensure its accuracy and completeness.
6. Review analyses prepared by management and/ or independent auditors on significant financial reporting issues, judgments and key audit matters in connection with preparation of financial statements.
7. Annual review of the effectiveness of the system of internal controls.

KEY ACTIVITIES TAKEN PLACE 2023/24

The committee assisted the Board of Directors in fulfilling its oversight responsibility to the shareholders and other stakeholders relating to the Company's financial statements and the financial reporting process. Further, the committee reviewed the internal audit function of the company as well as the risk management system and the statutory audit of the financial statements of the company and the group.

Following a quarterly examination of internal audit reports provided by the Enterprise Risk Management Division (ERM), the Committee approved the Internal Audit Plan for the Company and the Group given by the DGM Enterprise Risk Management at the start of the financial year. These studies address controls, procedures, and operational difficulties, including IT systems. The relevant officials are invited at the meetings in order to facilitate meaningful discussion and implementation of the identified risk or control weakness and its mitigation.

The recommendation of the quarterly and annual financial statements was given to the Board whilst ensuring the company's compliance with legal and regulatory affairs of the company. The committee ensured the reliability and consistency of the accounting policies and methods adopted in preparing the financial statements and their compliance with the Sri Lanka Financial Reporting Standards and the adequacy of disclosures required by other applicable laws, rules and guidelines.

INTERNAL AUDIT, RISK AND INTERNAL CONTROLS

The review of identification, evaluation and management of operational risks encountered by the Company was conducted by the Committee periodically. The Committee is satisfied with the existing system of internal controls, which will provide necessary assurance to safeguarding Company's assets and liabilities of the financial statements. Further, the Committee ensures that good governance practices cascade down to every single level of the organisation and are strictly adhered to.

EXTERNAL AUDIT

The committee has recommended to the Board of Directors that Messer. KPMG, Chartered Accountants be re-appointed as the auditors of the company for the year ending 31st March 2025, subject to the approval of the shareholders at the forthcoming Annual General Meeting.

The Audit Committee is satisfied that the independence of the External Auditors has not been adversely influenced by any event or service that could result in a conflict of interest, as per their declarations made for the year. Due consideration has been given to the level of audit and non-audit fees received by the External Auditors from the company.

The Audit Committee has recommended to the Board Directors on the fees payable to the Auditors for approval.

The effectiveness of the Committee was evaluated at the conclusion of the period under consideration by each member of the Committee and the results communicated to the Board.



R.K. Athula Ranaweera
Chairman – Audit Committee
Colombo.

30th August 2024

INDEPENDENT AUDITORS' REPORT



KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
P. O. Box 186,
Colombo 00300, Sri Lanka.

Tel +94 - 11 542 6426
Fax +94 - 11 244 5872
Internet +94 - 11 244 6058
www.kpmg.com/lk

TO THE SHAREHOLDERS OF AGSTAR PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of AgStar PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31st March 2024 and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policies and other explanatory information set out on pages 60 to 132 of the annual report.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair

view of the financial position of the Company and the Group as of 31st March 2024, and of their financial performance and their cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics for professional Accountants issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the company financial statements and consolidated financial statements of the current period. These matters were addressed in the context of our audit of the company financial statements and consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

KPMG, a Sri Lankan partnership and a member firm of the KPMG global organization of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee. All rights reserved.

C. P. Jayatilake FCA
Ms. S. Joseph FCA
R.M.D.B. Rajapakse FCA
M.N.M. Shameel FCA
Ms. P.M.K. Sumanasekara FCA

T. J. S. Rajakarier FCA
W. K. D. C. Abeyrathne FCA
Ms. B.K.D.T.N. Rodrigo FCA
Ms. C.T.K.N. Perera ACA
R.W.M.O.W.D.B. Rathnadiwakara FCA

W. W. J. C. Perera FCA
G. A. U. Karunaratne FCA
R. H. Rajan FCA
A.M.R.P. Alahakoon ACA

Principals: S.R.I. Perera FCMA (UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA, Ms. F.R. Ziyad FCMA (UK), FCIT, K. Somasundaram ACMA (UK), R. G. H. Raddella ACA

Impairment assessment on the Goodwill and Exclusive Dealership

(Refer to Note 3.8.4 material accounting policies and explanatory Note 16 to the financial statements).

Risk description	Our responses
The goodwill in the consolidated financial statements attributed to Prith Seeds (Private) Limited amounted to Rs. 56.4 Mn as at 31st March 2024. AgStar Seeds (Private) Limited, a subsidiary company, acquired the exclusive dealership of Tohoku Seed in Sri Lanka for a sum of Rs. 50 Mn and thereby the right to import, distribute and sell hybrid vegetable seeds from Tohoku Japan as explained in Note 16 to the financial statements. The Group performed impairment assessments of the goodwill and the exclusive dealership of Tohoku Seed recorded in the consolidated financial statements as at 31st March 2024. In performing the impairment assessments, the management of the Group compared the carrying value of each of the separately identifiable cash generating units ("CGUs") (to which Goodwill and the exclusive dealership of Tohoku Seed had been allocated) with their respective value in use based on discounted cash flow forecasts, to determine if any impairment loss should be recognised. The preparation of discounted cash flow forecasts for the purpose of assessing potential impairment of goodwill involves estimating growth rates, discount rates and future cash flows, inclusive of the impact of the ongoing macroeconomic environment, which can be inherently judgemental. We considered the audit of management's impairment assessment of goodwill and exclusive dealership to be a key audit matter due to the magnitude of the carrying amounts of goodwill and exclusive dealership in the financial statements as at 31st March 2024. In addition, these areas were significant to our audit because the impairment assessment process involved significant management judgement and required management to make various assumptions in the underlying cash flow forecasts.	Our audit procedures included, • Evaluating goodwill and exclusive dealership for impairment indicators and comparing carrying amount with the recoverable amount to assess the adequacy of the provision for impairment. • Reviewing the robustness of management's budgeting process by comparing the actual financial results against previous projections. • Assessing cash flow forecast prepared by the management against our own expectations based on our knowledge of the Company and experience of the industry in which it operates. • Testing the mathematical accuracy of the underlying calculations in the discounted cash flow valuation models (Value in use computations). • With the assistance of our own internal business valuation specialists, challenging the reasonableness of the key assumptions in the valuation models. • Evaluating the adequacy of disclosures in the financial statements.

INDEPENDENT AUDITORS' REPORT



Carrying value of Inventories

(Refer to Note 3.9 material accounting policies and explanatory Note 18 to the financial statements).

Risk description	Our responses
The Company and the Group recorded inventories amounting to Rs. 3,015 Mn and Rs. 3,595 Mn respectively at 31st March 2024. This amounts to 35.6% and 38.9% of the Company's and Group's total assets respectively. The Company and Group have exercised judgement with regard to categorisation of stocks as obsolete and/or slow moving to be considered for provision; estimates are then involved in arriving at provisions against cost in respect of slow moving and obsolete inventories to arrive valuation based on lower of cost and net realisable value. We identified valuation of the inventory as a key audit matter due to the magnitude of the inventory balances and judgement and estimates involved in the calculation of inventory provisions and in determination of NRV, considering expected sales prices and allowance policies based on historical sales.	Our audit procedures included, - Obtaining an understanding of and assessing the design, implementation and operating effectiveness of management's key internal controls over inventory valuation and identify slow moving and obsolete inventories. - On a sample basis, physically verify the inventories as at the reporting date. - Verifying and inspecting inventory movements recorded before and after the period end to ensure appropriate period recognition. - Assessing the reasonableness of judgement applied in the identification and recording of inventories at NRV, including allowances recorded considering among others, the age of inventories, historical sales trends, subsequent prices secured. - Assessing whether the accounting policies had been consistently applied and the adequacy of the disclosures in respect of the judgement and estimation made in respect of inventory provisioning.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report but does not include the financial statements and our auditors' report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial

statements, or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the

preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SLAuSS will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSS, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the

reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure, and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision, and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent Auditors' Report is 3544.



CHARTERED ACCOUNTANTS

Colombo, Sri Lanka

30th August 2024

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

(All amounts in Sri Lankan Rupees)

		Group		Company	
For the Year ended 31st March,	Notes	2024	2023	2024	2023
Continuing operations					
Revenue	6	7,666,126,877	7,458,205,081	6,034,827,200	5,810,149,701
Cost of sales		(6,770,824,486)	(3,847,409,748)	(5,480,808,032)	(3,058,631,074)
Gross profit		895,302,391	3,610,795,333	554,019,168	2,751,518,627
Other income	7	147,602,313	55,125,156	245,538,945	72,103,192
Selling and distribution expenses		(315,156,598)	(240,772,235)	(184,625,063)	(124,915,116)
Administrative expenses		(632,535,672)	(457,357,069)	(483,878,904)	(327,989,655)
Operating profit		95,212,434	2,967,791,185	131,054,146	2,370,717,048
Finance income		153,603,340	155,412,392	175,190,884	124,205,453
Finance costs		(71,539,018)	(775,508,852)	(89,796,147)	(743,471,462)
Net finance income costs	8	82,064,322	(620,096,460)	85,394,737	(619,266,009)
Profit before taxation	9	177,276,756	2,347,694,725	216,448,883	1,751,451,039
Income tax expense	10	(12,081,071)	(688,523,910)	(4,815,739)	(565,921,493)
Profit from continuing operations		165,195,685	1,659,170,815	211,633,144	1,185,529,546
Discontinued operations					
Loss from discontinued operations, net of tax					
	11	(5,509,401)	(295,458)	-	-
Profit for the year		159,686,284	1,658,875,357	211,633,144	1,185,529,546
Other comprehensive income					
Items that will not be reclassified to profit or loss					
Revaluation of property, plant and equipment	13	22,988,182	-	22,988,182	-
Deferred tax impact on revaluation of assets	25.2	(6,896,455)	(128,428,378)	(6,896,455)	(128,428,378)
Actuarial loss on defined benefit obligations	24	(5,852,901)	(1,640,075)	(5,837,802)	(1,633,369)
Deferred tax impact on actuarial loss	25	1,755,871	492,023	1,751,341	490,011
Other comprehensive income/(expense) net of tax		11,994,697	(129,576,430)	12,005,266	(129,571,736)
Total comprehensive income for the year		171,680,981	1,529,298,927	223,638,410	1,055,957,810
Profit attributable to:					
Owners of the Company		159,686,285	1,668,886,398	211,633,144	1,185,529,546
Non-controlling interests		-	(10,011,041)	-	-
Profit for the year		159,686,284	1,658,875,357	211,633,144	1,185,529,546
Total comprehensive income attributable to:					
Owners of the Company		171,680,981	1,539,309,968	223,638,410	1,055,957,810
Non-controlling interests		-	(10,011,041)	-	-
Total comprehensive income for the year		171,680,981	1,529,298,927	223,638,410	1,055,957,810
Earnings per share					
Basic earnings per share (Rs.)	12	0.33	3.42	0.43	2.43

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

STATEMENT OF FINANCIAL POSITION

(All amounts in Sri Lankan Rupees)

As at 31st March,	Notes	Group		Company	
		2024	2023	2024	2023
Assets					
Non-current assets					
Property, plant and equipment	13	3,016,197,038	3,285,914,937	2,731,631,168	2,963,133,167
Investment property	14	252,200,000	-	475,440,000	211,500,000
Right of use asset	15.1	39,958,667	66,342,361	21,453,781	22,226,890
Intangible assets and goodwill	16	107,345,207	109,214,465	919,215	2,399,982
Investments in subsidiaries	17	-	-	230,733,991	184,779,088
Investment in government securities	29	-	847,788,420	-	524,886,505
Deferred tax assets	25.1	14,252,167	8,293,353	-	-
Total non-current assets		3,429,953,079	4,317,553,536	3,460,178,155	3,908,925,632
Current assets					
Inventories	18	3,595,123,974	2,632,195,445	3,014,575,679	1,685,737,517
Trade and other receivables	19	1,050,690,228	796,592,187	840,824,920	449,825,322
Subsidy receivable	20	389,513,395	389,513,395	351,939,808	351,939,808
Amounts due from related companies	21.1	-	-	221,430,245	893,433,311
Cash and cash equivalents	22	649,164,106	633,669,120	582,285,722	537,786,490
		5,684,491,703	4,451,970,147	5,011,056,374	3,918,722,448
Assets as held for sale	11	140,340,018	180,648,799	-	-
Total current assets		5,824,831,721	4,632,618,946	5,011,056,374	3,918,722,448
Total assets		9,254,784,800	8,950,172,482	8,471,234,529	7,827,648,080
Equity					
Stated capital	23	2,007,856,833	2,007,856,833	2,007,856,833	2,007,856,833
Revaluation reserve		1,354,050,733	1,337,959,006	776,543,300	760,451,573
Retained earnings		3,996,433,227	3,840,843,973	3,735,032,442	3,527,485,759
Equity attributable to the owners of the Company		7,358,340,793	7,186,659,812	6,519,432,575	6,295,794,165
Non-controlling interests	17.3	-	20,634,043	-	-
Total equity		7,358,340,793	7,207,293,855	6,519,432,575	6,295,794,165
Liabilities					
Non-current liabilities					
Employee benefits	24	49,525,712	47,009,073	49,368,044	46,898,408
Deferred tax liabilities	25.2	604,269,277	713,342,496	556,534,443	644,606,645
Loans and borrowings	27	-	37,600,000	-	37,600,000
Lease Liability	15.2	6,813,665	15,713,231	2,063,009	2,049,520
Total non-current liabilities		660,608,654	813,664,800	607,965,496	731,154,573
Current liabilities					
Trade and other payables	26	212,396,377	176,368,898	162,661,446	147,995,769
Loans and borrowings	27	681,259,654	113,400,000	681,259,654	113,400,000
Amounts due to related companies	21.2	-	-	172,817,890	289,962
Lease Liability	15.2	69,199	8,952,014	20,141	29,315
Current tax payable	28	329,811,873	615,854,492	315,279,698	538,984,296
Bank overdrafts	22	11,936,886	14,306,354	11,797,629	-
		1,235,473,989	928,881,758	1,343,836,458	800,699,342
Liabilities directly associated with assets held for sale	11	361,364	332,069	-	-
Total current liabilities		1,235,835,353	929,213,827	1,343,836,458	800,699,342
Total liabilities		1,896,444,006	1,742,878,627	1,951,801,954	1,531,853,915
Total equity and liabilities		9,254,784,800	8,950,172,482	8,471,234,529	7,827,648,080

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

I certify that the financial statements of the Company comply with the requirements of the companies Act No. 07 of 2007.



Sakitha Lakshan

Head of Finance

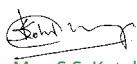
The Board of Directors is responsible for the preparation and presentation of these financial statements.

Signed for and on behalf of the Board;



R.S.I. Gunawardena

Executive Deputy Chairman



Mrs. S.S. Kotakadeniya

Director

30th August 2024

Colombo

STATEMENT OF CHANGES IN EQUITY

(All amounts in Sri Lankan Rupees)

	Notes	Stated capital	Revaluation reserve	Retained earnings	Total
Balance as at 01st April 2022		2,007,856,833	888,879,951	2,343,099,572	5,239,836,356
Profit for the year		-	-	1,185,529,546	1,185,529,546
Other comprehensive income		-	(128,428,378)	(1,143,359)	(129,571,737)
Total comprehensive income		-	(128,428,378)	1,184,386,187	1,055,957,809
Balance as at 31st March 2023		2,007,856,833	760,451,573	3,527,485,759	6,295,794,165
Profit for the year		-	-	211,633,144	211,633,144
Other comprehensive income		-	16,091,727	(4,086,461)	12,005,266
Total comprehensive income		-	16,091,727	207,546,683	223,638,410
Balance as at 31st Mar 2024		2,007,856,833	776,543,300	3,735,032,442	6,519,432,575

Revaluation reserve relates to the revaluation of land and buildings.

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

(All amounts in Sri Lankan Rupees)

	Notes	Stated Capital	Revaluation reserve	Retained earnings	Total	Non- controlling interests	Total equity
Balance as at 01st April 2022		2,007,856,833	1,466,387,384	2,173,105,627	5,647,349,844	30,645,084	5,677,994,928
Profit for the year		-	-	1,668,886,398	1,668,886,398	(10,011,041)	1,658,875,357
Other comprehensive income		-	(128,428,378)	(1,148,052)	(129,576,430)	-	(129,576,430)
Total comprehensive income		-	(128,428,378)	1,667,738,346	1,539,309,968	(10,011,041)	1,529,298,927
Balance as at 31st March 2023		2,007,856,833	1,337,959,006	3,840,843,973	7,186,659,812	20,634,043	7,207,293,855
Profit for the year		-	-	159,686,284	159,686,284	-	159,686,284
Other comprehensive income		-	16,091,727	(4,097,030)	11,994,697	-	11,994,697
Effect of NCI due of disposal of Subsidiary		-	-	-	-	(20,634,043)	(20,634,043)
Total comprehensive income		-	16,091,727	155,589,254	171,680,981	(20,634,043)	151,046,938
Balance as at 31st Mar 2024		2,007,856,833	1,354,050,733	3,996,433,227	7,358,340,793	-	7,358,340,793

Revaluation reserve relates to the revaluation of land, buildings and motor vehicles.

The notes on form an integral part of these financial statements.

Figures in brackets indicate deductions.

STATEMENT OF CASH FLOWS

(All amounts in Sri Lankan Rupees)

For the Year ended 31st March	Notes	Group		Company	
		2024	2023	2024	2023
Cash flow from operating activities					
Profit before tax from continuing operations		177,276,756	2,347,694,725	216,448,883	1,751,451,039
Loss before tax from discontinued operations		(5,509,401)	(295,458)	-	-
Adjustment for:					
Depreciation	13	157,735,674	106,046,654	110,611,231	89,949,671
Amortisation on intangible assets	16	1,480,767	1,529,329	1,480,767	1,480,769
Amortisation on right-of-use asset	15.1	3,025,602	9,573,637	773,109	773,110
Interest income	8	(151,364,934)	(155,412,392)	(175,190,884)	(124,205,453)
Interest expenses	8/11.1	71,539,018	161,345,358	89,796,148	141,612,337
Trade receivables write off	9	9,645,594	8,518,327	8,773,205	4,064,368
Gain on disposal of property, plant and equipment	7	(227,878)	-	(227,878)	-
Change in fair value of investment property	7	-	-	(11,740,000)	(14,976,000)
Subsidy write off	20	-	1,556,188	-	1,556,188
Impairment of trade receivables	19.2/11.1	3,150,180	(12,381,535)	12,539,576	(6,724,917)
Impairment loss on inventory	18.1	2,736,138	1,713,826	1,139,669	-
Gain on disposal of government securities	7	(83,466,501)	-	(69,389,116)	-
Loss on disposal of subsidiary		5,927,455	-	36,000,000	-
Impairment reversal of investment		-	-	(96,954,904)	-
Provision for retirement gratuity	24	10,954,406	7,924,689	10,922,501	7,899,788
Operating profit before working capital changes		202,902,876	2,477,813,348	134,982,307	1,852,880,900
Changes in:					
(Increase)/decrease in inventories		(960,838,473)	(335,633,043)	(1,328,838,162)	276,959,400
Increase in trade and other receivables		(263,286,972)	(418,935,057)	(416,014,268)	(203,975,363)
Decrease in subsidy receivable		-	2,647,293,611	-	2,490,897,851
Decrease/(Increase) in amounts due from related companies		-	-	672,003,066	(290,823,353)
(Increase)/decrease in trade and other payables		36,056,775	(2,867,019,997)	(1,330,171)	(2,732,239,896)
Increase/(decrease) in amounts due to related companies		-	-	172,527,928	(54,355,424)
Cash (used in)/ generated from operating activities		(985,165,796)	1,503,518,862	(766,669,300)	1,339,344,115
Interest expense paid		(70,870,354)	(158,736,249)	(89,504,333)	(141,324,234)
Income tax paid		(398,483,132)	(81,933,583)	(305,484,255)	-
Employee benefit paid	24	(14,290,667)	(5,115,476)	(14,290,667)	(5,115,476)
Net cash flow (used in)/ generated from operating activities		(1,468,809,949)	1,257,733,554	(1,175,948,555)	1,192,904,405
Cash flows from investing activities					
Interest income received		124,754,338	143,597,314	177,495,553	116,021,893
Acquisition of property, plant and equipment	13	(101,661,968)	(21,511,021)	(99,930,404)	(17,961,204)
Addition to work in progress	13	(11,782,691)	(70,962,429)	(11,782,691)	(70,962,429)
Disposal / (investment) in government securities		931,254,921	(847,788,420)	594,275,621	(524,886,505)
Disposal of property plant and equipment		3,619,925	-	3,619,925	-
Proceeds of subsidiary company	17	11,468,277	-	15,000,000	-
Net cash (used in)/ generated from investing activities		957,652,802	(796,664,556)	678,678,004	(497,788,245)
Cash flows from financing activities					
Proceeds from loans and borrowings	27.1/27.2	2,056,665,574	3,880,708,296	2,056,665,574	3,787,608,702
Repayment of loans and borrowings	27.1/27.2	(1,526,405,920)	(4,061,110,719)	(1,526,405,920)	(3,963,892,183)
Repayment of lease liabilities	15.2/12.2.2	(1,194,700)	(11,357,199)	(287,500)	(250,000)
Net cash from / (used in) financing activities		529,064,954	(191,759,622)	529,972,154	(176,533,481)
Net cash increase/(decrease) in cash and cash equivalents		17,907,807	269,309,376	32,701,603	518,582,679
Cash and cash equivalents at the beginning of the year		620,189,087	350,879,711	537,786,490	19,203,811
Cash and cash equivalents at 31st March	22	638,096,894	620,189,087	570,488,093	537,786,490

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

1.1 Reporting entity

Agstar PLC, ("the Company") is a public limited liability Company incorporated and domiciled in Sri Lanka. The ordinary shares of the Company are listed on the Colombo Stock Exchange. The Company's registered office and the principal place of business is located at 93, Minuwangoda Road, Ekala, Ja-ela.

The consolidated financial statements of the Company as at, and for the year ended 31st March 2024 comprise the financial statements of Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities").

The principal activities of the Company and the other entities consolidated with it are as follows:

- AgStar PLC – Business of importing, blending, and marketing of fertiliser products and agri machineries.
- AgStar Cropcare (Private) Limited – Business of importing formulating and marketing of chemicals, fertilisers, and specialty products.
- AgStar Seeds (Private) Limited – Business of producing, trading, and marketing of seeds and planting materials.
- AgStar Grains (Private) Limited – Business of procurement, processing and marketing of rice and other grains. (Discontinued operation)
- Mahaweli Agro Trading (Private) Limited (previously named as Mahaweli Rice Processing Industries (Private) Limited) – Company was carrying out business of procurement, processing, and marketing of rice (Discontinued operation). Currently carrying on the business of trading fertiliser.
- AgStar Exports (Private) Limited – Business of exporting agriculturally based products and marketing of consumer goods.
- Prith Seeds (Private) Limited - Business of importing, producing, trading, and marketing of seeds and planting materials.

- Euro Asia Tea (Private) Limited - The company carries on business of export and local sale of tea products and providing contract packing services. The company was disposed on 01st May 2023.

In the opinion of the Board of Directors, the Group's immediate parent company is Browns & Company PLC and ultimate parent undertaking and controlling party as at the date of financial position is LOLC Holdings PLC.

2. BASIS OF PREPARATION

2.1 Statement of compliance

The consolidated financial statements of the Group and the separate financial statements of the Company have been prepared in accordance with the Sri Lanka Accounting Standards (herein referred to as SLFRSs/LKASs), laid down by The Institute of Chartered Accountants of Sri Lanka (ICASL) and in compliance with the requirements of the Companies Act No. 07 of 2007 and the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995.

2.2 Responsibility for financial statements

The Board of Directors of the Company acknowledges their responsibility for the Financial Statements, as set out in the "Annual Report of the Board of Directors", "Statement of Directors' Responsibilities for Financial Statements" and the "certification on the Statement of Financial Position".

2.3 Approval of financial statements by Directors

The financial statements of the Group and the Company for the year ended 31st March 2024 were approved and authorised for issue by the Board of Directors on the 30th August 2024. These financial statements include the following components:

- a Statement of Profit or Loss and Other Comprehensive Income providing the information on the financial performance of the Group and the Company for the year under review. Refer pages 60;
- a Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year end. Refer page 61;

NOTES TO THE FINANCIAL STATEMENTS

- a Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review of the Group and the Company. Refer pages 62 to 63;
- a Statement of Cash Flows providing the information to the users, on the ability of the Group and the Company to generate cash and cash equivalents and utilisation of those cash flows. Refer page 64;
- Notes to the financial statements comprising material accounting policies and other explanatory information. Refer pages 65 to 132.

2.4 Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis, except for land and buildings, investment properties and motor vehicles measured at fair value and the retirement benefit obligations are measured at the present value of the defined benefit obligation as explained in the respective Notes to the financial statements.

2.5 Functional currency

The financial statements are presented in Sri Lankan Rupees, which is the Group's functional currency. There was no change in the Group's presentation and functional currency during the year under review.

2.6 Current versus non-current classification

The Group presents assets and liabilities in the statement of financial position based on current/non-current classification.

An asset is current when it is expected to be realised or intended to be sold or consumed in the normal operating cycle and held primarily for the purpose of trading.

Or

Is cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when it is expected to be settled in the normal operating cycle and is held primarily for the purpose of trading and is due to be settled within twelve months after the reporting period.

Or

There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Group classifies all other liabilities as non-current.

2.7 Materiality and aggregation

Each material class of similar items is presented separately in the Financial Statements. Items of a dissimilar nature or function are presented separately, unless they are immaterial.

Notes to the financial statements are presented in a systematic manner which ensures the understandability and comparability of financial statements of the Group and the Company. Understandability of the financial statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

2.8 Use of estimates and judgments

The preparation of financial statements of the Group and the Company in conformity with Sri Lanka Accounting Standards requires the management to make judgments, estimates and assumptions that affect the application of policies and reported values of assets, liabilities, income, and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making a judgment about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation, uncertainty, and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements, is provided below:

2.8.1 Judgment

Going concern

The Group has prepared the financial statements for the year ended 31st March 2024 on the basis that it will continue to operate as a going concern. Based on available information, the management has assessed prevailing macroeconomic conditions and its effect on the Group Companies in determining the going concern basis for preparation of financial statements.

2.8.2 Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the Financial Statements is included in the following notes:

- Depreciation – Note 3.5.4
- Leases – Note 3.7
- Intangible assets – Note 3.8
- Impairment – Note 3.10
- Employee benefits – Note 3.12
- Provisions – Note 3.13
- Commitments and contingencies – Note 3.21
- Taxation – Note 3.18
- Property, plant and equipment – Note 3.5
- Investment properties – Note 3.6

Measurement of fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair Values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows,

Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs)

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Fair values have been determined for measurement and disclosure purposes based on the following methods. Where applicable further information about the assumptions made in determining fair value is disclosed in the notes specific to that asset or liability.

The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability
- Or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, if market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

NOTES TO THE FINANCIAL STATEMENTS

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

3. MATERIAL ACCOUNTING POLICIES

The accounting policies set out below have been consistently applied to all periods presented in these financial statements.

3.1 Changes In Material Accounting Policies

A. DEFERRED TAX RELATED TO ASSETS AND LIABILITIES ARISING FROM A SINGLE TRANSACTION

The Group has adopted Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to LKAS 12) from 01st April 2023. The amendments narrow the scope of the initial recognition exemption to exclude transactions that give rise to equal and offsetting temporary differences.

e.g. leases. For leases, the Group is recognised the associated deferred tax assets and liabilities from the beginning of the earliest comparative period presented, with any cumulative effect recognised as an adjustment to retained earnings or other comprehensive of equity at that date. For all other transactions, the Group applies the amendments to transactions that occur on or after the beginning of the earliest period presented.

The Group previously accounted for deferred tax on leases and decommissioning liabilities by applying the 'integrally linked' approach, resulting in a similar outcome as under the amendments, except that the deferred tax asset or liability was recognised on a net basis. Following the amendments, the group has recognised a separate deferred tax asset in relation to its lease liabilities and a deferred tax liability in relation to its right-to use assets. However, there was no impact on the statement of financial position because the balances qualify for the offset under paragraph 74 of LKAS 12. There was also no impact on the opening retained earnings as at 01st April 2023 as a result of the change. The key impact for the Group relates to disclosure of the deferred tax assets and liabilities recognised.

B. MATERIAL ACCOUNTING POLICY INFORMATION

The Group also adopted Disclosure of Accounting Policies (Amendments to LKAS 1 and IFRS Practice Statement 2) from 01st April 2023. Although the amendments did not result in any changes to the accounting policies themselves, they impacted the accounting policy information disclosed in the financial statements. The amendments require the disclosure of 'material', rather than 'significant', accounting policies.

The amendments also provide guidance on the application of materiality to disclosure of accounting policies, assisting entities to provide useful, entity-specific accounting policy information that users need to understand other information in the financial statements.

Management reviewed the accounting policies and made updates to the information disclosed in Note 3 Material accounting policies (2023: Significant accounting policies) in certain instances in line with the amendments.

3.2 Basis of consolidation

3.2.1 Business combinations and goodwill

The Group accounts for business combinations using the acquisition method when the acquired set of activities and assets meets the definition of a business and control is transferred to the Group. In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs.

The Group has an option to apply a 'concentration test' that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The optional concentration test is met if substantially all the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets.

Business combinations are accounted for using the acquisition method as at the acquisition date, which is the date on which control is transferred to the Group.

The Group measures goodwill at the acquisition date, as excess of aggregate fair value of the consideration transferred; the recognised amount of any non-controlling interests in the acquiree. If the business combination is achieved in stages, the fair value of the pre-existing interest in the acquiree; and the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed measured at the acquisition date.

Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not re-measured, and settlement is accounted within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in the income statement.

The goodwill arising on acquisition of subsidiaries is presented as an intangible asset.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. Goodwill is tested for impairment annually as at 31 March and when circumstances indicate that the carrying value may be impaired. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquire are assigned to those units.

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the entity acquired exceed the cost of the acquisition of the entity, the surplus, which is a gain on bargain purchase is recognised immediately in the consolidated income statement.

3.2.2 Subsidiaries

Subsidiaries are those entities controlled by the Group. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

The Group considers all relevant facts and circumstances in assessing whether it has power over an investee which includes; The contractual arrangement with the other vote holders of the investee, Rights arising from other contractual arrangements and the Group's voting rights and potential voting rights over the investee.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income, and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the Company are also treated as subsidiaries of the Company.

3.2.3 Non-controlling interest

The proportion of the profits or losses after taxation applicable to outside shareholders of subsidiary companies is included under the heading "Non – controlling interests" in the Consolidated Statement of Profit or Loss and Other Comprehensive Income.

NOTES TO THE FINANCIAL STATEMENTS

Losses applicable to the non-controlling interests in a subsidiary is allocated to the non-controlling interest even if doing so causes the non-controlling interests to have a deficit balance.

The interest of the minority shareholders in the net assets employed of these companies are reflected under the heading "Non-controlling interests" in the Consolidated Statement of Financial Position.

Acquisitions of non-controlling interests are accounted for as transactions with the equity holders in their capacity as owners and therefore no goodwill is recognised as a result of such transactions. Changes to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.2.4 Loss of control

On the loss of control, the Group immediately derecognises the assets including goodwill and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit and loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently, it is accounted for as an equity-accounted investee or as a FVTOCI financial asset depending on the level of influence retained.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

3.2.5 Reporting date

All the Group's subsidiaries have same reporting period as the parent Company, which is 31st March.

3.2.6 Intra-group transactions

Pricing policies of all intra-group sales are identical to those adopted for normal trading transactions, which are at market prices. Transfer prices between Group entities are set on an arms-length basis in a manner similar to transactions with third parties.

3.2.7 Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised gains and losses or income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.3 Foreign currencies

3.3.1 Foreign currency transactions

Transactions in foreign currencies are translated into the respective functional currencies of the Group at the exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined.

Non-monetary assets and liabilities which are measured in terms of historical cost in a foreign currency are translated using exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of gain or loss on the change in fair value of the item (i.e., translation differences on items of which fair value gain or loss is recognised in OCI or Profit or Loss are also recognised in OCI or Profit or Loss, respectively)

3.4 Financial instruments

3.4.1 Recognition and initial measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

Trade receivables are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Group becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

3.4.2 Classification and subsequent measurement

3.4.2.1 Financial Assets

(a) Classification

On initial recognition, a financial asset is classified as measured at amortised cost, fair value through other comprehensive income (OCI) and fair value through profit or loss.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designed as at FVTPL:

- It is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.
- This assessment is referred to as the SPPI test and it is performed at an instrument level. The Company's financial assets classified under amortised cost includes trade and other receivable and cash and cash equivalents

(b) Business model assessment

The Group assesses the objective of the business model in which a financial asset is held at a portfolio levels because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

The stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;

- how the performance of the portfolio is evaluated and reported to the Company's management,
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed,
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume, and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Company's continuing recognition of the assets.

(c) Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for

NOTES TO THE FINANCIAL STATEMENTS

other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows,
- terms that may adjust the contractual coupon rate, including variable-rate features,
- prepayment and extension features; and
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse features).

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual paramount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

(d) Subsequent measurement and gains and losses

Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
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(e) Impairment

Trade receivables, the Group applies a simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

In certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

ECL are discounted at the effective interest rate of the financial asset.

(f) Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the trade receivables.

(g) Write-offs

The gross carrying amount of a financial asset is written off (either partially or in full) to the extent that there is no realistic prospect of recovery. However financial assets that written off could still be subject to enforcement activities in order to comply with the Group's procedures to recovery of amounts due.

3.4.3 Stated capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity.

3.5 Assets held for sale and discontinued operations

(i) Assets held for sale

Non-current assets and disposal groups classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets and disposal groups are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable, and the asset or disposal group is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Impairment losses on initial classification as held for sale and subsequent gains and losses on remeasurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss. Property, plant and equipment and intangible assets once classified as held for sale are not depreciated or amortised.

(ii) Discontinued operations

A discontinued operation is a component of the Group's business, the operations, and cash flows of which can be clearly distinguished from the rest of the Group and which:

- represents a separate major line of business or geographical area of operations,
- is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations; or
- is a subsidiary acquired exclusively with a view to re-sale,

Classification as a discontinued operation occurs on disposal or when the operation meets the criteria to be classified as held for sale, if earlier.

When an operation is classified as a discontinued operation, the comparative statement of comprehensive income is represented as if the operation had been discontinued from the start of the comparative year.

3.5 Property, plant & equipment

3.5.1 Recognition and measurement

Items of property, plant, and equipment other than land and buildings and motor vehicles are measured at cost less accumulated depreciation and accumulated impairment losses.

The cost of an item of property, plant and equipment comprises its purchase price and any directly attributable costs of bringing the asset to working condition for its intended use. The cost of self-constructed assets includes the cost of materials, direct labour, and any other costs directly attributable to bringing the asset to the working condition for its intended use and borrowing costs if the recognition criteria are met. This also includes cost of dismantling and removing the items and restoring them in the site on which they are located.

All items of property, plant and equipment are recognised initially at cost.

The Group subsequently recognises land, building and motor vehicles owned by it in the statement of financial position at their re-valued amount. Revaluations are performed with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair values at the end of each reporting period. If the fair values of land and building does not change other than by an insignificant amount at each reporting period, the Group will revalue such land and buildings and motor vehicles every 3 years.

Any revaluation increase arising on the revaluation of such assets are recognised in other comprehensive income and accumulated in equity, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in the income

NOTES TO THE FINANCIAL STATEMENTS

statement, in which case the increase is credited to the income statement to the extent of the decrease previously expensed. A decrease in the carrying amount arising on a revaluation of such assets are recognised in the income statement to the extent that it exceeds the balance, if any, held in the property's revaluation reserve relating to a previous revaluation of the assets.

Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to retained earnings and is not considered in arriving at the gain or loss on disposal.

3.5.2 Significant components of property, plant & equipment

When parts of an item of property, plant and equipment have different useful lives than the underlying asset, they are identified and accounted separately as major components of property, plant and equipment and depreciated separately based on their useful life.

3.5.3 Subsequent cost

The Group recognises in the carrying amount of property, plant and equipment the cost of replacing a part of an item, when it is probable that the future economic benefits embodied in the item will flow to the Group and the cost of the item can be measured reliably. The carrying amounts of the parts that are replaced are derecognised from the cost of the asset. The cost of day-to-day servicing of property, plant and equipment are recognised in the income statement as and when incurred.

3.5.4 Depreciation

Depreciation is based on the cost of an asset less its residual value.

Depreciation is recognised in the income statement on a straight-line basis over the estimated useful lives of each component of an item of property, plant, and equipment. Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale or on the date that the asset is disposed. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that

the Group will obtain ownership by the end of the lease term.

The estimated useful lives of Property, Plant and Equipment's for current and comparative periods are as follows:

Buildings	10-20 years
Plant and machinery	05-10 years
Motor vehicles	5 years
Furniture and fittings	05-10 years
Computer hardware / software	3 years
Office equipment	5-10 years
Pallets	3-5 years
Factory equipment's	10 years
Solar panels	25 years
Lab Equipment's	10 years

Depreciation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

3.5.5 Reclassification to investment property

When the use of property changes from owner occupied to investment property, the property is remeasured to fair value and reclassified accordingly. Any gain arising on this remeasurement is recognised in profit or loss to the extent that is reverse a previous impairment loss on the specific property, with any remaining gain recognised the OCI and presented in the revaluation reserve.

Any loss is recognised in profit or loss. However, to the extent that an amount is included in the revaluation surplus for that property, the loss is recognised in OCI and reduced the revaluation surplus within equity.

3.6 Investment properties

3.6.1 Recognition and measurement

Properties held to earn rental income and properties held for capital appreciation has been classified as investment property.

Investment properties are measured initially at cost, including transaction costs. The carrying value of an investment property includes the cost of replacing part of an existing investment property, at the time that cost is incurred if the recognition criteria are met and excludes the costs of day-to-day servicing of the investment property. Subsequent to initial recognition, the investment properties are stated at fair value, which reflect market conditions at the reporting date.

Gains or losses arising from changes in fair value are included in the statement of profit or loss in the year in which they arise. Fair values are evaluated at frequent intervals by an accredited external, independent valuer. Rental income from investment property is recognised as other income on straight line basis over the term of lease.

Investment properties are de-recognised when disposed, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on de-recognition or disposal are recognised in the Income Statement in the year of de-recognition or disposal. Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property or inventory, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner occupied property becomes an investment property or inventory, the group accounts for such property in accordance with the policy stated under property, plant, and equipment up to the date of change in use. Where group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant, and equipment in the consolidated financial statements, and accounted using Group accounting policy for property, plant, and equipment. When investment property previously classified under Property Plant and Equipment is sold, any related amount included in the revaluation reserve is transferred to retained earnings.

3.7 Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period in exchange for consideration.

As a lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component based on its relative stand-alone prices. However, for the lease of property the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payment made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The estimated useful lives of right-of-use assets are determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

NOTES TO THE FINANCIAL STATEMENTS

The Group determines its incremental borrowing rate by obtaining interest rate from various external financing sources and make certain adjustment to reflect the term of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following.

- Fixed payments, including in-substance fixed payments
- Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date.
- Amounts expected to be payable under a residual value guarantee; and
- The exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments from a change in an index or a rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, or if the Group changes its assessment of whether it will exercise a purchase, extension or termination option.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

3.8 Intangible assets

3.8.1 Initial Recognition and measurement

The Group recognises intangible assets if it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

Separately acquired intangible assets are measured on initial recognition at cost. The cost of such separately acquired intangible assets include the purchase price, import duties, non-refundable purchase taxes and any directly attributable cost of preparing the asset for its intended use.

The cost of intangible assets acquired in a business combination is the fair value of the asset at the date of acquisition.

3.8.2 Subsequent costs

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

3.8.3 Subsequent measurement

After initial recognition an intangible asset is stated at its costs less any accumulated amortisation and any accumulated impairment losses.

The useful economic life of an intangible asset is assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life of the asset. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement.

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

3.8.4 Intangible assets recognised by the Group

3.8.4.1 Goodwill

Goodwill that arises upon the acquisition of subsidiaries is included in intangible assets. (Note 16)

Goodwill is subsequently measured at cost less accumulated impairment losses.

3.8.4.2 Computer software

All computer software costs incurred and licensed for use by the Group, which do not form an integral part of related hardware, and can be clearly identified and reliably measured with the probability of leading to future economic benefits, are capitalised under intangible assets

In accordance with 3.8.3 above, the Group companies assess the useful life of each computer software that has a finite useful life. Based on this assessment the Group companies amortise computer software over approximately 3 to 5 years.

3.8.4.3 Tohoku exclusive dealership

Intangible assets include trademarks and exclusive dealership acquired by the Group. The Tohoku Seed exclusive dealership of the Company is expected to have an indefinite life and the Group tests the exclusive dealership with an indefinite life for impairment by comparing its recoverable value with its carrying value annually or whenever there is an indication that the intangible assets may be impaired.

3.8.5 Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses.

3.8.6 De-recognition

Intangible assets are de-recognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of intangible assets are measured as difference between the net disposal proceeds and the carrying amount of the asset.

3.8.7 Amortisation

Amortisation is recognised in the income statement on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use.

The estimated useful life of each intangible asset is as follows.

Brand distribution agency	10 years
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Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

3.9 Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of inventories is based on a weighted average cost. The cost includes expenditure incurred in acquiring the inventories and bringing them to their existing location and condition. In the case of manufactured inventories, cost includes an appropriate share of factory overheads.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses based on normal operating capacity.

3.10 Impairment – Non-financial assets

The carrying amounts of the Group's non-financial assets, other than inventories and deferred tax assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the recoverable amounts of such assets are estimated.

The recoverable amount of goodwill is estimated at each reporting date, or as and when an indication of impairment is identified.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount.

NOTES TO THE FINANCIAL STATEMENTS

Impairment losses recognised in respect of cash-generating units on acquisition of subsidiaries are allocated first to reduce the carrying amount of any goodwill allocated to the unit, and then to reduce the carrying amount of the other assets in the unit (or group of units) on a pro rata basis.

3.10.1 Calculation of recoverable amount

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

3.10.2 Reversal of impairment

An impairment loss in respect of goodwill is not reversed. In respect of other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are recognised in the income statement.

3.11 Liabilities and provisions

Liabilities classified as current liabilities in the statement of financial position are those which fall due for payment on demand of the creditor or within one year of the reporting date. Non-current liabilities are those balances that become repayable after one year from the reporting date.

All known liabilities have been accounted for in preparing the financial statements.

3.12 Employee benefits

3.12.1 Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A

liability is recognised for the amount expected to be paid under short-term cash bonus if the Group has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee, and the obligation can be measured reliably.

3.12.2 Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays a fixed employee benefit contribution into a separate entity and will have no further legal or constructive obligations to pay any additional amounts. Obligations for contributions to a defined contribution plan are recognised as an employee benefit expense in the income statement in the periods during which services are rendered by employees.

3.12.2.1 Employee provident fund and Employee trust fund

The Group contributes a sum not less than 12% of the gross emoluments of employees employed in Sri Lanka as provident fund benefits and 3% as trust fund benefits.

3.12.2.2 Defined benefit plan - retiring gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the statement of financial position in respect of defined benefit plans is the present value of the defined benefit obligation at the reporting date.

The defined benefit obligation is calculated annually using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms of maturity approximating to the terms of the liability.

Provision has been made in the financial statements for retiring gratuities from the first year of service for all employees.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service. The liability is not externally funded.

Remeasurements of the defined benefit liability actuarial gains and losses are recognised immediately in OCI. When the benefits of the plan are changed or when a plan is curtailed, the resulting change in benefit that related to past service or the gain or loss on curtailment is recognised immediately in profit or loss. The Group recognises gains and losses on resettlement of a defined plan when the settlement occurred.

3.13 Provisions

A provision is recognised if, as a result of past events, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

3.14. Revenue

a) Sale of goods

The Group is engaged in the business of importing, blending, and marketing of fertiliser products, formulating and marketing of chemicals, producing, trading, and marketing of seeds, planting materials and other grains, import and trading Agri machineries and in exporting agriculturally based products.

The Group shall recognise revenue when (or as) the entity satisfies a performance obligation by transferring a promised good to a customer. An asset is transferred when (or as) the customer obtains control of that asset.

b) Interest Income

Interest income is recognised on an accrual basis, using the effective interest method.

c) Dividend income

Dividend income is recognised in the income statement on the date that the Group's right to receive payment is established, which is generally when the dividend is declared

d) Rental income

Rental income is recognised on a straight-line basis over the period of rental contracts. When the customer initially enters into a rental contract, the Group usually receives an advance or a deposit or both which is recognised as a liability. The advance is recognised as revenue with the passage of time while deposit is refunded to the customer in accordance with the rental contract on termination.

e) Others

Other income is recognised on an accrual basis.

Gains and losses arising from incidental activities to main revenue generating activities and those arising from a Company of similar transactions which are not material, are aggregated, reported, and presented on a net basis.

3.15 Expenditure

All expenditure incurred in the running of the business and in maintaining the capital assets in a state of efficiency are recognised in the statement of profit or loss on an accrual basis.

3.16 Finance income /(expenses)

Finance income comprises interest income on funds invested, net changes in fair value of financial assets classified as fair value through profit or loss and gains on the disposal of interest generating investments whether classified under fair value through profit or loss.

Finance expenses comprise interest expense on borrowings and leases, and impairment losses recognised on financial assets. Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in the income statement using the effective interest method.

3.17 Government grants and subsidies

Government grants are recognised where there is reasonable assurance that the grant will be received, and all attached conditions will be complied with.

When the grant relates to an expense item, it is recognised as income on a systematic basis over the periods that the costs, which it is intended to compensate, are expensed.

NOTES TO THE FINANCIAL STATEMENTS

Grants and subsidies which intend to compensate an expense or loss already incurred or received for the purpose of immediate financial support with no future related costs, are recognised in the income statement in the period in which the grant becomes receivable.

Grants and subsidies related to assets are immediately recognised in the statement of financial position as deferred income and recognised in the income statement on a systematic and rational basis over the useful life of the asset.

When the Group receives non-monetary grants, the asset and the grant are recorded gross at nominal amounts and recognised in the income statement over the expected useful life in a pattern of consumption of the benefit of the underlying asset.

When loans or similar assistance are provided by governments or related institutions with an interest rate below the applicable market rate, the effect of this favourable interest is regarded as a government grant.

3.18 Income tax expense

Income tax expense comprises of current and deferred tax. The income tax expense is recognised in the income statement except to the extent that it relates to the items recognised directly in the statement of other comprehensive income or statement of changes in equity, in which case it is recognised directly in the respective statements.

The Company has determined that interest and penalties related to income taxes including uncertain tax treatments, do not meet the definition of income taxed, and therefore accounted for them under LKAS 37 Provisions, contingent liabilities, and contingent assets.

3.18.1 Current tax

The current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantially enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Taxation for the current and previous periods to the extent unpaid is recognised as a liability in the financial statements. When the amount of taxation already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset in the financial statements.

3.18.2 Deferred taxation

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for temporary differences arising on initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit, and the differences relating to investments in subsidiaries and jointly controlled entities to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

3.18 Movement of reserves

Movements of reserves are disclosed in the statement of changes in equity.

3.19 Statement of Cash flows

The Statement of Cash Flows has been prepared by using the 'Indirect Method' of preparing cash flows in accordance with Sri Lanka Accounting Standard-LKAS 7 on 'Statement of Cash Flows'. Cash and cash equivalents comprise of cash at bank and in hand and deposits with short-term maturity (i.e. three

months or less from date of investment). Cash and bank balances are stated at recoverable values. There were no cash and cash equivalents held by the Group companies that were not available for use. Bank overdrafts form an integral part of the Group's cash management are included as a component of cash and cash equivalents for the purpose of preparing the Statement of Cash Flows.

3.20 Earnings per share

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period.

Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.21 Commitments and contingencies

Contingencies are possible assets or obligations that arise from a past event and would be confirmed only on the occurrence or non-occurrence of uncertain future events, which are beyond the Group's control.

Commitments and Contingent liabilities are disclosed in Note 31 and 32 to the financial statements.

4. STANDARD ISSUED BUT NOT YET EFFECTIVE

The Institute of Chartered Accountants of Sri Lanka has issued following new Sri Lanka Accounting Standards (SLFRSs/LKASs) which will become applicable for financial periods beginning after 1st April 2023. Accordingly, the Company has not applied the following new standards in preparing these Financial Statements.

The following amended standards and interpretations are not expected to have a significant impact on the Company's financial statements.

4.1 New accounting standards and amendments: applicable on or after 1st January 2024

The following amended standards and interpretations are not expected to have a significant impact on the Company's financial statements:

- Classification of liabilities as Current or Non-current and Non-current Liabilities with Covenants (Amendments to LKAS 1)
- Lease Liability in a Sale and Leaseback – Amendments to SLFRS 16
- Supplier finance arrangements – Amendments to LKAS 1 and SLFRS 7
- Lack of exchangeability (Amendments to LKAS 21)

4.2 New accounting standards effective for annual reporting periods beginning on or after 1 January 2027

The following amended standards and interpretations are not expected to have a significant impact on the Company's financial statements:

- IFRS 18 Presentation and Disclosure in Financial Statements
- IFRS 19 Subsidiaries without Public Accountability: Disclosures

4.3 Other standards effective for annual reporting periods beginning on or after 1 January 2025

The following standards and interpretations are not expected to have a significant impact on the Company's financial statements:

- SLFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information
- SLFRS S2 Climate-related Disclosures

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

5 SEGMENT INFORMATION

Management has determined the operating segments based on the reports reviewed by the Executive Board that are used to make strategic decisions.

Trading - Items which are directly imported and sold without further processing are categorised under this.

Processing - This segment includes the items which are further processed at the Company before sold.

	2024			2023		
	Trading	Processing	Total	Trading	Processing	Total
Total external segment revenue	4,776,341,257	2,889,785,620	7,666,126,877	2,741,625,437	4,716,579,644	7,458,205,081
Cost of sales	(4,173,490,249)	(2,597,334,237)	(6,770,824,486)	(1,914,055,584)	(1,933,354,164)	(3,847,409,748)
Gross profit	602,851,008	292,451,383	895,302,391	827,569,853	2,783,225,480	3,610,795,333
Unallocated income and expenses						
Other income			147,602,313			55,125,156
Selling and distribution expenses			(315,156,598)			(240,772,235)
Administrative expenses			(632,535,672)			(457,357,069)
Operating profit			95,212,434			2,967,791,185
Net finance costs			82,064,322			(620,096,460)
Profit before tax			177,276,756			2,347,694,725
Income tax expense			(12,081,071)			(688,523,910)
Profit for the year from continuing operations			165,195,685			1,659,170,815
Total Assets for reportable segments			9,254,784,800			7,827,648,080
Total Liabilities for reportable segments			1,896,444,006			1,531,853,915

6 REVENUE

	Group		Company	
	2024	2023	2024	2023
Sale of goods	7,666,126,877	7,458,205,081	6,034,827,200	5,810,149,701
	7,666,126,877	7,458,205,081	6,034,827,200	5,810,149,701

Revenue of the Company consist of local sales of fertilisers and agri machineries, which have been disclosed net of taxes and the revenue of the Group includes sale of seeds, cropcare products and other local sales.

7 OTHER INCOME

	Note	Group		Company	
		2024	2023	2024	2023
Change in fair value of investment property	14	-	-	11,740,000	14,976,000
Used bag sales		9,038,400	3,198,470	9,038,400	3,198,470
Solar power income		32,324,918	29,239,099	30,261,286	27,407,711
Reversal of trade receivable write off		6,490,186	10,173,110	4,477,955	6,116,830
Rent income		-	-	11,022,000	11,022,000
Sundry income		16,054,430	11,964,477	12,427,406	8,832,181
Disposal of property, plant and equipment		227,878	550,000	227,878	550,000
Gain on disposal of government securities		83,466,501	-	69,389,116	-
Reversal of impairment of shares		-	-	96,954,904	-
Total of other income		147,602,313	55,125,156	245,538,945	72,103,192

8 NET FINANCE COSTS

		Group		Company	
	Note	2024	2023	2024	2023
Finance income					
Interest income on FCBU		1,233,217	2,349,915	-	-
Interest income on deposits		86,125,981	77,763,346	76,781,893	66,061,506
Interest income on repo investment		32,713,151	75,299,131	26,623,028	58,143,947
Interest income on government securities		31,292,585	-	28,589,539	-
Gain on translation of foreign currency		2,238,406	-	-	-
Interest Income from subsidiaries		-	-	43,196,424	-
Total finance income		153,603,340	155,412,392	175,190,884	124,205,453
Finance costs					
Interest expense on long term loans		5,518,434	14,205,070	5,518,434	14,169,844
Interest expense on short term loans		64,741,573	139,592,224	64,741,573	125,028,342
Interest expense on bank overdraft		610,347	4,938,955	369,508	2,126,048
Interest expense on lease liability		668,664	2,609,109	291,815	288,103
Loss on translation of foreign currency		-	614,163,494	-	601,859,125
Interest cost to subsidiaries		-	-	18,874,817	-
Total finance costs		71,539,018	775,508,852	89,796,147	743,471,462
Net finance income/(costs) recognised in profit or loss		82,064,322	(620,096,460)	85,394,737	(619,266,009)

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

9 PROFIT BEFORE TAX FROM CONTINUING OPERATIONS

Stated after charging all expenses including the following :

For the year ended 31st March,	Note	Group		Company	
		2024	2023	2024	2023
Directors' emoluments		46,509,306	30,739,247	46,509,306	30,739,247
Auditors' remuneration - Statutory audit		2,080,000	1,995,000	940,000	820,000
Employee benefit expenses	9.1	393,020,685	277,726,611	263,569,703	185,379,254
Depreciation	13	157,735,674	106,046,654	110,611,231	89,949,668
Amortisations of intangible assets	16	1,480,767	1,529,329	1,480,767	1,480,769
Amortisations of right of use assets	15.1	3,025,601	9,573,637	773,110	773,110
Provision for inventory	18.1	2,736,139	1,713,826	1,139,669	-
Donation		140,000	289,675	140,000	289,675
Disposal loss of Euro Asia Teas (Pvt) Ltd	17.2	5,927,456	-	36,000,000	-
Inventory write off		19,763,794	-	19,753,994	-
Subsidy write off	20	-	1,556,188	-	1,556,188
Trade receivable write off		9,645,594	8,518,327	8,773,205	4,064,368
Impairment loss/(reversal) on trade receivables	19.2	3,360,180	(12,206,535)	12,539,577	(6,724,917)
Legal expenses		21,871,727	21,738,267	19,000,224	19,924,226
9.1 Employee benefit expenses					
Salaries, wages and other related cost		356,129,658	248,199,235	235,764,553	156,817,373
Contributions to defined contribution plans		25,936,621	21,602,687	16,882,649	20,662,093
Provision for retirement benefit obligations	24.1	10,954,406	7,924,689	10,922,501	7,899,788
Total of employee benefit expenses		393,020,685	277,726,611	263,569,703	185,379,254
Number of employees		171	152	170	151

10 INCOME TAX EXPENSE

For the year ended 31st March,	Note	Group		Company	
		2024	2023	2024	2023
Current tax expense - continuing operation					
Taxation on profit for the year	10.1	86,514,721	653,208,812	55,654,196	540,672,676
Economic service charge not recoverable written off		5,801,532	642,607	5,801,532	-
Under provision in respect of previous year		36,577,327	6,001	36,577,327	-
		128,893,580	653,857,420	98,033,055	540,672,676
Deferred tax expense					
(Reversal)/Origination of temporary differences	25.1/25.2	(116,812,509)	25,247,492	(93,217,316)	18,706,786
Increase in tax rate	25.1/25.2	-	9,418,998	-	6,542,031
Income tax expense on continuing operation		12,081,071	688,523,910	4,815,739	565,921,493

The provision for income tax is based on the elements of income and expenditure as reported in the financial statements and computed in accordance with the provisions of the Inland Revenue Act, No. 45 of 2022 and its subsequent amendments. Accordingly, tax rate of 30% has been used for income tax and deferred tax during the year.

Income tax under provision arises when the actual tax liability for a previous period exceeds the amount of tax provision that was initially estimated. This can occur due to changes in the tax treatment of subsidy receivables from previous years, which are adjusted in the current financial year.

10.1 Reconciliation between current tax expense and the accounting profit

For the year ended 31st March,	Note	Group		Company	
		2024	2023	2024	2023
Profit before taxation - continuing operations		177,276,756	2,347,694,725	216,448,883	1,751,451,039
Loss before taxation - discontinuing operations	11.1	(5,509,401)	(295,458)	-	-
Consolidation adjustments		88,695,028	22,959,155	-	-
Adjusted profit before tax		260,462,383	2,370,358,422	216,448,883	1,751,451,039
Non business income - taxable		(310,175,821)	(201,932,046)	(260,572,992)	(173,962,136)
Non business income - non taxable		(100,753,137)	-	(93,155,016)	-
Aggregate disallowable expense		217,680,249	122,420,663	150,264,461	93,956,196
Aggregate allowable expense		(119,217,170)	(673,091,695)	(88,044,341)	(638,904,185)
Subsidy adjustment	10.2	-	2,492,454,039	-	2,492,454,039
Tax loss of group companies for the year		34,909,759	23,742,174	-	-
Statutory income / (loss) from business		(17,093,737)	4,133,951,557	(75,059,005)	3,524,994,953
Non-business income liable to tax		310,175,819	531,014,588	260,572,992	158,986,136
Tax loss claimed during the year		(9,208,762)	(1,519,823,058)	-	(1,322,795,920)
Taxable income		283,873,320	3,145,143,087	185,513,987	2,361,185,169
Income Tax @ 14%		-	148,219	-	148,219
Income Tax @ 18%		-	254,459,859	-	244,312,460
Income Tax @ 24%		-	68,476,439	-	18,500,715
Income Tax @ 30%		86,514,721	330,124,295	55,654,196	277,711,282
Tax on profit for the year		86,514,721	653,208,812	55,654,196	540,672,676
Current tax expense on continuing operations		86,514,721	653,208,812	55,654,196	540,672,676
		86,514,721	653,208,812	55,654,196	540,672,676

10.2 Tax loss reconciliation: Continuing operations

Tax loss brought forward		112,789,872	1,606,019,298	-	1,322,795,920
Adjustment to tax loss brought forward		84,223,173	2,851,458	-	-
Loss incurred during the year		33,751,406	23,742,174	-	-
Loss utilised during the year		(9,208,762)	(1,519,823,058)	-	(1,322,795,926)
Tax loss carried forward		221,555,689	112,789,872	-	-

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

10. INCOME TAX EXPENSE CONTD.

10.3 Effective tax rate

For the year ended 31st March,	Group		Company	
	2024	2023	2024	2023
Effective tax rate	37.69%	30.68%	27.71%	35.47%
Effective tax rate (excluding deferred tax)	37.75%	26.51%	23.73%	39.89%

11. DISCONTINUED OPERATIONS

In March 2017, The Directors resolved to discontinue the rice processing operations carried out by AgStar Grains (Private) Limited. The management is committed to the plan to sell and is engaged in active marketing to sell the disposal group at a reasonable price in relation to the fair value of assets and liabilities.

The results of aforesaid operations for the year are presented below:

11.1 Loss after tax from discontinued operations

For the year ended 31st March,	Note	Group		Company	
		2024	2023	2024	2023
Revenue		-	-	-	-
Cost of sales		-	-	-	-
Gross loss		-	-	-	-
Other income		-	-	-	-
Selling and distribution expenses		-	-	-	-
Administrative expenses		(5,719,401)	(470,458)	-	-
Reversal of impairment of receivables		210,000	175,000	-	-
Inventory write off		-	-	-	-
Impairment of property, plant and equipment's		-	-	-	-
Operating loss		(5,509,401)	(295,458)	-	-
Finance income		-	-	-	-
Finance costs		-	-	-	-
Net finance costs		-	-	-	-
Loss before tax from discontinued operations		(5,509,401)	(295,458)	-	-
Tax expense:					
Current tax	11	-	-	-	-
Deferred tax		-	-	-	-
Loss for the year from discontinued operations		(5,509,401)	(295,458)	-	-
Other comprehensive income		-	-	-	-
Total comprehensive income		(5,509,401)	(295,458)	-	-

11.2 Major Classes of Assets and Liabilities

		Group		Company	
For the year ended 31st March,	Note	2024	2023	2024	2023
Classified as Held for Sale					
Assets					
Property, plant and equipment	11.2.1	139,470,344	174,996,283	-	-
Inventories		-	4,826,195	-	-
Cash in hand and cash at bank		869,674	826,321	-	-
Assets classified as held for sale		140,340,018	180,648,799	-	-
Liabilities					
Trade and other payables		361,364	332,069	-	-
Liabilities directly associated with assets held for sale		361,364	332,069	-	-
Net assets directly associated with disposal group		139,978,654	180,316,730	-	-

11.2.1 Movement in property, plant and equipment held for sales

For the year ended 31st March,	Note	Group		Company	
		2024	2023	2024	2023
Net carrying amount as at 31st March 2023		174,996,283	174,996,283	-	-
Transfer to property, plant and equipment		(35,525,939)	-	-	-
Net carrying amount as at 31st March 2024		139,470,344	174,996,283	-	-

In accordance with SLFRS 5, Non-Current Assets Held for Sale and Discontinued Operations, and LKAS 16, Property, Plant and Equipment, the Company has reassessed its previous decision to classify certain non-current assets as held for sale of Mahaweli Agro Trading (Pvt) Ltd. As at 31st March 2024, the Company has reclassified these assets back to the Property, Plant, and Equipment (PPE) category accordance with the management decision.

11.3 Cash flows generated from/(used in) discontinued operations

For the year ended 31st March,	Note	Group		Company	
		2024	2023	2024	2023
Net cash flow (used in)/ from operating activities		43,353	(168,830)	-	-
Net cash (outflow) /inflow		43,353	(168,830)	-	-

11.4 Earnings per share

Loss per share for the year from discontinued operations		(0.0113)	(0.0006)	-	-
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NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

11. DISCONTINUED OPERATIONS CONTD.

11.5 Measurement of fair values

The Group uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities, that are measured at fair value.

Fair value measurement hierarchy

31st March 2024	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Plant and machineries	-	-	139,470,344	139,470,344
	-	-	139,470,344	139,470,344

31st March 2023	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Plant and machineries	-	-	173,379,667	173,379,667
	-	-	173,379,667	173,379,667

Assets and liabilities measured at fair value - Recurring

Property	Property	Significant unobservable inputs	
		Estimated value	Correlation to fair value
Plant and machineries	- Market comparable method	Rs. 139,470,344	Positive

Market comparison technique : The valuation model considers market prices for similar items when they are available.

Property, plant and equipment includes other assets amounting to Rs.1,134,450 which is immaterial has not been valued.

12. EARNINGS PER SHARE

12.1 Basic earnings per share

Basic earnings per share is calculated, based on the net profit attributable to ordinary shareholders and weighted average number of ordinary shares outstanding. Basic earnings for an ordinary share is as follows.

	Group		Company	
For the Year ended 31st March,	2024	2023	2024	2023
Basic earnings per share is calculated as follows:				
Profit attributable to ordinary shareholders (Rs.)	159,686,284	1,668,886,398	211,633,144	1,185,529,546
Weighted average number of ordinary shares				
Issued ordinary shares at the beginning of the year (Nos)	487,500,000	487,500,000	487,500,000	487,500,000
Weighted average number of ordinary shares in issue (Nos)	487,500,000	487,500,000	487,500,000	487,500,000
Earnings per share (Rs.)	0.33	3.42	0.43	2.43

There were no potentially dilutive ordinary shares at any time during the year, hence diluted earnings per share is equal to the basic earnings per share.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

13 PROPERTY, PLANT AND EQUIPMENT- COMPANY

Cost / valuation	Land	Building on lease hold land	Building	Plant and machinery	Motor vehicles
Balance as at 31st March 2022	1,376,824,000	42,000,000	822,950,000	105,168,806	134,000,000
Additions during the year	-	-	10,554,080	3,657,082	-
Reclassification from investment property	-	-	15,066,000	-	-
Disposals / write off	-	-	-	-	-
Balance as at 31st March 2023	1,376,824,000	42,000,000	848,570,080	108,825,888	134,000,000
Additions during the year	-	-	51,370,584	4,813,656	-
Transfer from capital work-in-progress	-	38,487,543	402,719,084	32,490,030	-
Surplus on revaluation	8,160,000	-	14,828,182	-	-
Reclassification to investment property	(204,000,000)	-	(51,988,182)	-	-
Disposals / write off	-	-	-	-	(4,600,000)
Balance as at 31st March 2024	1,180,984,000	80,487,543	1,265,499,748	146,129,574	129,400,000

Accumulated Depreciation

Balance as at 31st March 2022	-	-	-	86,439,225	-
Charge for the year	-	-	43,665,493	5,819,670	26,800,000
Disposals / write off	-	-	-	-	-
Balance as at 31st March 2022	-	-	43,665,493	92,258,895	26,800,000
Charge for the year	-	-	62,566,166	5,913,023	26,186,667
Reclassification to investment property	-	-	(3,788,182)	-	-
Disposals / write off	-	-	-	-	(1,226,667)
Balance as at 31st March 2024	-	-	102,443,477	98,171,918	51,760,000

Net carrying amount as at 31st March 2023	1,376,824,000	42,000,000	804,904,587	16,566,993	107,200,000
Net carrying amount as at 31st March 2024	1,180,984,000	80,487,543	1,163,056,271	47,957,656	77,640,000

Furniture and fitting	Factory equipment	Pallets	Office and computer equipments	Solar power	Lab Equipments	Capital work-in-progress	Total
41,535,321	4,941,314	3,840,362	41,819,978	126,451,476	-	403,916,860	3,103,448,117
1,425,816	382,154	-	1,942,072	-	-	70,962,429	88,923,633
-	-	-	-	-	-	-	15,066,000
-	-	-	(455,600)	-	-	-	(455,600)
42,961,137	5,323,468	3,840,362	43,306,450	126,451,476	-	474,879,289	3,206,982,150
16,045,200	34,100	3,298,390	13,726,373	-	10,642,101	11,782,691	111,713,096
-	-	-	-	-	-	(473,696,656)	-
-	-	-	-	-	-	-	22,988,182
-	-	-	-	-	-	-	(255,988,182)
-	-	-	(1,196,435)	-	-	-	(5,796,435)
59,006,337	5,357,568	7,138,752	55,836,388	126,451,476	10,642,101	12,965,324	3,079,898,811
16,520,158	4,681,134	3,637,820	36,589,256	6,487,322	-	-	154,354,915
6,075,677	174,327	147,069	2,209,373	5,058,059	-	-	89,949,668
-	-	-	(455,600)	-	-	-	(455,600)
22,595,835	4,855,461	3,784,889	38,343,029	11,545,381	-	-	243,848,983
5,556,318	201,023	656,334	4,207,587	5,058,060	266,053	-	110,611,231
-	-	-	-	-	-	-	(3,788,182)
-	-	-	(1,177,722)	-	-	-	(2,404,389)
28,152,153	5,056,484	4,441,223	41,372,894	16,603,441	266,053	-	348,267,643
20,365,302	468,007	55,473	4,963,421	114,906,095	-	474,879,289	2,963,133,167
30,854,184	301,084	2,697,529	14,463,494	109,848,035	10,376,048	12,965,324	2,731,631,168

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

13 PROPERTY, PLANT AND EQUIPMENT - GROUP

Cost / valuation	Land	Building on lease hold land	Building	Improvements on lease hold Building	Plant and machinery
Balance as at 31st March 2022	1,472,824,000	136,240,000	938,540,000	3,432,925	158,093,766
Additions during the year	-	-	10,554,080	-	3,657,082
From formation of subsidiary	-	-	-	-	-
Disposals / write off	-	-	-	-	-
Balance as at 31st March 2023	1,472,824,000	136,240,000	949,094,080	3,432,925	161,750,848
Additions during the year	-	-	51,370,584	-	4,813,656
Transfer from capital work-in-progress	-	38,487,543	402,719,084	-	32,490,030
Surplus on revaluation	8,160,000	-	14,828,182	-	-
Reclassification to investment property	(204,000,000)	-	(51,988,182)	-	-
Disposals / write off	-	-	-	(2,578,190)	(24,082,217)
Transfer from Non Current Assets-Held for Sales	-	-	-	-	70,218,303
Balance as at 31st March 2024	1,276,984,000	174,727,543	1,366,023,748	854,735	245,190,620
Accumulated depreciation					
Balance as at 31st March 2022	-	-	-	1,020,220	113,475,710
Charge for the year	-	6,812,000	46,591,693	348,022	8,927,461
Disposals / write off	-	-	-	-	-
Balance as at 31st March 2023	-	6,812,000	46,591,693	1,368,242	122,403,171
Charge for the year	-	4,712,000	67,592,368	45,101	41,470,624
Disposals / write off	-	-	-	(558,608)	(5,055,183)
Reclassification from/(to) investment property	-	-	(3,788,182)	-	-
Transfer from Non Current Assets-Held for Sales	-	-	-	-	35,174,530
Balance as at 31st March 2024	-	11,524,000	110,395,879	854,735	193,993,142
Net carrying amount as at 31st March 2023	1,472,824,000	129,428,000	902,502,387	2,064,683	39,347,677
Net carrying amount as at 31st March 2024	1,276,984,000	163,203,543	1,255,627,869	-	51,197,478

Motor vehicles	Furniture and fitting	Factory equipment	Pallets	Office and computer equipments	Solar power	Lab Equipments	Capital work-in-progress	Total
134,000,000	44,025,351	12,224,614	6,210,522	46,455,780	132,925,364	-	404,321,560	3,489,293,882
-	1,425,816	382,154	-	4,809,801	-	-	70,962,429	91,791,362
-	-	651,838	-	30,250	-	-	-	682,088
-	-	-	-	(455,600)	-	-	-	(455,600)
134,000,000	45,451,167	13,258,606	6,210,522	50,840,231	132,925,364	-	475,283,989	3,581,311,732
-	17,593,700	34,100	3,298,390	13,909,436	-	10,642,101	11,782,691	113,444,658
-	-	-	-	-	-	-	(473,696,657)	-
-	-	-	-	-	-	-	-	22,988,182
								(255,988,182)
(4,600,000)	(466,641)	(7,378,874)	(2,170,760)	(2,530,485)	-	-	(404,700)	(44,211,867)
425,000	384,105	-	-	307,581				71,334,989
129,825,000	62,962,331	5,913,832	7,338,152	62,526,763	132,925,364	10,642,101	12,965,323	3,488,879,512
-	18,091,046	5,982,744	4,657,489	39,767,521	6,811,016	-	-	189,805,744
26,800,000	6,328,861	1,110,770	876,082	2,934,747	5,317,015	-	-	106,046,651
-	-	-	-	(455,600)	-	-	-	(455,600)
26,800,000	24,419,907	7,093,514	5,533,571	42,246,668	12,128,031	-	-	295,396,795
26,370,174	5,996,960	244,491	661,834	5,059,054	5,317,015	266,053	-	157,735,674
(1,226,667)	(139,210)	(1,808,923)	(1,567,614)	(2,114,658)	-	-	-	(12,470,861)
-	-	-	-	-	-	-	-	(3,788,182)
241,493	150,372	-	-	242,653	-	-	-	35,809,048
52,185,000	30,428,029	5,529,082	4,627,791	45,433,717	17,445,046	266,053	-	472,682,474
107,200,000	21,031,260	6,165,092	676,951	8,593,563	120,797,333	-	475,283,989	3,285,914,937
77,640,000	32,534,302	384,750	2,710,361	17,093,046	115,480,318	10,376,048	12,965,323	3,016,197,038

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

13 PROPERTY, PLANT AND EQUIPMENT CONTD.

13.1 Information on the land and buildings of the Group

Location	Revalued Date	Land extent (Perches)	Building (Square feet)	No. of Buildings	Cost or revaluation of land (Rs)	Cost or revaluation of buildings (Rs)	Total value (Rs)	Accumulated depreciation (Rs)	Net book value of the buildings (Rs)	Total net book value (Rs)
Land and building held under company and group										
Dambulla	31st March 2022	63.75	10,165	4 buildings	25,500,000	33,748,460	59,248,460	(3,270,808)	30,477,652	55,977,652
Ihalakatupe Watta, Pannampitiya Village, Lenadora										
Ekala	31st March 2022	1,419.55	101,449	11 buildings	1,135,640,000	1,038,195,288	2,173,835,288	(74,790,871)	963,404,417	2,099,044,417
No.93, Minuwangoda Road, Ekala										
Anuradhapura	31st March 2022	579.22	59,864	10 buildings	115,844,000	294,080,000	409,924,000	(29,408,000)	264,672,000	380,516,000
Puliyankulama										
Building on lease hold land										
Polonnaruwa	31st March 2022	-	7,970	1 building	-	80,487,543	80,487,543	(5,599,632)	74,887,911	74,887,911
Ambalamkele										
Sandunpura, Dehiattakandiya	31st March 2022	-	41,600	9 buildings	-	94,240,000	94,240,000	(8,850,569)	85,389,431	85,389,431
					1,276,984,000	1,540,751,291	2,817,735,291	(121,919,880)	1,418,831,411	2,695,815,411

The lands and buildings at Anuradhapura, Dambulla and Ekala belong to AgStar PLC and valued by an Independent valuer Mr. W. M Chandrasena, a member of the Institute of Valuers of Sri Lanka in determining the fair value of the land and buildings as at 31st March 2022. The Valuer considered the market evidences and trends in determining the fair value of the property. The building constructed on the land has been measured initially at its cost. After initial recognition, the Company adopts fair value model for Motor Vehecle, Land and Building as per the Sri Lanka Accounting Standard LKAS 16.

The Group have not pledged any property, plant and equipment as security for liabilities or have temporary idle assets as at 31st March 2024

13 PROPERTY, PLANT AND EQUIPMENT CONTD.

13.2 Motor vehicles

The Group has revalued its motor vehicles as at 31st March 2022 by a professional independent valuer.

Type of the vehicle	No of vehicles	Revalued Date	Cost / Revalued amount (Rs.)	Accumulated depreciation (Rs)	Net book value of the motor vehicles (Rs)
Motor vehicle held under company and group					
Motor cars	7	31st March 2022	115,000,000	46,000,000	69,000,000
Cab	1	31st March 2022	2,400,000	960,000	1,440,000
Van	1	31st March 2022	12,000,000	4,800,000	7,200,000
Tractor	1	-	425,000	425,000	-

13.3 The carrying amount of revalued land, buildings and motor vehicles if they were carried at cost less depreciation, would be as follows;

	Group		Company	
For the year ended 31st March,	2024	2023	2024	2023
Cost				
Land	949,714,240	949,714,240	949,714,240	949,714,240
Buildings	1,230,067,994	737,490,784	1,161,155,316	668,578,106
Motor vehicles	80,648,137	85,523,137	80,648,137	85,523,137
	2,260,430,371	1,772,728,161	2,191,517,693	1,703,815,483
Accumulated depreciation				
Buildings	(203,713,086)	(148,896,242)	(167,016,971)	(115,645,761)
Motor vehicles	(76,963,137)	(79,272,927)	(76,963,137)	(79,272,927)
	(280,676,223)	(228,169,169)	(243,980,108)	(194,918,688)
Carrying value	1,979,754,148	1,544,558,992	1,947,537,585	1,508,896,795

13.4 Fully depreciated but still in use

The cost of fully depreciated property, plant and equipment of the Group and the Company which are still in use amounted to,

	Group		Company	
For the year ended 31st March,	2024	2023	2024	2023
Fully depreciated property, plant and equipment	156,353,525	136,118,795	139,691,160	121,599,072

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

13 PROPERTY, PLANT AND EQUIPMENT CONTD.

13.5 Fair value measurement

The Group and the Company uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities, that are measured at fair value.

Fair value measurement hierarchy

31st March 2024	Level 1	Level 2	Level 3	Total
Fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	2,695,815,411	2,695,815,411
Motor vehicles			77,640,000	77,640,000
	-	-	2,773,455,411	2,773,455,411
31st March 2023	Level 1	Level 2	Level 3	Total
Fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	2,504,754,387	2,504,754,387
Motor vehicles			107,200,000	107,200,000
	-	-	2,611,954,387	2,611,954,387

Assets and liabilities measured at fair value - Recurring

Property	Method of valuation	Significant unobservable inputs		
		Estimated price per perch	Estimated price per square foot	Correlation to fair value
Freehold land and building				
Dambulla	- Market comparable method	Rs. 400,000	Rs. 3,750 - Rs. 5,000	Positive
Ekala	- Market comparable method	Rs. 800,000	Rs. 2,500 - Rs. 20,000	Positive
Anuradhapura	- Market comparable method	Rs. 200,000	Rs. 3,270 - Rs. 8,000	Positive
Building on lease hold land				
Polonnaruwa	- Market comparable method	-	Rs. 3,900 - Rs. 8,000	Positive
Dehiyattakandiya	- Market comparable method	-	Rs. 3,500 - Rs. 6,000	Positive
Property	Method of valuation	Significant unobservable inputs		
		Estimated price per square foot		Correlation to fair value
Motor vehicles				
Motor cars	- Market comparable method	Rs. 9,000,000 to Rs.20,000,000		Positive
Cab	- Market comparable method	Rs. 2,400,000		Positive
Van	- Market comparable method	Rs. 12,000,000		Positive

Market comparison technique : The valuation model considers market prices for similar items when they are available.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

14 INVESTMENT PROPERTY

	Group		Company	
For the year ended 31st March,	2024	2023	2024	2023
Balance at the beginning of the year	-	-	211,500,000	211,590,000
Reclassification from/(to) property plant and equipment	252,200,000	-	252,200,000	(15,066,000)
Change in fair value during the year	-	-	11,740,000	14,976,000
Balance at the end of the year	252,200,000	-	475,440,000	211,500,000

	Land	Buildings	Total
Balance at the beginning of the year	103,000,000	108,500,000	211,500,000
Reclassification from/(to) property plant and equipment	204,000,000	48,200,000	252,200,000
Change in fair value during the year	7,000,000	4,740,000	11,740,000
Balance at the end of the year	314,000,000	161,440,000	475,440,000

The Company has rented out part of the land and building at Anuaradhapura and Ekala respectively to other companies in the Group for operation purposes and reclassified to property, plant and equipment in the Group. Additionally, the Borrella property has been transferred to investment property this year. The income generated from these investment properties are disclosed under Note no 7 as 'Rent income' and there are no any direct operating expenses identified related to generating rental income.

14.1 Measurement of fair value

a) Fair value hierarchy

The Group and the Company uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities, that are measured at fair value.

Fair value measurement hierarchy - Company

31st March 2024	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	475,440,000	475,440,000
	-	-	475,440,000	475,440,000

Fair value measurement hierarchy - Group

31st March 2024	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	252,200,000	252,200,000
	-	-	252,200,000	252,200,000

b) Valuation technique and significant unobservable inputs

Property	Method of valuation	Significant unobservable inputs		
		Estimated price per perch	Estimated price per square foot	Correlation to fair value
Borella	- Market comparable method	Rs. 12,500,000	Rs. 11,000	Positive
Ekala	- Market comparable method	Rs. 800,000	Rs. 3,000 - Rs. 8,250	Positive
Anuradhapura	- Market comparable method	Rs. 200,000	Rs. 7,900 - Rs. 8,500	Positive

Market comparison technique : The valuation model considers market prices for similar items when they are available.

15 LEASE ARRANGEMENTS

	Group		Company	
As at 31st March,	2024	2023	2024	2023
15.1 Right of use asset				
Land and buildings - cost/revaluation				
Balance at the beginning of the year	89,219,245	89,219,245	87,178,476	87,178,476
Additions during the year	-	-	-	-
Derecognition during the year *	(41,220,165)	-	-	-
Balance as at end of the year	47,999,080	89,219,245	87,178,476	87,178,476
Accumulated amortisation				
Balance at the beginning of the year	22,876,884	13,303,247	64,951,586	64,178,476
Amortisation recognised in the statement of profit or loss	3,025,602	9,573,637	773,109	773,110
Derecognition during the year *	(17,862,073)	-	-	-
Balance as at end of the year	8,040,413	22,876,884	65,724,695	64,951,586
Carrying amount	39,958,667	66,342,361	21,453,781	22,226,890

* Derecognition of the right-of-use assets is as a result of disposal of Euro Asia (Pvt) Ltd.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

15 LEASE ARRANGEMENTS CONTD.

Details of revalued right of use lands - Group

Entity name	Location	Land extent	Revalued date	Revalued date
AgStar PLC	Polonnaruwa	320 perch	23,000,000	31st March 2022
Mahaweli Agro Trading (Pvt) Ltd	Dehiattakandiya	174 perch	20,200,000	31st March 2022

15.2 Lease liabilities

	Group		Company	
For the year ended 31st March,	2024	2023	2024	2023
Balance at the beginning of the year	24,665,245	33,413,335	2,078,835	2,040,732
Additions during the year	-	-	-	-
Derecognition during the year *	(17,256,345)	-	-	-
	7,408,900	33,413,335	2,078,835	2,040,732
Interest amortised recognised in the Statement of Profit or Loss	668,664	2,609,109	291,815	288,103
Payment recognised in the Statement of Cash Flows	(1,194,700)	(11,357,199)	(287,500)	(250,000)
Balance as at end of the year	6,882,864	24,665,245	2,083,150	2,078,835

* Derecognition of the right-of-use assets is as a result of disposal of Euro Asia (Pvt) Ltd.

	Group		Company	
For the year ended 31st March,	2024	2023	2024	2023
Maturity analysis of lease liabilities - contractual undiscounted cashflows				
Less than one year	582,825	10,769,700	275,625	262,500
One to five years	3,201,229	12,787,448	1,419,469	1,405,688
More than five year	16,599,626	17,196,233	7,850,081	8,139,488
	20,383,680	40,753,381	9,545,175	9,807,676
Lease liabilities included in the statement of financial position				
Current	69,199	8,952,014	20,141	29,315
Non-current	6,813,665	15,713,231	2,063,009	2,049,520
	6,882,864	24,665,245	2,083,150	2,078,835

15.3 Following are the amounts recognised in income statements for the year ended 31st March

For the year ended 31st March,	Group		Company	
	2024	2023	2024	2023
Amortisation of right-of use assets				
Interest expense on lease liabilities	3,025,601	9,573,637	773,110	773,110
Total amount recognised in income statement	668,664	2,609,109	291,815	288,103
	3,694,265	12,182,746	1,064,925	1,061,213

16 INTANGIBLE ASSETS

For the year ended 31st March,	Note	Group		Company	
		2024	2023	2024	2023
Gross Value					
Balance at the beginning of the year		115,010,790	115,010,790	6,099,194	6,099,194
Disposal		(485,604)	-	-	-
Balance at the end of the year		114,525,186	115,010,790	6,099,194	6,099,194
Amortisation					
Balance at the beginning of the year		5,796,325	4,266,996	3,699,212	2,218,443
Amortisation during the year		1,480,767	1,529,329	1,480,767	1,480,769
Disposal		(97,113)	-	-	-
Balance at the end of the year		7,179,979	5,796,325	5,179,979	3,699,212
Carrying Value		107,345,207	109,214,465	919,215	2,399,982

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

16 INTANGIBLE ASSETS CONTD.

Summary of intangible assets - Group	Software and Website	Exclusive Dealership - Tohoku Seed	Goodwill	Total
Gross Value				
Balance at the beginning of the year	8,584,798	50,000,000	56,425,992	115,010,790
Disposal during the year	(485,604)	-	-	(485,604)
Balance at the end of the year	8,099,194	50,000,000	56,425,992	114,525,186
Amortisation				
Balance at the beginning of the year	5,796,325	-	-	5,796,325
Amortisation during the year	1,480,769	-	-	1,480,769
Disposal during the year	(97,115)	-	-	(97,115)
Balance at the end of the year	7,179,979	-	-	7,179,979
Carrying Value	919,215	50,000,000	56,425,992	107,345,207

(a) Software and website

Software includes SAGE 300 accounting package, order taking system and the websites developed by AgStar PLC.

(b) Exclusive Dealership - Tohoku Seed

The AgStar Seeds (Pvt) Ltd, acquired the exclusive dealership of Tohoku Seed in Sri Lanka and thereby the rights to import, distribute and sell the varieties of hybrid vegetable seeds, supplied by Tohoku, to Sri Lanka and rights to do all other activities ancillary and/or consequential thereto, including trials, demonstrations, communications, promotions, marketing, collections, use of Intellectual Property and other material. The management is of the opinion that the aforementioned dealership has an indefinite useful life as their associated brand awareness and recognition and the company intends to utilise the Tohoku dealership for the foreseeable future. There are no legal, regulatory, contractual, competitive, economic or other factors that may limit its useful life and accordingly, the carrying amount of this exclusive dealership is determined after testing for impairment annually.

Recoverable Values Estimated With Reference To The Value In Use

The recoverable value of AgStar Seeds (Private) Limited were assessed based on value in use. Value in use was determined by discounting future cash flows from the investment. Key assumptions used are given below:

Investee	Significant unobservable inputs	Value of the input
Agstar Seeds (Private) Limited	Average Growth Rate	9% for first 5 years and 7% terminal growth rate
	Margin	Current Margin
	Discount Rate	13%
	Term	5 years (terminal value thereafter)

The key assumptions used in the estimation of the value in use were as follows.

	2024	2023
Annual sales growth for next five years	9%	19%
Gross margin	45% - 55%	45% - 75%
Discount rate	13%	18%
Terminal growth rate	7%	6%

The estimated recoverable amount of the CGU exceeded its carrying amount by approximately Rs.80Mn. (2023: Rs.67Mn). Management has identified that a reasonably possible changes in below key assumptions could cause the carrying amount to exceed the recoverable amount.

In percent	Change required for carrying amount to equal recoverable amount	
	2024	2023
Discount rate	13	18
Budgeted EBITDA growth rate	(7)	(16)

(c) Goodwill on acquisition (Unimpaired)

Goodwill has arisen from the acquisition of Prith Seeds (Private) Limited.

The recoverable amount of CGU is determined based on value-in-use calculations. This calculation use discounted cash flow projections based on financial budgets approved by management covering five year periods. A long-term growth rate into perpetuity is applied immediately at the end of the five year forecast period and is based on the lower of the nominal GDP growth rate forecasts for the country of operations and the long-term compound annual EBITDA growth rate estimated by management.

Recoverable values estimated with reference to the value in use

The recoverable value of Prith Seeds (Private) Limited were assessed based on value in use. Value in use was determined by discounting future cash flows from the investment. Key assumptions used are given below:

Investee	Significant unobservable inputs	Value of the input
Prith Seeds (Private) Limited	Average Growth Rate	7% for first 5 years and 7% terminal growth rate
	Margin	Current Margin
	Discount Rate	13%
	Term	5 years (terminal value thereafter)

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

16 INTANGIBLE ASSETS CONTD.

The key assumptions used in the estimation of the value in use were as follows.

	2024	2023
Annual sales growth for next five years	10%	10%
Gross margin	35% - 45%	50% - 60%
Discount rate	13%	18%
Terminal growth rate	7%	10%

The estimated recoverable amount of the CGU exceeded its carrying amount by approximately Rs.130 Mn. (2023:352 Rs. Mn). Management has identified that a reasonably possible changes in below key assumptions could cause the carrying amount to exceed the recoverable amount. The following table shows the amount by which these two assumptions would need to change individually for the estimated recoverable amount to be equal to the carrying amount.

In percent	Change required for carrying amount to equal recoverable amount	
	2024	2023
Discount rate	13	18
Budgeted EBITDA growth rate	(7)	(10)

17 INVESTMENTS IN SUBSIDIARIES

As at 31st March,	Company/ Group holding		No of shares		Cost as at 31st March	
	2024	2023	2024	2023	2024	2023
AgStar Cropcare (Pvt) Ltd.	100%	100%	5,000,000	5,000,000	37,999,990	37,999,990
AgStar Seeds (Pvt) Ltd.	100%	100%	5,000,000	5,000,000	500,000	500,000
AgStar Grains (Pvt) Ltd.	100%	100%	34,000,000	34,000,000	340,000,000	340,000,000
Mahaweli Agro Trading (Pvt) Ltd.	100%	100%	19,550,000	19,550,000	172,700,000	172,700,000
AgStar Exports (Pvt) Ltd.	100%	100%	4,500,000	4,500,000	45,000,000	45,000,000
Prith Seeds (Pvt) Ltd.	100%	100%	10,000	10,000	80,229,098	80,229,098
Euro Asia Tea (Pvt) Ltd (Note 17.2)	0.00%	53.78%	-	51,000,000	-	51,000,000
			68,060,000	119,060,000	676,429,088	727,429,088
Provision for fall in value of investments (Note 17.1)					(445,695,097)	(542,650,000)
Investments - Shares					230,733,991	184,779,088

17.1 The Company has made provisions against the investments in Mahaweli Agro Trading (Pvt) Limited, AgStar Grains (Pvt) Limited and AgStar Exports (Pvt) Limited of Rs.86.35 million (2023 - Rs.172.7 million), Rs.340 million (2023 - Rs.340 million) and Rs. 19.35 million (2023 - Rs.29.95 million) respectively based on their net asset values as at 31st March 2024.

17.2 Disposal of Euro Asia Teas (Pvt) Ltd

On 01st May 2023, Agstar PLC has disposed the entire of its shareholding amounting to 53.78% of Euro Asia Teas (Pvt) Ltd to LOLC Holdings PLC.

	Controlling Interest Sold	Cash and Cash Equivalent Received	Disposal Related Costs	Total Consideration of Disposal
Agstar PLC	53.78%	15,000,000	-	15,000,000

Disposal Loss Computation

	Rs.
Net assets as at 30th April 2023	38,911,215
De recognition of non controlling interest	17,983,759
Net assets attributable to parent	20,927,456
Total consideration received	15,000,000
Disposal Loss	(5,927,456)

The loss has been recorded under administration expenses.

The provisional fair values of the identifiable assets and liabilities of the disposed as at the date of disposal were;

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

17 INVESTMENTS IN SUBSIDIARIES CONTD.

Assets	Rs.
Property, plant and equipment	27,138,118
Intangible assets	380,396
Inventories	10,798,597
Trade and other receivables	3,861,568
Cash and cash equivalents	3,531,723
	45,710,402
Liabilities	
Trade and other payables	3,439,083
Deferred tax liabilities	3,360,104
	6,799,187
Net assets disposed	38,911,215
Fair value of identifiable net assets disposed	38,911,215
Net cash received from disposal	
Purchase consideration received	15,000,000
(-) Disposal related costs	-
Positive cash balances	(3,531,723)
Net cash received from disposal	11,468,277

17.3 Non-controlling interest

(a) Movements in non-controlling interest (NCI) during the period ended 31st March

	Group	
	2024	2023
Balance at the beginning of the year	20,634,043	30,645,084
NCI on net asset at the time of formation	-	-
Share of net loss of subsidiaries	(2,650,284)	(10,011,041)
Share of other comprehensive income of subsidiaries	-	-
Dividend paid	-	-
Disposal of the year	(17,983,759)	
Balance at the end of the year	-	20,634,043

17 INVESTMENTS IN SUBSIDIARIES CONTD.

17.3 Non-controlling interest

(b) NCI Percentage for the period ended 31st March

Company name	Ownership interest held by NCI	
	2024	2023
Euro Asia Tea (Pvt) Ltd	0%	46.22%

18 INVENTORIES

As at 31st March,	Note	Group		Company	
		2024	2023	2024	2023
Raw materials and consumables		3,269,832,927	1,788,400,494	2,909,110,089	1,589,585,489
Finished goods		319,353,725	833,167,625	94,884,737	82,477,640
Spare parts		11,720,522	13,674,388	11,720,522	13,674,388
		3,600,907,174	2,635,242,507	3,015,715,348	1,685,737,517
Provision for impairment of inventories	18.1	(5,783,200)	(3,047,062)	(1,139,669)	-
		3,595,123,974	2,632,195,445	3,014,575,679	1,685,737,517

18.1 Provision for impairment of inventories

Balance at the beginning of the year		3,047,062	1,333,236	-	-
Provision during the year		2,736,138	1,713,826	1,139,669	-
Balance at end of the year		5,783,200	3,047,062	1,139,669	-

19 TRADE AND OTHER RECEIVABLES

Trade receivables		959,478,024	633,029,017	780,200,121	370,248,338
Tax recoverable	19.1	13,768,099	59,209,932	4,755,761	30,885,051
Other receivables		2,932,924	22,027,394	2,932,924	11,708,652
Deposits and prepayments		39,751,625	17,190,127	35,600,056	8,053,056
Prepayments to suppliers		74,305,447	105,463,510	36,186,295	33,499,557
Advances		3,488,621	2,925,280	3,488,621	2,925,280
Interest receivable		8,606,957	14,709,512	8,606,957	10,911,627
		1,102,331,697	854,554,772	871,770,735	468,231,561
Provision for impairment of trade receivables	19.2	(51,641,469)	(48,281,303)	(30,945,815)	(18,406,239)
Provision for impairment of other receivables	19.3	-	(9,681,282)	-	-
Total of trade and other receivables		1,050,690,228	796,592,187	840,824,920	449,825,322

The increase in trade debtors is due to the conversion of cash sales into credit sales.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

19 TRADE AND OTHER RECEIVABLES CONTD.

19.1 Tax recoverable

For the year ended 31st March,	Note	Group		Company	
		2024	2023	2024	2023
Withholding tax recoverable		5,487,637	1,124,995	4,755,761	565,288
Economic service charge recoverable		-	15,995,847	-	15,995,847
Value added tax recoverable		8,280,462	46,064,090	-	14,323,916
Provision for value added tax recoverable		-	(3,975,000)	-	-
Total tax receivables		13,768,099	59,209,932	4,755,761	30,885,051

19.2 Provision for impairment of trade receivables

Balance at the beginning of the year		48,281,303	60,487,838	18,406,239	25,131,156
Provision/ (reversal) during the year		3,360,166	(12,206,535)	12,539,576	(6,724,917)
Balance at end of the year		51,641,469	48,281,303	30,945,815	18,406,239

19.3 Provision for impairment of other receivables

Balance at the beginning of the year		9,681,282	9,681,282	-	-
Write - offs		(9,681,282)	-	-	-
Balance at end of the year		-	9,681,282	-	-

Written-off other receivables from accounts due to those were uncollectible.

20 SUBSIDY RECEIVABLE

For the year ended 31st March,	Note	Group		Company	
		2024	2023	2024	2023
Balance at the beginning of the year		389,513,395	3,038,363,195	351,939,808	2,844,393,846
Receipt during the year		-	(2,647,293,612)	-	(2,490,897,849)
Written off during the year		-	(1,556,188)	-	(1,556,188)
Balance at end of the year		389,513,395	389,513,395	351,939,808	351,939,808

21 RELATED PARTY RECEIVABLES AND PAYABLES

	Note	Group		Company	
		2024	2023	2024	2023
21.1 Amounts due from related companies					
AgStar Cropcare (Pvt) Ltd.		-	-	9,810,492	241,465,384
AgStar Seeds (Pvt) Ltd.		-	-	60,482,068	156,992,210
AgStar Grains (Pvt) Ltd.		-	-	238,722,218	238,024,953
Mahaweli Agro Trading (Pvt) Ltd.		-	-	-	298,100,507
AgStar Exports (Pvt) Ltd.		-	-	688,467	35,836,259
Prith Seeds (Pvt) Ltd		-	-	-	11,286,998
		-	-	309,703,245	981,706,311
Provision for receivable from AgStar Grains (Pvt) Ltd.		-	-	(88,273,000)	(88,273,000)
		-	-	221,430,245	893,433,311
21.2 Amounts due to related companies					
Euro Asia Tea (Pvt) Ltd.		-	-	-	289,962
Prith Seeds (Pvt) Ltd.		-	-	209,219	-
Mahaweli Agro Trading (Pvt) Ltd		-	-	172,608,671	-
Balance at end of the year		-	-	172,817,890	289,962

22 CASH AND CASH EQUIVALENTS

	Note	Group		Company	
		2024	2023	2024	2023
As at 31st March,					
Short term deposits	22.1	455,849,159	93,992,050	455,849,159	61,098,902
Cash in hand		1,461,722	1,902,162	829,262	1,091,762
Cash at Bank		191,853,225	537,774,908	125,607,301	475,595,826
Cash and cash equivalents in the statements of financial position		649,164,106	633,669,120	582,285,722	537,786,490
Bank overdraft for cash management purposes		(11,936,886)	(14,306,354)	(11,797,629)	-
Cash and cash equivalents classified as held for sale -net	11.2	869,674	826,321	-	-
Cash and cash equivalents for the purpose of cash flow statements		638,096,894	620,189,087	570,488,093	537,786,490

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

22 CASH AND CASH EQUIVALENTS CONTD.

22.1 Short term deposits

	Group		Company	
	2024	2023	2024	2023
Fixed deposits - Hatton National Bank	35,500,981	33,139,772	35,500,981	33,139,772
Fixed deposits - People's Bank	21,678,009	17,384,129	21,678,009	17,384,129
Foreign currency fixed deposits - Sampath Bank	-	43,468,149	-	10,575,001
Commercial papers	398,670,169	-	398,670,169	-
	455,849,159	93,992,050	455,849,159	61,098,902

Security details on bank overdraft facilities

Bank	Currency	Facility Value	Facility Period	Nature of assets pledge
Commercial Bank of Ceylon PLC	LKR	25m	1 Year	General terms & conditions
Hatton National Bank PLC	LKR	25m	1 Year	General terms & conditions
DFCC Bank PLC	LKR	25m	1 Year	General terms & conditions

23 STATED CAPITAL

	Group / Company	
As at 31st March,	2024	2023
Stated Capital	2,007,856,833	2,007,856,833
Issue and fully paid		
No of ordinary shares	487,500,000	487,500,000

24 EMPLOYEE BENEFITS

24.1 Movement in net defined benefit obligation

	Group		Company	
As at 31st March,	2024	2023	2024	2023
Balance at the beginning of the year	47,009,072	42,559,785	46,898,408	42,480,727
Include in profit or loss				
Current service cost	6,583,296	1,910,381	6,565,777	1,896,549
Interest cost	4,371,110	6,014,308	4,356,724	6,003,239
	10,954,406	7,924,689	10,922,501	7,899,788
Include in other comprehensive income				
Actuarial loss	5,852,901	1,640,075	5,837,802	1,633,369
	63,816,379	52,124,549	63,658,711	52,013,884
Other				
Benefits paid	(14,290,667)	(5,115,476)	(14,290,667)	(5,115,476)
Balance at end of the year	49,525,712	47,009,073	49,368,044	46,898,408

The provision for retirement benefit obligations for the year is based on the actuarial valuation carried out by professionally qualified actuaries, Messrs. Actuarial & Management Consultant (Pvt) Ltd, as at 31st March 2024. The actuarial present value of the promised retirement benefit as at 31st March 2024 amounted to Rs.49,368,044/- (2023- Rs.46,898,408/-) for the Company and Rs.49,525,712/- (2023- Rs.47,009,073) for the Group. The liability is not externally funded.

24.2 Defined benefit obligation - The following were the principal actuarial assumptions at the reporting date.

	2024	2023
Actuarial assumptions		
Discount rate	13%	14%
Future salary growth	11.0%	11.5%
Retirement age	60 years	60 years
Mortality	A 1967/70 mortality table issued by the Institute of Actuaries, London.	

It is also assumed that the Company will continue in business as a going concern

The weighted average duration of the Retirement Benefit Obligation at the end of the reporting period is 3.8 years. (2023 - 5.2 years)

As per the guidelines issued by the Institute of Chartered Accountants of Sri Lanka, the discount rates have been adjusted to risk free rate to match the characteristics of the gratuity payment liability and the resulting yield to maturity for the purpose of valuing employee benefit obligations as per LKAS No. 19 "Employee Benefits".

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

24 EMPLOYEE BENEFITS CONTD.

24.3 Sensitivity analysis

The following table demonstrates the sensitivity to a reasonably possible changes at the reporting date in the key assumptions employed with all other variables held constant in the employment benefit liability measurement. The sensitivity of the statement of financial position is the effect of the assumed changes in discount rate and salary increment rate on the employment benefit obligation for the year.

	Group		Company	
	2024	2023	2024	2023
Discount rate				
1% increase	(1,648,662)	(2,078,925)	(1,613,111)	(2,053,418)
1% decrease	1,758,672	(2,268,241)	1,712,310	2,234,760
Future salary growth rate				
1% increase	2,899,140	2,886,298	2,852,305	2,852,305
1% decrease	(2,642,506)	(2,632,319)	(2,606,112)	(2,606,112)

Although the analysis does not take accounts of the distribution of full cash flows expected under the plan, it does provide approximation of sensitivity of the assumption given.

24.4 Maturity analysis of the payments

The following payments are expected on employee benefit liabilities in future years

	Group		Company	
	2024	2023	2024	2023
Less than one year	11,690,748	9,974,692	11,690,748	9,974,692
Between 1-2 years	5,733,464	4,528,987	5,733,464	4,528,987
Between 3-5 years	10,435,463	7,383,993	10,435,463	7,383,993
Beyond 5 years	21,666,037	25,121,401	21,508,370	25,010,736
Total expected payments	49,525,712	47,009,073	49,368,045	46,898,408
Weighted average duration (years) of define benefit obligation	3.80	5.20	3.80	5.20

25 DEFERRED TAX (ASSETS)/LIABILITIES

25.1 Deferred tax assets

	Group		Company	
As at 31st March,	2024	2023	2024	2023
Movement in deferred tax assets				
Balance at the beginning of the year	(8,293,353)	(4,191,349)	-	-
Origination/(reversal) of temporary differences				
Recognised in statement of profit or loss				
Continuing operations	(5,954,284)	(546,573)	-	-
Increase in tax rate	-	(3,553,419)	-	-
Origination/(reversal) of temporary differences				
Recognised in other comprehensive income				
Deferred tax on actuarial loss	(4,530)	(2,012)	-	-
Balance at the end of the year	(14,252,167)	(8,293,353)	-	-
Composition of deferred tax assets				
Property, plant and equipment	(2,101,333)	(1,312,061)	-	-
Lease liabilities	(3,622,037)	(399,047)	-	-
	(5,723,370)	(1,711,108)	-	-
Retirement benefit obligation	47,300	33,199	-	-
Right-of-use assets	3,708,516	337,884	-	-
Tax losses carried forward	10,860,025	3,803,150	-	-
Provision for inventories	855,983	809,894	-	-
Provision for bad debts	4,503,713	5,020,334	-	-
	19,975,537	10,004,461	-	-
	14,252,167	8,293,353	-	-

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

25 DEFERRED TAX (ASSETS)/LIABILITIES CONTD.

25.2 Deferred tax liabilities

As at 31st March,	Group		Company	
	2024	2023	2024	2023
Movement in deferred tax liabilities				
Balance at the beginning of the year	713,342,495	546,637,646	644,606,645	491,419,461
Origination/(reversal) of temporary differences				
Recognised in statement of profit or loss				
Continuing operations	(110,858,230)	25,794,066	(93,217,316)	18,706,786
Increase in tax rate	-	12,972,417	-	6,542,031
Origination/(reversal) of temporary differences				
Recognised in other comprehensive income				
Deferred tax on revaluation surplus	6,896,455	128,428,378	6,896,455	128,428,378
Deferred tax on actuarial (loss)	(1,751,341)	(490,011)	(1,751,341)	(490,011)
Disposal	(3,360,102)	-	-	-
Balance at the end of the year	604,269,277	713,342,496	556,534,443	644,606,645
Composition of deferred tax liabilities				
Property, plant and equipment	(216,658,311)	(296,356,899)	(171,250,013)	(231,500,735)
Investment Property	(75,600,000)	-	(75,600,000)	-
Right-of-use assets	(11,987,604)	(19,084,567)	(6,436,134)	(6,668,069)
Subsidy receivable	-	(105,581,942)	-	(105,581,942)
Revaluation surplus on land	(327,967,399)	(321,070,944)	(327,967,399)	(321,070,944)
	(632,213,314)	(742,094,352)	(581,253,546)	(664,821,690)
Retirement benefit obligation	14,810,413	14,069,522	14,810,413	14,069,522
Lease liabilities	2,064,879	7,399,573	624,945	623,651
Unrealised foreign currency exchange loss	119,366	-	-	-
Provision for bad debts	10,949,379	7,282,791	9,283,745	5,521,872
	27,944,037	28,751,856	24,719,103	20,215,045
	(604,269,277)	(713,342,496)	(556,534,443)	(644,606,645)

Based on the provision in the new Inland Revenue Act No. 45 of 2022, the Company and the Group have recognised deferred tax on revaluation gain on land.

25.3 Movement in deferred tax balances

Group - 2024

	Net balance as at 01 April 2024	Recognised in profit/(loss)	Disposal	Recognised in OCI	Net balance as at 31st March 2024	Deferred tax assets	Deferred tax liabilities
Property, plant and equipment	(297,668,960)	78,909,316	-	-	(218,759,644)	(2,101,333)	(216,658,311)
Investment Property	-	(75,600,000)			(75,600,000)		(75,600,000)
Right-of-use assets	(18,746,683)	7,107,490	3,360,105	-	(8,279,088)	3,708,516	(11,987,604)
Subsidy receivable	(105,581,942)	105,581,942	-	-	-	-	-
Revaluation surplus on land & Buildings	(321,070,944)	-	-	(6,896,455)	(327,967,399)	-	(327,967,399)
Retirement benefit obligation	14,102,721	(1,000,879)	-	1,755,871	14,857,713	47,300	14,810,413
Lease liabilities	7,000,526	(8,557,684)	-	-	(1,557,158)	(3,622,037)	2,064,879
Tax losses carried forward	3,803,148	7,056,877	-	-	10,860,025	10,860,025	-
Provision for inventories	809,894	46,089	-	-	855,983	855,983	-
Unrealised foreign currency exchange loss	-	119,366		-	119,366	-	119,366
Provision for bad debts	12,303,095	3,149,997	-	-	15,458,398	4,509,019	10,949,379
Net tax assets/(liabilities)	(705,049,145)	116,812,514	3,360,105	(5,140,584)	(590,011,804)	14,257,473	(604,269,277)

Company - 2024

	Net balance as at 01 April 2023	Recognised in profit/(loss)	Disposal	Recognised in OCI	Net balance as at 31st March 2024	Deferred tax assets	Deferred tax liabilities
Property, plant and equipment	(231,500,735)	60,250,722	-	-	(171,250,013)	-	(171,250,013)
Investment Property	-	(75,600,000)			(75,600,000)	-	(75,600,000)
Right-of-use assets	(6,668,069)	231,935	-	-	(6,436,134)	-	(6,436,134)
Subsidy receivable	(105,581,942)	105,581,942	-		-	-	-
Revaluation surplus on land & Building	(321,070,944)	-	-	(6,896,455)	(327,967,399)	-	(327,967,399)
Retirement benefit obligation	14,069,522	(1,010,450)	-	1,751,341	14,810,413	-	14,810,413
Lease liabilities	623,651	1,294	-	-	624,945	-	624,945
Provision for bad debts	5,521,872	3,761,873	-	-	9,283,745	-	9,283,745
Net tax assets/(liabilities)	(644,606,645)	93,217,316	-	(5,145,114)	(556,534,443)	-	(556,534,443)

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

25 DEFERRED TAX (ASSETS)/LIABILITIES CONTD.

25.4 Unrecognised deferred tax assets

Deferred tax assets have not been recognised in respect of the temporary differences arising from tax losses and inventory provisions of the following subsidiaries as it is not probable that sufficient future taxable profit will be available against which the Group can use the benefits there from.

	Temporary differences		Deferred tax asset	
	2024	2023	2024	2023
AgStar Exports (Pvt) Ltd	32,279,654	36,979,333	9,683,896	11,093,800
Crop Care (Pvt) Ltd	1,392,368	-	417,710	-
Mahaweli Agro Trading (Pvt) Ltd	1,158,353	-	347,506	-
Agstar PLC	1,139,669	-	341,901	-
AgStar Exports (Pvt) Ltd	397,888	-	119,366	-
Agstar Grains (Pvt) Ltd	141,862,379	-	-	-
	178,230,311	36,979,333	10,910,379	11,093,800

Agstar Grains (Pvt) Ltd is discontinued operation and it was not considered for deferred tax.

26 TRADE AND OTHER PAYABLES

Note	Group		Company	
	2024	2023	2024	2023
Trade payables	5,016,173	10,002,351	3,029,100	3,317,455
Other payables *	207,380,204	166,366,547	159,632,346	144,678,314
Total of trade and other payables	212,396,377	176,368,898	162,661,446	147,995,769

* Other payables includes sundry creditors and accrued expenses.

27 LOANS AND BORROWINGS

		Group		Company	
	Note	2024	2023	2024	2023
Non-current liabilities					
Long term loans	27.1	-	37,600,000	-	37,600,000
		-	37,600,000	-	37,600,000
Current liabilities					
Current portion of long term loans	27.1	37,600,000	113,400,000	37,600,000	113,400,000
Short term loans	27.2	643,659,654	-	643,659,654	-
		681,259,654	113,400,000	681,259,654	113,400,000

Terms and repayment schedule of secured loans

The terms and conditions of Group's outstanding loans as follows.

	Currency	Nominal interest rate	Term	31st March 2024		31st March 2023	
				Face value	Carrying amount	Face value	Carrying amount
Import demand loan	LKR	AWPLR+1%	On demand	643,659,654	643,659,654	-	-
Long term loan - 1	LKR	5.5%	36 months	37,600,000	37,600,000	94,000,000	94,000,000
Long term loan - 2	LKR	AWPLR+1.5%	24 months	-	-	57,000,000	57,000,000
				681,259,654	681,259,654	151,000,000	151,000,000

27.1 Long term loan movement during the year

	Group		Company	
	2024	2023	2024	2023
As at 31st March,				
Balance at the beginning of the year	151,000,000	325,355,000	151,000,000	321,400,000
Obtained during the year	-	-	-	-
Repayment during the year	(113,400,000)	(174,355,000)	(113,400,000)	(170,400,000)
Balance at the end of the year	37,600,000	151,000,000	37,600,000	151,000,000
Loans and borrowings included in the statement of financial position				
Current	37,600,000	113,400,000	37,600,000	113,400,000
Non-current	-	37,600,000	-	37,600,000
	37,600,000	151,000,000	37,600,000	151,000,000

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

27 LOANS AND BORROWINGS CONTD.

27.2 Short term loan movement during the year

	Group		Company	
	2024	2023	2024	2023
Balance at the beginning of the year	-	6,047,423	-	5,883,481
Obtained during the year	2,056,665,574	3,880,708,296	2,056,665,574	3,787,608,702
Repayment during the year	(1,413,005,920)	(3,886,755,719)	(1,413,005,920)	(3,793,492,183)
Balance at the end of the year	643,659,654	-	643,659,654	-

28 INCOME TAX PAYABLE

	Group		Company	
	2024	2023	2024	2023
Balance at the beginning of the year	615,854,492	46,261,638	538,984,296	-
Taxation on profits for the year	86,514,721	653,208,812	55,654,196	540,672,676
Under/(over) provision in respect of previous year	36,577,328	(1,682,434)	36,577,328	(1,688,390)
ESC Set-off	(10,194,314)	-	(10,194,317)	-
WHT credit set-off	(457,222)	-	(257,550)	-
Tax paid during the year	(398,483,132)	(81,933,524)	(305,484,255)	-
Balance at the end of the year	329,811,873	615,854,492	315,279,698	538,984,296

29 INVESTMENT IN GOVERNMENT SECURITIES

	Group		Company	
	2024	2023	2024	2023
Financial Instruments - measured at amortised cost				
Investment in Government Securities	-	847,788,420	-	524,886,505
	-	847,788,420	-	524,886,505

29.1 Financial Instruments - measured at amortised cost

	Group		Company	
	2024	2023	2024	2023
Balance at the beginning of the year	847,788,420	-	524,886,505	-
(Disposal) / investment during the year	(847,788,420)	847,788,420	(524,886,505)	524,886,505
Balance as at end of the year	-	847,788,420	-	524,886,505

The Company has classified its investment in government debt securities - Treasury Bond as debt instrument at amortised cost which has disposed during the year ended 31st March 2024.

30 RELATED PARTY DISCLOSURES

(a) Identification of related parties

The Company has a related party relationship with its subsidiaries and other group Companies and with its Directors.

(b) Transactions with key management personnel

Key management personnel comprise all the members of the Board of Directors of the Company having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly.

(c) Loans to directors

No loans have been granted to the Directors of the Company.

(d) Key management personnel compensation

No compensation was paid to directors during the period under review, other than what is mentioned in Note 09

(e) Related party transactions

The following transactions were carried out with related parties during the year ended 31st March 2024.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

30 RELATED PARTY DISCLOSURES CONTD.

30.1 Transactions with related parties

The Company entered into the recurrent related party transactions for the year ended 31st March 2024 as follows:

Transactions with subsidiaries and other related parties

Company	Relationship	Nature of transaction	Transactions during the year	Balance due (to)/ from as at 31/3/2024	Balance due (to)/ from as at 31/3/2023
AgStar Cropcare (Pvt) Ltd	Subsidiaries	Settlements of related party receivable	(30,636,180)		
		Funds transferred	(331,197,196)		
		Cropcare purchases	(24,463,368)		
		Fertiliser Sales	58,080,197		
		Expenses incurred by parent	8,231,819		
		Salaries and allowance	82,735,846		
		Set off against customer deposits	(11,261,128)		
		Factory rent	(287,500)		
		Subsidiary Interest (Income)/ Expense	17,142,617	9,810,492	241,465,385
AgStar Exports (Pvt) Ltd	Subsidiaries	Funds transferred	(41,643,849)		
		Settlements of related party receivable	(6,769,876)		
		Expenses incurred by parent company	334,665		
		Salaries and allowance	9,373,753		
		Subsidiary Interest (Income)/ Expense	3,557,515	688,467	35,836,259
AgStar Grains (Pvt) Ltd	Subsidiaries	Solar Power Income	19,164,480		
		Settlements of related party receivable	(18,467,215)	238,722,218	238,024,953
		Provision made		(88,273,000)	(88,273,000)
AgStar Seeds (Pvt) Ltd	Subsidiaries	Funds transferred	(108,956,097)		
		Expenses incurred by parent	2,892,732		
		Settlements of related party receivable	(30,338,750)		
		Sales	39,520		
		Salaries and allowance	19,282,434		
		Subsidiary Interest (Income)/ Expense	20,570,019	60,482,068	156,992,210

Company	Relationship	Nature of transaction	Transactions during the year	Balance due (to)/ from as at 31/3/2024	Balance due (to)/ from as at 31/3/2023
Mahaweli Agro Trading (Pvt) Ltd	Subsidiaries	Salaries and allowance	1,030,308		
		Funds transferred	(465,000,000)		
		Expenses incurred by parent company	167,798		
		Solar Power Income	11,967,533		
		Subsidiary Interest (Income) Expense	(18,874,817)	(172,608,671)	298,100,507
Prith Seeds (Pvt) Ltd	Subsidiaries	Salaries and allowance	19,228,603		
		Funds transferred	(25,000,000)		
		Settlements of related party receivable	(10,068,626)		
		Expenses incurred by parent	2,435,613		
		Set off against customer deposits	(18,080)		
		Subsidiary Interest (Income) Expense	1,926,273	(209,219)	11,286,998

30.2 Transactions with other related parties

The Group entered into the other related party transactions for the year 2023/24 as follows:

	Group	
	2024	2023
Fertiliser Sales	247,181,795	1,072,942,350

- (f) The receivables from related companies and payables to related companies on sale, purchase of goods and services are unsecured, interest free and have no fixed repayment terms.
- (g) The subsidiary companies utilise certain facilities of the Company free of charge and part of the accounting and administrative functions of the subsidiary companies are also performed by the Company for which no charges are made.

30.2 Non-recurrent related party transactions

The Company has not entered into any non-recurrent related party transactions during the year, which exceeds 10% of the equity or 5% of the total assets, whichever is lower, as per the Colombo Stock Exchange Section Listing rule 9.3.2.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

31 COMMITMENTS

There are no material capital or financial commitments outstanding as at the date of the statement of financial position, which require adjustment to or disclosure in the financial statements other than those mentioned below.

Capital Commitments

Description	Estimated cost	Completion %
Install New Racking System	Rs. 7.9. Mn	90%

32 CONTINGENT LIABILITIES

There were no any material contingent liabilities outstanding as at the reporting date that require adjustments in the financial statements other than those mentioned below.

32.1 Corporate guarantee issued by AgStar PLC

Name of the Company	Type of the facility	Name of the bank	Amount (Rs.)
AgStar Seeds (Pvt) Ltd	LC/IDL	Commercial	48,000,000
	Overdraft	Commercial	19,000,000
	Short term loan facility	Commercial	60,000,000
	LC/IDL	HNB	20,000,000
	Overdraft	HNB	5,000,000
	Term Loan (Series of Loan)	BOC	60,000,000
	Short term loan facility	NDB	50,000,000
AgStar Cropcare (Pvt) Ltd	LC/IDL	Commercial	60,000,000
	Overdraft	Commercial	19,000,000
	LC/IDL	HNB	100,000,000
	LC/IDL	DFCC	120,000,000
	LC/IDL	NDB	50,000,000
AgStar Grains (Pvt) Ltd	Short Term Loan	Commercial	10,000,000
	Short Term Loan	Commercial	150,000,000
	Short Term Loan	DFCC	200,000,000
	Short Term Loan	BOC	500,000,000
Mahaweli Agro Trading (Pvt) Ltd	Short Term Loan	BOC	150,000,000
	Short Term Loan	NDB	50,000,000

32.2 Bank Guarantees

Name of the Company	Type of the facility	Name of the bank	Amount (Rs.)
Lanka Phosphate Limited		Commercial	11,000,000
Department of Customs		Commercial	187,000
Secretary Production, Supply and Regulation of Organic Fertiliser		Commercial	500,000

33 EVENTS OCCURRING AFTER THE REPORTING DATE

There were no material events occurred after the reporting date that require adjustments to, or disclosure in the financial statements.

34 FINANCIAL INSTRUMENTS

- (a) The following tables shows the carrying amounts of financial assets and financial liabilities. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

34. FINANCIAL INSTRUMENTS CONTD.

34.1 Accounting classification and fair value

Company	Note	Financial assets at amortised cost	Other financial liabilities	Total carrying amount
As at 31st March 2024				
Financial assets not measured at fair value				
Trade and other receivables *	19	760,794,187	-	760,794,187
Subsidy receivable	20	351,939,808	-	351,939,808
Amounts due from related companies	21.1	221,430,245	-	221,430,245
Cash and cash equivalents	22	582,285,722	-	582,285,722
		1,916,449,962	-	1,916,449,962
Financial liabilities not measured at fair value				
Trade and other payables	26	-	162,661,446	162,661,446
Loans and borrowings	27	-	681,259,654	681,259,654
Lease Liability	15.2		2,083,150	2,083,150
Amounts due to related companies	21.2	-	172,817,890	172,817,890
Bank overdraft	22	-	11,797,629	11,797,629
		-	1,030,619,769	1,030,619,769
As at 31st March 2023				
Financial assets not measured at fair value				
Trade and other receivables *	20	374,462,378	-	374,462,378
Investment in government securities	32	524,886,505		524,886,505
Subsidy receivable	20	351,939,808	-	351,939,808
Amounts due from related companies	21.1	893,433,311	-	893,433,311
Cash and cash equivalents	22	537,786,490	-	537,786,490
		2,682,508,492	-	2,682,508,492
Financial liabilities not measured at fair value				
Trade and other payables	26	-	147,995,769	147,995,769
Loans and borrowings	27	-	151,000,000	151,000,000
Amounts due to related companies	21.2	-	289,962	289,962
Bank overdraft	22		-	-
		-	299,285,731	299,285,731

* Tax recoverable, non refundable deposits, prepayments, rent in advance and advances amounting to Rs. 80,030,733 (2023 - Rs. 75,362,944) have been excluded as they are not financial instruments

The fair value of the loan and receivables and other financial liabilities is not significantly different from the carrying amount stated above.

34.2 Accounting classification and fair value

Trade and other receivables and trade and other payables classified as held for sales are not included in the table below. Their carrying amount is a reasonable approximation of fair value.

Group	Note	Financial assets at amortised cost	Other financial liabilities	Total carrying amount
As at 31st March 2024				
Financial assets not measured at fair value				
Trade and other receivables*	19	919,376,436	-	919,376,436
Subsidy receivable	20	389,513,395	-	389,513,395
Cash and cash equivalents	22	650,033,780	-	650,033,780
		1,958,923,611	-	1,958,923,611
Financial liabilities not measured at fair value				
Trade and other payables	26	-	212,396,377	212,396,377
Loans and borrowings	27	-	681,259,654	681,259,654
Lease Liability	15.2		6,882,864	6,882,864
Bank overdraft	22	-	11,936,886	11,936,886
		-	912,475,781	912,475,781
As at 31st March 2023				
Financial assets not measured at fair value				
Trade and other receivables*	19	611,803,338	-	611,803,338
Investment in government securities	29	847,788,420		847,788,420
Subsidy receivable	20	389,513,395	-	389,513,395
Cash and cash equivalents	22	634,495,441	-	634,495,441
		2,483,600,594	-	2,483,600,594
Financial liabilities not measured at fair value				
Trade and other payables	26	-	176,368,898	176,368,898
Loans and borrowings	27	-	151,000,000	151,000,000
Bank overdraft	22	-	14,306,354	14,306,354
		-	341,675,252	341,675,252

* Tax recoverable, non refundable deposits, prepayments, rent in advance and advances amounting to Rs. 131,313,792 (2023 - Rs. 184,788,849) have been excluded as they are not financial instruments

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

35 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group has exposure to the following risk arising from financial instruments:

- Liquidity risk
- Credit risk
- Market risk

Risk management framework

The Group's board of directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The group is responsible for develop and monitor the group's risk management policies. The group risk management policies are established to identify and analysis the risk faced by the Group, to set appropriate risk limits and controls and monitor risks and adherence to limits.

Risk management policies and system are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain disciplined and constructive controls environment in which all employees understand their roles and obligations.

The Group audit committee overseas how management, monitors compliance with the Group's risk management policies and procedures, and review the adequacy of the risk management framework in relation to the risks faced by the Group.

35.1 Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Group's approach to managing liquidity is to ensure, as far as possible, that it will have sufficient liquidity to meets its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damages to the Group's reputation.

Exposure to liquidity risk

The following are the remaining contractual maturities of financial liabilities at the reporting date. The amounts are gross and undiscounted.

Group	As at 31st March 2024					Total
	Carrying value	Less than 3 months	3 - 6 months	6 -12 months	More than 12 months	
Non-derivative financial liabilities						
Trade and other payables	212,396,377	212,396,377	-	-	-	212,396,377
Loans and borrowings	681,259,654	679,135,203	9,493,313	-	-	688,628,515
Lease liabilities	6,882,864	-	-	652,090	12,848,726	20,383,680
Bank overdraft	11,936,886	11,936,886	-	-	-	11,936,886
	912,475,781	903,468,466	9,493,313	652,090	12,848,726	933,345,458

Group	As at 31st March 2023					
	Carrying value	Less than 3 months	3 - 6 months	6 -12 months	More than 12 months	Total
Non-derivative financial liabilities						
Trade and other payables	176,368,898	176,368,898	-	-	-	176,368,898
Loans and borrowings	151,000,000	28,350,000	28,350,000	56,700,000	37,600,000	151,000,000
Lease liabilities	24,665,245	-	-	10,769,700	29,983,681	40,753,381
Bank overdraft	14,306,354	14,306,354	-	-	-	14,306,354
	366,340,497	219,025,252	28,350,000	67,469,700	67,583,681	382,428,633

Company	As at 31st March 2024					
	Carrying value	Less than 3 months	3 - 6 months	6 -12 months	More than 12 months	Total
Non-derivative financial liabilities						
Trade and other payables	162,661,446	162,661,446	-	-	-	162,661,446
Amounts due to related companies	172,817,890	172,817,890	-	-	-	172,817,890
Loans and borrowings	681,259,654	679,135,203	9,493,313	-	-	688,628,515
Lease liabilities	2,083,150	-	-	295,766	7,166,259	9,545,175
Bank overdraft	11,797,629	11,797,629	-	-	-	11,797,629
	1,030,619,769	1,026,412,168	9,493,313	295,766	7,166,259	1,045,450,655

Company	As at 31st March 2023					
	Carrying value	Less than 3 months	3 - 6 months	6 -12 months	More than 12 months	Total
Non-derivative financial liabilities						
Trade and other payables	147,995,769	147,995,769	-	-	-	147,995,769
Amounts due to related companies	289,962	289,962	-	-	-	289,962
Loans and borrowings	151,000,000	28,350,000	28,350,000	56,700,000	37,600,000	151,000,000
Lease liabilities	2,078,835	-	-	262,500	9,545,176	9,807,676
	301,364,566	176,635,731	28,350,000	59,962,500	47,145,176	309,093,407

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amount.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

35 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES CONTD.

35.1 Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arise principally from the Group's receivable from customers.

The finance division manages the risk arising from investments made in financial institutions in accordance with the policy direction provided by the Board. The transactions are carried out only with a limited number of institutions all of which have stable credit ratings from internationally recognised rating providers.

The Carrying amount of financial assets represents the maximum credit exposure. Impairment losses on financial assets recognised in profit and loss were as follows,

	Group		Company	
	2024	2023	2024	2023
Impairment provision/(reversal) trade receivables	(3,360,180)	12,206,535	(12,539,577)	6,724,917

The Group's exposure to credit risk influenced mainly by the individual characteristics of each customer. However, management also consider the factors that may influence the credit risk of its customer base, including the default risk associated with the industry and country in which customer operate.

The Group limits its exposure to credit risk from trade receivable by establishing a maximum period of one and two months for customers. The Group does not require collateral in respect of trade and other receivables.

Cash and cash equivalents

The Group held cash and cash equivalents of Rs. 649 Mn at 31 March 2024 (2023 - Rs. 634 Mn) which represents its maximum credit exposure on these assets.

Details of the counter parties in which the Company has short term deposits are as follows,

Bank	Rating		Rating
People's Bank	A(Ika)	Bank of Ceylon	A(Ika)
Hatton National Bank PLC	A(Ika)	MCB Bank	A- (Ika)
LOLC Holdings PLC	A- (Ika)	DFCC Bank	A- (Ika)
National Development Bank PLC	A- (Ika)	Public Bank	A- (Ika)
Sampath Bank PLC	A(Ika)	Nations Trust Bank PLC	A- (Ika)
Commercial Bank of Ceylon PLC	A(Ika)		
Seylan Bank PLC	A- (Ika)		

(a) **Exposure to credit risk**

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows.

	Note	Group		Company	
		2024	2023	2024	2023
Trade and other receivables *	19	919,376,436	611,803,338	760,794,187	374,462,378
Investment in government securities	33	-	847,788,420	-	524,886,505
Subsidy receivable	20	389,513,395	389,513,395	351,939,808	351,939,808
Amounts due from related companies	21.1	-	-	221,430,245	893,433,311
Cash and cash equivalents	22	647,702,384	631,766,958	581,456,460	536,694,728
		1,956,592,215	2,480,872,111	1,915,620,700	2,681,416,730
The ageing of trade receivables and impairment as at the reporting date were as:					
Gross value					
Not past due		7,508,435	53,737,578	675,269	126,974,749
Past due 1-60 days		741,480,822	(313,977,662)	600,630,552	(228,534,518)
Past due 61-120 days		150,482,026	104,669,814	131,750,366	30,670,395
Past due more than 120 days		60,006,741	788,599,287	47,143,934	441,137,712
		959,478,024	633,029,017	780,200,121	370,248,338
Impairment loss					
Past due 1-60 days		2,463,651	(2,084)	1,988,414	-
Past due 61-120 days		844,752	246,238	688,406	-
Past due more than 120 days		48,333,066	48,037,149	28,268,995	18,406,239
		51,641,469	48,281,303	30,945,815	18,406,239
Net trade receivables		907,836,555	584,747,714	749,254,306	351,842,099

* Tax recoverable, non refundable deposits, prepayments, rent in advance and advances of the Company and Group amounting to Rs. 80,030,733 (2023 - Rs. 75,362,944) and Rs. 131,313,792 (2023 - Rs. 184,788,849) respectively have been excluded as they are not financial instruments

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

35 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES CONTD.

35.2 Market risk

Market risk is the risk that changes in market prices will affect the Group's income or the value of its holding financial instruments. The objective of market risk management is to manage and control market risk exposure within acceptable parameters, while optimising the return. The Group uses derivative to manage market risks. All such transactions are carried out within the guidance set by the Group.

Market risk comprise of the following types of risk:

- (a) Currency risk
- (b) Interest rate risk
- (c) Equity price risk

(a) Currency risk

The Group is exposed to transactional foreign currency risk to the extent that there is a mismatch between the currencies in which sales, purchases, receivables and borrowing are denominated and the respective functional currencies of Group companies. The functional currencies of Group companies are primarily LKR. The currencies in which these transactions are primarily denominated is US dollar.

Exposure to currency risk

The following significant exchange rates has been applied,

	Highest Level		Lowest Level		Year end rate	
	Buying	Selling	Buying	Selling	Buying	Selling
USD/LKR	324.15	337.18	283.88	297.23	295.54	305.33

Source : CBSL

Balance as at 31st March	2024	2023
Total outstanding receivables in USD	-	150,744

Sensitivity analysis

A reasonably possible strengthening (Weakening) of the LKR against US dollar against at 31st March 2024 would have affected the measurement of financial instruments denominated by foreign currency and affected profit or loss by the amounts shown below. The analysis assumes that all other variables, in particular interest rates, remain constant.

	As at 31st March 2024		As at 31st March 2023	
	Strengthening profit/loss	Weakening profit/loss	Strengthening profit/loss	Weakening profit/loss
USD to LKR (15% movement)	-	-	7,196,730	(7,196,730)

FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES CONTD.

(b) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group mainly borrows in the short term to fund its working capital requirement which are linked to floating interest rates. The Group utilises various financial instruments to manage exposures to interest rate risks.

At the reporting date, the Group's interest-bearing financial instruments were as follows:

	Group		Company	
	2024	2023	2024	2023
Variable rate instruments				
Long term loans	37,600,000	151,000,000	37,600,000	151,000,000
Import demand loans	643,659,654	-	643,659,654	-
Bank overdraft	11,936,886	14,306,354	11,797,629	-

The finance division continuously monitors the interest rate environment to advise Strategic Business Units (SBUs) on the most suitable strategy with regard to borrowings. The Group's borrowings are usually negotiated during troughs in the interest rate cycle in order to extend the favourable impact to future reporting periods.

Sensitivity analysis

The following table demonstrates the sensitivity to a reasonably possible change in interest rates on that portion of loans and borrowings affected. With all other variables held constant, the Group's profit before tax is affected through the impact on floating rate borrowings as follows:

		Group	Company
	Increase/ decrease in base point	Effect on profit before tax	Effect on profit before tax
Year		Rs.	Rs.
2024	+700	(47,688,176)	(47,688,176)
	-700	47,688,176	47,688,176
2023	+700	(10,570,000)	(10,570,000)
	-700	10,570,000	10,570,000

(c) Equity price risk

The Group has adopted that its investment in subsidiaries companies are recorded at cost as per LKAS 27 standards and therefore scoped out from SLFRS 09 - Financial Instruments.

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March,

36 CAPITAL MANAGEMENT

The Board's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. Capital consists of share capital, reserves and retained earnings of the Group. The Board of Directors monitors the return on capital as well as the level of dividends to ordinary shareholders.

The gearing ratio at the reporting date was as follows,

As at 31st March	Group		Company	
	2024	2023	2024	2023
long term Interest Bearing Borrowings	-	37,600,000		37,600,000
Current portion of long term Interest Bearing Borrowings	37,600,000	113,400,000	37,600,000	113,400,000
Short Term Interest Bearing Borrowings	643,659,654	-	643,659,654	-
	681,259,654	151,000,000	681,259,654	151,000,000
Equity	7,358,340,793	7,207,293,855	6,519,432,576	6,295,794,165
Equity and Debts	8,039,600,447	7,358,293,855	7,200,692,231	6,446,794,165
Gearing ratio	8%	2%	9%	2%

DECADE AT A GLANCE

For the year ended 31st March,

31st March	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Rs.'000										
OPERATING RESULTS										
Group Revenue	7,666,127	7,458,205	5,992,282	3,611,145	1,734,841	2,478,165	3,317,020	2,784,899	1,728,683	2,100,071
Net Finance Income/(Expense)	82,064	(620,096)	(830,717)	(34,880)	(54,327)	(6,307)	(34,790)	(38,460)	2,912	(110,695)
Profit Before Tax	177,277	2,347,695	797,401	576,453	205,496	321,024	156,039	244,104	363,440	332,676
Tax Expense	(12,081)	(688,524)	(190,674)	(84,078)	(63,977)	(75,805)	(65,731)	(76,717)	(126,023)	(119,701)
Profit After Tax (continuing Operations)	165,196	1,659,171	606,727	492,375	141,519	245,219	90,308	167,387	237,417	212,975
Gain/(loss) from discontinued operations, net of tax	(5,509)	(295)	136	(17,244)	(3,530)	(18,850)	(63,717)	(189,853)	(290,293)	-
Attributable To:										
Equity Holders of the parent	159,686	1,668,886	618,916	476,259	137,989	226,369	26,591	(22,466)	(52,876)	217,681
Non Controlling Interest	-	(10,011)	(12,053)	(1,128)	-	-	-	-	-	(5,088)
	159,686	1,658,875	606,863	475,131	137,989	226,369	26,591	(22,466)	(52,876)	212,593
FINANCIAL POSITION										
Stated Capital	2,007,857	2,007,857	2,007,857	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094
Reserves	5,350,484	5,178,803	3,639,493	2,441,833	1,820,564	1,681,855	1,430,353	1,198,298	1,283,362	1,316,551
	7,358,341	7,186,660	5,647,350	3,645,927	3,024,658	2,885,949	2,634,447	2,402,392	2,487,456	2,520,645
Non Controlling Interest	-	20,634	30,645	42,698	-	-	-	-	-	-
Net Assets	7,358,341	7,186,660	5,647,350	3,645,927	3,024,658	2,885,949	2,634,447	2,402,392	2,487,456	2,520,645
Non Current Liabilities	600,609	813,665	764,714	448,483	379,366	286,998	191,621	66,436	178,314	229,502
	8,018,949	8,020,959	6,442,709	4,137,108	3,404,024	3,172,947	2,826,068	2,468,828	2,665,770	2,750,147
Represented By:										
Property Plant & Equipment (PPE)	3,016,197	3,285,915	3,299,488	2,403,080	1,650,869	1,527,367	1,417,703	1,029,492	1,041,158	929,074
Non Current Assets (Excluding PPE)	413,756	1,031,639	190,851	126,952	79,595	56,626	57,205	212,451	150,056	76,687
- Current Assets	5,824,832	4,632,619	6,292,468	5,919,747	4,178,890	3,765,141	3,483,081	3,140,495	4,292,951	4,367,607
- Current Liabilities	(1,235,844)	(929,214)	(3,340,098)	(4,312,671)	(2,505,330)	(2,176,187)	(2,131,921)	(1,913,610)	(2,818,394)	(2,623,220)
Net Current Assets	4,588,987	3,703,405	2,952,370	1,607,076	1,673,560	1,588,954	1,351,160	1,226,884	1,474,557	1,744,387
	8,018,949	8,020,959	6,442,709	4,137,108	3,404,024	3,172,947	2,826,068	2,468,828	2,665,770	2,750,147
KEY INDICATORS										
Annual Revenue growth (%)	2.79	24.46	65.94	108.15	(29.99)	(25.29)	19.11	61.10	(17.68)	21.69
Basic earning per share (Rs.)	0.33	4.10	1.52	1.47	0.42	0.70	0.08	(0.07)	(0.16)	0.67
Net Profit to net revenue (%)	2.08	22.25	10.13	13.16	7.95	9.13	0.80	(0.81)	(3.06)	10.14
Dividend per share - proposed (Rs.)	-	-	-	0.20	-	0.20	0.10	-	0.20	0.20
Return on Equity (%)	2.17	23.22	10.96	13.06	4.56	7.84	0.95	(0.94)	(2.13)	8.45
Net Assets per share (Rs.)	15.09	14.74	11.58	11.22	9.31	8.88	8.59	7.39	7.65	7.76
Debt to Equity Ratio (%)	0.08	0.02	6.89	21.67	49.81	34.69	0.61	16.71	58.44	53.84
Current ratio(Times)	4.71	4.99	1.88	1.37	1.67	1.73	1.63	1.64	1.52	1.66

NOTICE OF ANNUAL GENERAL MEETING

AGSTAR PLC

REG NO. PV1618 PBPQ

NOTICE IS HEREBY GIVEN THAT THE 22ND ANNUAL GENERAL MEETING of the Company will be held on Thursday, 26th September 2024 at 10.30 a.m. as an on-line audio-visual meeting with arrangements for the on-line meeting platform made at LOLC Holdings PLC, No.100/1, Sri Jayawardenapura Mawatha, Rajagiriya.

The business to be brought before the meeting will be:

1. To receive and consider the Report of the Directors and Statement of Accounts of the Company for the Financial Year ended 31st March 2024 with the Auditors' Report thereon.
2. To re-elect Mr. I C Nanayakkara as a Director who retires by rotation in terms of Article 23(2) of the Articles of Association of the Company.
3. To re-elect Mr. A P Weerasekera as a Director who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.
4. To re-elect Mrs. V G S S Kotakadeniya as a Director who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.
5. To re-elect Mr. P. Weerasingha as a Director who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.

6. To re-appoint Mrs. S. N. Wickramasinghe as a Director. A Notice has been received from a shareholder in terms of Section 211 of the Companies Act No.7 of 2007 of the intention to propose the following Resolution as an Ordinary Resolution

RESOLUTION

"That Mrs. S. N. Wickramasinghe who reached the age of 71 years on 02nd January 2024 be and is hereby re-appointed as a Director of the Company for a period of one year or until the conclusion of the next Annual General Meeting whichever occurs first and it is hereby declared that the age limit of 70 years referred to in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Director"

7. To re-appoint Mr. R K A Ranaweera as a Director. A Notice has been received from a shareholder in terms of Section 211 of the Companies Act No.7 of 2007 of the intention to propose the following Resolution as an Ordinary Resolution;

RESOLUTION

"That Mr. R K A Ranaweera who reached the age of 70 years on 19th August 2024 be and is hereby re-appointed as a Director of the Company for a period of one year or until the conclusion of the next Annual General Meeting whichever occurs first and it is hereby declared that the age limit of 70 years referred to in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Director"

8. To re-appoint M/s. KPMG, Chartered Accountants as the auditors for the ensuing financial year at a remuneration to be fixed by the Directors.

8. To approve in terms of Companies (Donations) Act No. 26 of 1951 the making of donations by the Directors as determined by them for the current Financial Year and until the next Annual General Meeting of the Company.

By order of the Board,
AGSTAR PLC



L O L C Corporate Services (Private)
Limited
Secretaries
30th August 2024

Colombo

FORM OF PROXY

AGSTAR PLC

Reg No. PV1618BPBQ

I/ We of
.....

being a member/members of the above named Company hereby appoint;

..... of
..... whom failing

I. C. Nanayakkara	or failing him
R. S. Indika Gunawardhana	or failing him
A P Weerasekera	or failing him
Mrs. V G S S Kotakadeniya	or failing her
D S K Amarasekara	or failing him
P Weerasingha	or failing him
W K D T Abeyrathne	or failing him
M S Gunawardena	or failing him
Mrs. S N Wickramasinghe	or failing her
Dr. (Mrs.) A D N de Zoysa	or failing her
R K A Ranaweera	

as my/our proxy to represent me/us and vote on my/our behalf at the Twenty Second Annual General Meeting of the Company to be held as an online meeting on 26th September 2024 at 10.30 a.m. and at any adjournment thereof and at every poll which may be taken in consequence of the aforesaid Meeting.

	For	Against
1. To re-elect Mr. I C Nanayakkara as a Director who retires by rotation in terms of Article 23(2) of the Articles of Association of the Company.	☐	☐
2. To re-elect Mr. A. P. Weerasekera as a Director who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.	☐	☐
3. To re-elect Mrs. V G S S Kotakadeniya as a Director who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.	☐	☐
4. To re-elect Mr. P Weerasingha as a Director who retires by rotation in terms of Article 23(6) of the Articles of Association of the Company.	☐	☐
5. To re-appoint Mrs. S.N. Wickramasinghe as a Director	☐	☐
6. To re-appoint Mr. R K A Ranaweera as a Director	☐	☐
7. To re-appoint as auditors M/s KPMG, Chartered Accountants for the ensuing financial year at a remuneration to be fixed by the Directors.	☐	☐
8. To authorise Directors to make donations.	☐	☐

dated this day of Two Thousand and Twenty Four.

.....
Signature of Shareholder

FORM OF PROXY

Notes:

- 1 Please return the completed Form of Proxy after filling in legibly your full name and address, signing on the space provided and filling in the date of signature.
- 2 The Proxy shall:
 - a) in the case of an individual, be under the hand of the shareholder or his or her attorney, and if signed by an attorney, a notarially certified copy of the Power of Attorney should be attached to the completed Form of Proxy, if it has not already been registered with the Company.
 - b) if the shareholder is a company or a corporation, be either under its common seal or under the hand of an officer or attorney authorised by such organisation in that behalf in accordance with its Articles of Association or Constitution.
- 3 Please indicate with an 'X' how the proxy should vote on each Resolution. If no indication is given, the proxy shall exercise his/her discretion and vote as he/she thinks fit.
- 4 The completed Form of Proxy should be deposited at LOLC Corporate Services (Private) Limited, Secretaries to AgStar PLC, 4th Floor, No. 34, Sir Mohamed Macan Markar Mawatha, Colombo 03 or scanned and emailed to corporateservices@lolc.com with the email subject titled "AGSTAR AGM PROXY" not less than 48 hours before the time appointed for the holding of the Meeting.

CORPORATE INFORMATION

The Company	AgStar PLC	Related Party Transactions Review Committee	Ms. S.Wickramasinghe (Chairperson) Dr. (Mrs) A.D.N.de Zoysa Mr. R.K.Athula Ranaweera Mr. W.K.D.T Abeyrathne
Legal Form	A Public Quoted Company incorporated in Sri Lanka on 25th June 2002	Subsidiaries	AgStar Seeds (Pvt) Limited AgStar Cropcare (Pvt) Limited AgStar Grains (Pvt) Limited Mahaweli Agro Trading (Pvt) Limited AgStar Exports (Pvt) Limited Prith Seeds (Pvt) Limited Royal Seeds (Pvt) Limited
Company Registration	No. PV1618 PB/PQ	Secretaries	LOLC Corporate Services (Private) Ltd 100/1, Sri Jayawardenapur Mawatha, Rajagiriya Tel : +94 115 063 000 Fax : +94 112 865 602
Registered Office	AgStar PLC No.93, Minuwangoda Road, Ekala, Ja-Ela. Tel: +94 11 4812424 Fax: +94 11 4810706 E-mail: info@agstaragri.com Website: www.agstaragri.lk	Registrars	SSP Corporate Services (Private) Limited 101, Inner Flower Road, Colombo 03 Tel : +94 112 573 894 Fax : +94 112 573 609
Board of Directors	Mr. Ishara Chinthaka Nanayakkara - Non Executive Director/Chairman Mr. R. S. I. Gunawardena - Executive Deputy Chairman Mr. A.P. Weerasekera - Managing Director Ms. V. G. S. S Kotakadeniya - Non-Executive Director Mr. D.S.K. Amarasekera - Non-Executive Director Mr. P. Weerasingha - Executive Director Mr. Manju Gunawardana - Non-Executive Director Mr. R.K. Athula Ranaweera - Independent Non-Executive Director Dr. (Mrs) A.D.N. de Zoysa - Independent Non-Executive Director Ms. S. Wickramasinghe - Independent Non-Executive Director Mr. W. K. D. T. Abeyrathne - Executive Director	Auditors	KPMG P O Box 186 32A, Sir Mohamed Macan Markar Mawatha, Colombo 03 Tel : +94 115 426 426 Fax : +94 112 445 872 +94 112 446 058
Audit Committee	Mr. R.K.Athula Ranaweera (Chairman) Dr. (Mrs) A.D.N.de Zoysa Ms. S.Wickramasinghe Mr. D.S.K. Amarasekera	Bankers	Bank of Ceylon Commercial Bank of Ceylon PLC DFCC Vardhana Bank PLC Hatton National Bank PLC MCB Bank Limited Nation Trust Bank PLC NDB Bank PLC Peoples' Bank Public Bank Sampath Bank PLC Seylan Bank PLC
Remuneration Committee	Mr. D.S.K Amarasekera (Chairman) Mr. R.K.Athula Ranaweera Ms. S.Wickramasinghe	Legal Consultants	Paul Ratnayake Associates 59, Gregory's Road, Colombo 07 Sudath Perera Associates 5,9th Lane, Nawala Road, Nawala

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